

**STATE BAR OF SOUTH DAKOTA
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**Important Developments in
Federal Income Taxation**

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This outline covers significant developments in federal income taxation along with a few other interesting or noteworthy tax topics. It is not intended to provide exhaustive coverage, but it offers a selective treatment of items likely to interest practitioners and advisors within a broad range of professional practices. Coverage generally includes events reported from the prior program through December 4, 2015.

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I. Gross Income

A. Timing Issues and Accounting Methods

1. Sale of partnership interest could not be accounted for under installment method due to unrealized receivables, *Mingo v. Commissioner*, 773 F.3d 629 (5th Cir. 2014), affirming T.C. Memo 2013-149

Taxpayer was a partner in the management consulting and technology business of PWC until 2002, when PWC sold this business to IBM. Taxpayer's partnership interest was worth \$832K, of which \$126K was attributed to unrealized receivables. Each partner got a promissory note convertible into IBM stock. Taxpayer did not exercise the conversion option in 2002, and instead reported the sale of the partnership interest on the installment method. However, since no principal had been paid, she reported only interest income during 2002, as well as in subsequent years until 2007, when she converted the notes into IBM stock, reporting this as a long-term capital gain.

On May 23, 2007, the Service issued a deficiency notice for 2003, alleging that the \$126K received for unrealized receivables was not eligible for installment reporting. However, by this time, the 2002 tax year had closed. The Commissioner sought a change in method of accounting under section 446(b), and made a section 481(a) adjustment in 2003 to reflect the addition of ordinary income. And just for good measure, the Commissioner also sought to recharacterize the 2007 long-term capital gain reporting as including \$126K of ordinary income.

Taxpayer challenged both notices, and the Tax Court upheld the 2003 adjustment was proper. In this case, the installment method did not clearly reflect income, and the change in method was permitted to put the taxpayer on a proper method. The Fifth Circuit affirmed, finding that these unrealized receivables related to services, not property. See *Sorensen v. Commissioner*, 22 T.C. 321 (1954). Moreover, the change in method was appropriate, and so was the 481(a) adjustment despite the fact that 2002 was a closed year. While the statute of limitations applies to a stale claim, this claim did not arise until the method change occurred – and that was in an open year.

Comment: Though this taxpayer's effort to attempt to convert a note into a LTCG, thereby avoiding ordinary income from the installment method, may have seemed like overreaching, the court's analysis of unrealized receivables may be too general. Despite the vernacular understanding in a service business, unrealized receivables are conceptually broad, including property-related items like depreciation recapture. See IRC § 751(c). Query whether this rule could be challenged with a more granular analysis of the particular receivables?

2. Failure to make mark to market accounting election proves costly, *Poppe v. Commissioner*, T.C. Memo 2015-205

Taxpayer held a master's degree in computer science and worked as a high school mathematics teacher from 2001-06. During his spare time, he also traded stocks. He executed about 60 trades per month focusing on short-term trades. In 2003, on the advice of his accountant, he intended to file an election under section 475(f) to use mark-to-market accounting. However, he failed to retain a signed copy or any evidence of mailing it. He filed his 2003 return late, on July 25, 2005. This return included a statement that he had elected under section 475(f). His 2003 return included \$370K in gross income, including \$142K in business income from trading securities. In 2006, he became a full-time trader. In 2007, he traded 400 trades per month, trading on all but two business days during the entire year. He bought over \$95M in securities and sold \$86M, booking a loss of \$1 million. He failed to file a return for 2007 and the Service filed a substitute return in 2012 and issued a notice of deficiency. In 2013, Taxpayer filed a 2007 return and then subsequently submitted an amended return in which he claimed a loss of \$1.1 million on a form K-1 from his trading firm. The facts state that Taxpayer suffers from Asperger's Syndrome, and he failed to file a return because he was "despondent" over his trading losses.

Taxpayer's position depends on the 475(f) election, which would have allowed him to use the mark-to-market method and generate a net operating loss in that year. However, the Service argued that he made no such election and never requested a change in method of accounting that would allow him to file on that method. The Tax Court agreed that this Taxpayer was eligible for the mark-to-market method as he was a trader, not an investor. He also intended to profit from short-term market swings, and his trading income in 2003 was far in excess of his income from teaching. However, Taxpayer failed to comply with the requirements for electing mark-to-market accounting, as required in Rev. Proc. 99-17. Although he filed a statement with this return, there was no Form 3115 attached. Having failed to make the election, there was no basis for deducting his losses in the 2007 year. Moreover, he was unable to prove that Asperger's syndrome affected his ability to manage his affairs in a manner that would constitute reasonable cause for his failure to file returns.

Comment: The IRS testified that not all Form 3115s that are filed ultimately are retained in its database. If an accounting election is important, keep your own copy. And this would be something to keep for an unlimited period, given the potential for section 481(a) to reach back into prior years. For a summary of the significance of this election, see Topic 429 – Traders in Securities, at <https://www.irs.gov/taxtopics/tc429.html>.

3. Insurer dividend payments deductible under all events test, *Mass. Mut. Life Ins. Co. v. United States*, 782 F.3d 1354 (Fed. Cir. 2015)

This case tested the application of the all-events test, as modified by the economic performance rules, in the context of a liability to pay a dividend to policyholders by a mutual insurance company. Last year, the Second Circuit decided the accrual of termination dividends in *New York Life Ins. Co. v. United States*, 724 F.3d 256 (2nd Cir. 2013), which concluded that a termination dividend did not meet the all-events test because the obligation to pay the dividend was not fixed until such time as the policyholder determined not to terminate the policy, which would not occur until the next taxable year. However, the Federal Circuit distinguished this case, finding instead that the board of directors had indeed created an obligation by declaring a

dividend that was guaranteed to an entire class of policyholders. In this case, the insurer would have to pay a dividend, and the only question dependent upon the maintenance of the policy was the amount that would be paid to each member of the class. As long as there was at least one class member remaining, the dividend would have to be paid. When the declaration was made, there were thousands of paid-up policies that would not lapse, and which would obligate the insurer to pay the dividend. As previously established by the Supreme Court in *Hughes Properties*, not knowing the identity of the payee does not prevent a liability from becoming fixed.

The Government also argued that the dividends here could be considered rebates, which were not eligible for accrual. But the court rejected this interpretation of the regulations, as such rejection is permitted when the interpretation is plainly erroneous or inconsistent with the regulation, or there is reason to suspect it does not reflect fair and considered judgment on the matter, such as when it conflicts with prior interpretation or is nothing more than a “convenient litigating position.” (citing *Christopher v. SmithKline Beecham*, 132 S.Ct. 2156, 2166-67 (2012)). Ultimately, the Federal Circuit upheld the taxpayer position and rejected the Government’s interpretation on this point.

Comment: Although this case involved the arcane topic of life insurance dividends, the discussion of the all-events test could be useful in other contexts. For another significant case involving the question of whether a taxpayer was engaged in the business of insurance, and thus eligible to use special insurance provisions in the Code, See RVI Guar. Co. v. Commissioner, 145 T.C. No. 9 (2015).

4. Safe harbor method for service contracts, Rev. Proc. 2015-39, 2015-33 IRB 195

The Service has announced that “ratable service contracts” in which services are provided on a regular basis and each occurrence provides independent value (e.g., maintenance, cleaning, mowing), and which have a term not exceeding 12 months are eligible for ratable accrual, which will also satisfy the economic performance requirements.

To illustrate, consider the following example, which is based on example 2 in the document. Taxpayer prepays a 1-year service contract for Janitorial services on December 31, 2015, paying the \$4K/month fee in advance as a lump sum payment of \$48K. Under the safe harbor method, assuming that the taxpayer files its tax return for 2015 on September 15, 2016, the taxpayer is allowed to treat \$34K (8.5 months/12 months) of the cost as a deductible expense for 2015 based on the recurring item exception. The balance of \$14K is treated as incurred in 2016.

5. One buy-in offset against poker winnings in calculating information reporting requirements, CCA 20153601F (9/4/2015)

Chief Counsel advice was requested as to the calculation of the \$5000 reporting threshold for purposes of IRC § 3402(q), involving reporting of Form W-2G. In this case, the poker tournament allowed participants to “buy in” for a stated amount, for which the player would receive a specified amount of chips. If the player lost his chips, he was out for that round, but he could purchase more chips for another round in the tournament, which could ultimately involve several rounds of play. The Chief Counsel’s office ruled that only the last “buy-in” should be considered in computing whether proceeds of more than \$5000 were received from a wager

placed in a wagering pool. Relying on regulations, the guidance concludes that the wagers may be aggregated only when they are identical. These bets were not identical, as the tournament participants at each level differed.

Comment: Of course, this ruling affects only information reporting, whereas the calculation of net gambling winnings could presumably include all buy-ins, even those that constituted losing bets, provided that adequate records were maintained.

6. Cancellation of indebtedness income occurred in an earlier tax year, Clark v. Commissioner, TC Memo 2015-175

Taxpayer purchased a used automobile on December 22, 1999, using a retail installment contract requiring 60 monthly payments beginning January 21, 2000. The contract specifically included personal liability for a deficiency judgment in the event the vehicle repossesses or accepts voluntary surrender of the vehicle from the debtor.

In 2005, Taxpayer had defaulted and the vehicle was repossessed. It brought \$1300 at an auction, leaving \$4768.79 left due on the contract plus \$743.50 for collection costs and fees. The transferee creditor, AmeriCredit, sent a demand letter notifying her of the balance due on June 27, 2005. AmeriCredit attempted to collect the debt, and later assigned it to other debt collectors, with the last one of the collection firms reporting the debt as uncollectible on June 29, 2011. At this point, AmeriCredit reported cancellation of indebtedness income of \$4496.71 by sending Form 1099-C to Taxpayer. However, that 1099-C was returned to its sender as undeliverable.

Meanwhile, Taxpayer prepared her 2011 return and did not report any discharge of indebtedness income. However, a taxpayer's nonreceipt of Form 1099-C does not convert taxable income into nontaxable income. Taxpayer argued that, instead, the discharge must have occurred in December 2008, which is an "identifiable event" of the expiration of the thirty-six month testing period after which the creditor had received its last payment on the contract (i.e., the application of the proceeds of the auction of her vehicle toward the principal on the contract). See Reg. 1.6050-P-1(b)(2). The Service argued that this "identifiable event" is negated when the creditor continues to undertake collection actions during the period. However, the Tax Court required the Service to prove not only the assignment to collection agencies, but activities they undertook to collect the debt. Failing this proof, the taxpayer was held to have shown no omission of gross income in 2011.

Comment: Sometimes taxpayers benefit from the ineluctability of the taxable year!

7. Service precluded from changing taxpayer from accrual to cash method, Isaacs v. Commissioner, T.C. Memo 2015-121

In his multi-issue case, the Service proposed an adjustment to the expenses computed for an S corporation based on the contention that it was "really a cash method taxpayer." The Tax Court disagreed, finding that the tax reporting and other books and records were maintained on an accrual method. Moreover, the Revenue Agent attempted only to recompute the expenses, without recomputing income on a cash basis, which the court noted would not clearly reflect income. Finally, the court also noted that inconsistencies in later years did not translate into an attempt by the taxpayer to change its method of accounting. Here, the Service did not use its

authority under section 446(b) to change the Taxpayer's entire method of accounting from accrual to cash, and it did not establish that the Taxpayer had changed its own method unilaterally. As the Taxpayer met the all events test (and presumably economic performance), the deduction was permitted.

Comment: Here, the rules governing methods of accounting worked in favor of the taxpayer, illustrating that these are not a one-way ratchet favoring the government, but can also protect taxpayers from discretionary authority.

8. Lump sum payment constituted rental income in the year received, *Stough v. Commissioner*, 144 T.C. No. 16 (2015)

Taxpayers constructed a commercial building and leased it to a tenant. The lease terms required monthly rental payments based on the "project costs" incurred to develop the property. However, Tenant was permitted to make a one-time payment to reduce those costs, thereby reducing the rent. Tenant made a \$1 million payment pursuant to this term in exchange for future rent reductions. Taxpayer reported this as a \$1 million income item on schedule E, but then took a \$1 million deduction for "contribution to construct" [sic]. The Service disallowed the deduction and argued that the payment is rental income reportable in its entirety in the year received, rather than allocated over the life of the lease pursuant to section 467.

The Tax Court ruled for the Service in this case of first impression under section 467. Here, the court included the \$1 million payment in gross income, rejecting the Taxpayer's alternative argument that this was intended as a reimbursement for leasehold improvements. "When a lessee pays an expense or obligation incurred by the lessor in bringing the leased property into existence, there is a direct economic benefit to the lessor to the extent that the lessor is relieved of his or her financial obligations." This was not a matter of a lessee making a payment for leasehold improvements, but a payment to reduce the capitalized costs incurred by the lessor.

As for section 467, Congress enacted this provision to prevent the mismatching of income and expenses between lessors and lessees. The parties agreed that this was a "section 467 rental agreement", in that it involved increasing or decreasing or deferred/prepaid rents, and that the payments exceed \$250K. Section 467(b) allows an allocation of rents based on an agreement of the parties, and regulations provide that fixed rent may be specifically allocated by agreement. However, those regulations also state that "A rental agreement stating only when rent is payable does not specifically allocate rent." Treas. Reg. § 1.467-1(c)(2)(ii)(A)(2). Those regulations go on to state that if a rental agreement does not specifically allocate rent, the amount allocated to a rental period is the amount payable. That regulation required that the full \$1 million payment be taxed currently in the year received. Other provisions allowing proportionate accrual were deemed inapplicable.

Despite the fact that the application of 467 was an issue of first impression under these regulations, the claimed deduction for the full \$1 million was improper. Since Taxpayer was a successful businessman who should have recognized a \$1 million deduction was improper, even though he was relying on his CPA, the court found that he failed to exercise "diligence and prudence" and upheld the accuracy penalty imposed by the Service. He got no relief based on a claim that he signed the return without reading it.

Comment: Query whether the lessee got a full \$1 million deduction in this case? Or will they be audited to disallow an attempt to amortize? Yikes! And this case also suggests there is no excuse for not reading and evaluating one's return carefully. However, given that a leasehold improvement paid for by a tenant is not included in gross income, was it really fair to require the Taxpayer to question a paid professional preparer as to how this was reported? Note that reporting the \$1 million was probably better than leaving it off entirely, particularly if Taxpayer wanted a three-year limitations period.

9. Fifth Circuit affirms denial of CCM to real estate developers, *Howard Hughes Co. v. Commissioner*, ___ F.3d ___, 2015 WL 6503702 (5th Cir. Oct. 27, 2015)

Comment: This late-breaking case affirms the denial of the completed contract method to real estate firms on the ground that their activities do not fall within the exception for "home construction contracts" in section 460. The Tax Court's decisions in this case were addressed in last year's program.

10. Revised method of accounting rules, Rev. Proc. 2015-13, 2015-5 IRB 419, clarified by Rev. Proc. 2015-33, 2015-24 IRB 1067; Rev. Proc. 2015-14, 2015-5 IRB 450; modified by Rev. Proc. 2015-39.

Tax accounting mavens will want to pay careful attention to these new rules, including the revised list of automatic accounting method changes available to taxpayers. One significant difference: a taxpayer under examination may be allowed to file Form 3115, which was not previously permitted.

Comment: For analysis, see Yuan Chou, IRS Modifies Rules for filing Accounting Method Changes and Procedures for Taxpayers Under Examination, Tax Adviser (May 1, 2015), available at <http://www.thetaxadviser.com/issues/2015/may/tax-clinic-10.html>.

B. Exclusions

1. Unused vacation time and sick leave accrued during disability was gross income, *Speer v. Commissioner*, 144 T.C. No. 14 (2015)

Taxpayer had a long career as a detective on the LAPD. During various periods of time, he was granted temporary disability on account of duty-related service or illness. Upon retirement in 2009, the city paid him \$30K for 541 hours of unused vacation and \$23K for 800 hours of unused sick leave. These payments totaling \$53K were included on a W-2 for the 2009 tax year. However, Taxpayer excluded these from his return on the ground that they had been received under a worker's compensation act. California law provides that certain public servants, including police officers, are entitled to a leave of absence with salary for up to one year in lieu of maintenance payments under a worker's compensation acts. Taxpayer is also subject to a collective bargaining agreement, which permits retired persons to be paid for certain amounts of accrued leave. Here, testimony by a payroll supervisor indicated that Taxpayer earned most of the hours of vacation and sick leave during prior taxable years, and he earned them during times of active duty as well as when he was on disability status.

At issue was whether these payments for unpaid leave received at retirement were received pursuant to a worker's compensation act as compensation for personal injuries or

sickness, thereby allowing an exclusion under section 104(a)(1). The Tax Court agreed with the Service that these were taxable, not excludable. Taxpayer had received payments during periods of disability that were excluded from gross income as worker's compensation. Accruals for leave, which could not be used during that period of disability, would not provide an immediate benefit to support him. When those were cashed out, perhaps years later after a period of disability had ended, the payments are no longer excludable under section 104(a)(1). Here, leave benefits were separate and distinct from the salary payments, which continued during a period of disability. Thus, even if the taxpayer could substantiate the portion of the benefits earned during a period of disability, they could not be excluded in this case.

Comment: It seems significant that the payments for unused leave occurred after a period of disability had ended. If disability persisted, one wonders whether payments for leave accrued during the immediate prior period of disability might qualify for exclusion.

2. No section 104 exclusion for retirement payments, *Sewards v. Commissioner*, 785 F.3d 1331 (9th Cir. 2015), affirming 138 T.C. No. 15 (2012).

Although a California statute authorizing a retirement allowance for a sheriff's department employee is in the nature of a worker's compensation statute, regulations under section 104 prescribe that the worker's compensation exclusion does not apply to a retirement pension to the extent it is determined by reference to age and length of service. That was the case here, and the Tax Court determined that Taxpayer was not eligible for the exclusion. The Ninth Circuit agreed, also confirming the validity of the regulation (Treas. Reg. § 1.104-1(b)).

3. Payments for "egg donation" not excludable from gross income, *Perez v. Commissioner*, 144 T.C. No. 4 (2015)

Taxpayer received \$20K under contracts with a fertility clinic before undergoing painful injections and procedures to retrieve her own unfertilized eggs to transfer to infertile couples. The contracts indicated that these amounts were being paid for her "good faith and compliance with the donor egg procedure" and "in consideration for all of her pain, suffering, time, inconvenience, and efforts", not for the purchase of her eggs. However, following donation those eggs would become the "property" of the infertile couple and would usually be fertilized immediately.

In this context, the Tax Court found that Taxpayer was being compensated for services, not for any property. Both parties agreed on that point, which avoids any basis issues. But the contested issue here was whether these payments were excludable under section 104(a)(2) as "damages ... received ... on account of personal physical injuries or physical sickness." Regulations, after amendments, currently state in part: "Section 104(a)(2) excludes from gross income the amount of any damages (other than punitive damages) received (whether by suit or agreement and whether as lump sums or as periodic payments) on account of personal physical injuries or physical sickness." Treas. Reg. § 104-1(c)(1). Those regulations further define "damages" as "an amount received (other than workers' compensation) through prosecution of a legal suit or action, or through a settlement agreement entered into in lieu of prosecution." *Id.*

The Tax Court agreed with the Service that the damages requirement was valid. Although some case law allowed excludable amounts based on negotiated settlements where no formal law suit had been filed, this situation differed in that it was a pre-injury waiver, not some

kind of settlement after the injury occurred. If the clinic had paid her damages because they exceeded the scope of her consent, those damages might be excludable. However, this payment was “a byproduct of performing a service contract.” See also *Roosevelt v. Commissioner*, 43 T.C. 77 (1964) (disallowing exclusion for advance waiver of possible future damages for personal injuries).

Comment: The case has a useful discussion of history, as well as the pragmatic concerns that allowance of a claim like this could present for tax administration. (For example, professional athletes could exclude a portion of their salaries as waivers of future pain and suffering, not to mention other dangerous professions like farming, ranching, mining, and fishing.) We all suffer, it seems, but if you get paid for it in advance, it is not excludable from gross income.

4. No exclusion under section 121 where taxpayer repossessed house, *DeBough v. Shulman*, 799 F.3d. 1210 (8th Cir. 2015)

The Eighth Circuit has affirmed the Tax Court’s adverse ruling (142 T.C. 297(2014)) against a taxpayer who sought to exclude gains from the sale of his principal residence. In 2006, Taxpayer had sold his principal residence under a land contract. He excluded \$500,000 on his joint tax return pursuant to section 121. In 2009, the buyer defaulted and Taxpayer reacquired the property, treating this as a reacquisition of the property in satisfaction of indebtedness under section 1038. In calculating his gain, he again applied the \$500,000 principal residence exclusion, reporting only the balance of the unrealized gain. The Service issued a notice of deficiency, alleging that Taxpayer had not complied with the narrow basis for exclusion under section 1038, which restricts this to transactions within one year of the sale. The Tax Court agreed with the Service, and Taxpayer appealed.

The Eighth Circuit rejected the Taxpayer’s claim that this interpretation of section 1038 is “contrary to the intent of Congress and produces an unduly harsh result.” Unfortunately for Taxpayer, the excluded amount was not “returned as income” in any prior tax period as required under section 1038(b)(1)(B). Moreover, an exception in 1038(e) applies only when the taxpayer sells the property within one year after reacquisition. The court rejected Taxpayer’s argument that his failure to sell did not trigger this restriction; such a view would render this part of the statute superfluous. Moreover, the court viewed this outcome as consistent with the legislative history, which suggests that relief was to be accorded only when the taxpayer resold the property within a reasonable time.

Comment: A tough result, but probably consistent with the statute. Now, if we could just get all courts to take a similar approach to following the statute, we might be able to predict these outcomes with more regularity. (Compare, for example, King v. Burwell, below.)

C. Deferred Income

1. Annuity purchased by IRA exempt from bankruptcy estate, *In Re Miller*, 778 F.3d 711 (8th Cir. 2015)

Section 522(b)(3)(C) of the Bankruptcy Code permits an exemption from the bankruptcy estate for “retirement funds ... in a fund or account that is exempt from taxation under [IRC § 408].” Miller used funds from his IRA to purchase an annuity for a lump sum premium of \$267K. Thereafter, he declared bankruptcy. The bankruptcy trustee sought to recover these

funds, arguing that a premium for an individual retirement annuity was limited to the \$6K annual premium permitted for the taxable year in question under section 219(b). Miller argued that this was a rollover contribution that was not limited by the deductible limit in section 219(b). The Eighth Circuit agreed with Miller and allowed the annuity to be exempt.

Comment: This makes good sense, as the annuity is merely a means to transform otherwise exempt retirement savings into periodic future payments, shifting risk from the beneficiary to the insurer. An amicus brief from the National Association of Consumer Bankruptcy Attorneys supported the debtor's position in this case.

2. Payment of salary from business owned by self-directed IRA was prohibited transaction triggering gross income, Ellis v. Commissioner, 787 F.3d 1213 (8th Cir. 2015)

Taxpayer, through his attorney, formed CST Investments, LLC, for purposes of engaging in the used car business. The owners of CST included Taxpayer's self-directed IRA and Brown, a full-time employee. The IRA would own 98 percent and Brown would own 2 percent. Taxpayer was designated as general manager and he was entitled to receive a "guaranteed payment" from the company. At the time CST was formed, no IRA existed. It was later formed through a roll-over from a 401(k) account owned by Taxpayer. Taxpayer did not report this as a distribution from the 401(k), but instead treated it as a non-taxable roll-over. Taxpayer then directed the IRA custodian to invest in CST. Taxpayer received payments of \$9,754 in 2005 and \$29,263 in 2006, which were duly reported as gross income. It was unclear whether these were salary or "guaranteed payments".

The Service had a different idea, of course. In 2011, the Service proposed deficiencies of either \$135,936 in 2005 or \$133,067 in 2006, plus accuracy penalties. Taxpayer had engaged in prohibited transactions because of (1) directing the IRA to acquire shares in a company that would employ him, and (2) receiving wages from the company. The Tax Court upheld this determination for 2005, and the Eighth Circuit affirmed. Regardless of whether the distribution came from the company account or from the IRA itself, it was still a prohibited transaction. Moreover, his compensation was for services to the company, not related to his IRA, which might have allowed some relief.

Comment: This is a tough outcome where the taxpayer was ill-advised by whatever professional help was involved. We can only hope that he is still young enough (and good enough at selling cars) to make some more money to put into retirement savings.

3. Taxpayer cannot carry-forward nondeductible IRA contribution to future year, Dunn v. Commissioner, T.C. Memo 2015-208

Taxpayer, an attorney who specialized in tax law and related subjects, was an active participant in a private law firm's qualified retirement plan during the first half of 2008. Later that year, he became self-employed. In early 2009, he contributed to an IRA, making several payments. He designated the first two payments totaling \$6K to the 2008 tax year. The next payment, plus an additional payment in January 2010 totaling \$6K were designated for 2009. And finally, he contributed \$800 in 2010 designated for the 2010 tax year.

Taxpayer deducted \$6K on his 2008 return, but the Service disallowed this deduction for 2008 because he participated in an employer plan during that year and his income exceeded threshold amounts for IRA participation provided in section 219(g). For 2010, Taxpayer claimed a \$6000 deduction despite the fact that he contributed only \$800 in cash. His theory: the 2008 contribution was an excess contribution that could be carried forward to 2009; then the 2009 contribution could be carried forward to 2010 up to the deductible amount of \$6000, with the \$800 contributed in 2010 carried forward to 2011. The Service disagreed, allowing only \$800 as a deductible contribution in 2010.

The Tax Court agreed with the Service that only \$800 was deductible in 2010. First, there was no excess contribution for 2008, as the amount of such contribution is based on the deductible amount under section 219, determined without regard to 219(g). See IRC § 4973(b). Thus, no “excess contribution” could be carried forward under section 219(f). Second, there is no foundation for any claim that a taxpayer may make a deductible contribution for a future tax year in an earlier tax year. Congress allows until April 15 of the following year for a contribution to be made for the prior year, but this does not work in reverse. The court also rejected equitable arguments based on retirement savings. There is no legislative grace extended here for any deduction beyond the amounts allowed in the code based on a payment for that year.

Comment: Accuracy penalties applied. This taxpayer’s background as an “experienced tax attorney” certainly didn’t help with those penalty arguments, particularly in light of the plain language of section 4973(b) contradicting the “excess contribution” argument.

4. Deferral not allowed under 1031(f)(4), North Central Rental & Leasing v. United States, 779 F.3d 738 (8th Cir. 2015).

Butler Machinery Company, which engaged in retail sales of construction equipment, formed a subsidiary, North Central, to conduct its leasing business. Both companies were controlled by the same family. North Central would also engage in transactions that it treated as like-kind exchanges. Using two stipulated transactions (out of a population of 398), the court found that the transaction essentially looked like this: (1) North Central transferred used equipment (with FMV in excess of basis) to third-parties who wanted to purchase the equipment; (2) the purchasers paid the FMV to a qualified intermediary (Accruit LLC); (3) Accruit would forward the sales proceeds to Butler in exchange for a note; (4) Butler would acquire new replacement equipment from Caterpillar in an amount equal to the FMV received; (5) Butler would then transfer the new replacement property to North Central via its intermediary, Accruit, adjusting any difference with a note. One might wonder what was in this for Butler – and this is the crux of the matter. Caterpillar allowed favorable financing terms, which gave Butler up to six months to pay. As a result, Butler got interest-free use of these funds for up to six months.

The Eighth Circuit agreed with the district court that this structure violated section 1031(f)(4), which provides: “This section shall not apply to any exchange which is part of a transaction (or series of transactions) structured to avoid the purposes of this subsection.” After explaining the history of the provision and its purpose of restricting nonrecognition treatment in certain transactions involving related parties, the court found that the complex structure here – which included Butler in the deal – caused the deal to cross the line. The court rejected the claim that Butler only functioned as a passthrough for cash and property. Here, Butler got continuous and significant financial benefits from the sales proceeds. The court found no basis for involving

Butler, as North Central had its own dealer code that could have allowed it to place the same orders directly to Caterpillar. However, if that had been the case, Accruit would have paid over the proceeds directly to Caterpillar, and there would have been no interest free loan.

The complex structure here essentially supported the district court's finding that the parties intended to avoid the related party restriction; there was no basis for finding clear error here. The court pointed to the involvement of Accruit as also a superfluous party, as Butler and North Central could have exchanged with each other. But in that case, they must have held the exchanged-for property for two years to avoid gain recognition.

Comment: Punishing intentions based on a complex structure is troubling. North Central did not make the case for involving Butler, such as administrative expertise in equipment purchasing (though it tried). This case merits attention by those seeking to finesse exchanges where related parties may participate in some way. It has also generated significant commentary in tax journals, including, Eighth Circuit Finds Transactions Were Structured to Avoid Related-Party Rules, 17 Business Entities 35 (July/August 2015), and Richard M. Lipton, Eighth Circuit Sheds Light on Like-Kind Exchanges, J. Tax'n, June 2015, at 262; Taxpayer Must Recognize Gain on Property Exchanges, 94 Prac. Tax Strategies 273 (2015).

D. Characterization

1. Sales of real estate were not eligible for capital gains treatment, Si Boo, LLC v. Commissioner, T.C. Memo 2015-19

Partnerships organized as limited liability companies in Illinois engaged in the business of purchasing tax liens at auction in the State of Illinois, and then selling them after judgment. This business was extensive, involving several thousand liens each year. If the debtor did not redeem his property by paying off the lienholder plus applicable interest and penalties, the lienholder would acquire tax deeds on the property. At this point, the lienholder would then sell the properties to third parties by quitclaim deeds or contracts for deeds, often to the debtor who already owned the property. This typically involved an intention not to hold onto the property for appreciation, but to quickly recover investment costs and make a profit.

The Tax Court agreed with the Service that these sales should be characterized as generating ordinary income, not capital gain. The frequent, regular, and substantial nature of these sales was strongly indicative of property being sold in the ordinary course of business, rather than property held for investment. Also, as a consequence, this characterization deprived the partnerships of the installment method on some of the sales, as these were "dealer dispositions under IRC § 453(b)(2)(A). Moreover, this income was also subject to self-employment tax.

Comment: The broad-ranging effects of characterization presented here should be noted.

2. Seventh Circuit affirms characterizing qui tam award as ordinary income, Patrick v. Commissioner, 799 F.3d 885 (7th Cir. 2015)

Taxpayer received nearly \$7 million in connection with a *qui tam* suit filed under the False Claims Act involving Medicaid fraud. The Government ultimately intervened and settled the case in exchange for a payment of over \$75 million, resulting in the *qui tam* reward payment

to Taxpayer. Taxpayer claimed that these amounts should be characterized as capital gains, but the Tax Court agreed with the Service, upholding its determination that this was ordinary income, as it was not the result of a sale or exchange of a capital asset. See *Patrick*, 142 T.C. No. 5 (2014). The Seventh Circuit agreed, treating the relator's share as akin to a "bounty" or "reward" for efforts put forth to gather evidence and file the qui tam suit. See *Alderson v. United States*, 686 F.3d 791 (9th Cir. 2012), which reached a similar result in a refund claim.

The court rejected the Taxpayer's arguments that he had invested in a capital asset or property, which would be critical to capital gains treatment. First, Taxpayer argued that he had property in the form of information. But the court rejected this claim on the basis that he had no right to stop anyone else from using it. Alternatively, the court embraced the Commissioner's analogy that this was akin to an attorney's interest in a contingent fee.

Comment: The outcome is likely correct, but the court may not be correct in dismissing the claim that the information procured by the defendant did not entail a property right. The mere fact that another may have access to information does not mean that one has not provided something valuable through compiling the information. A telephone book is one such example; a legal memorandum is another. However, we provide services when we draft a legal memorandum, though the product may indeed be treated as our property (or a client's property) in another context.

E. Other

1. Commissioner fails evidentiary foundation for unreported income, *Na v. Commissioner*, T.C. Memo 2015-21

Taxpayer challenged a deficiency based on alleged unreported gross income, which the IRS asserted based on an analysis of her bank account. Taxpayer reported her occupation as "real estate sales", and she received Form 1099-Misc from companies for which she performed services. She reported that income and associated expenses on Schedule C. She also reported gambling winnings of \$1.4 million, along with offsetting losses of the same amount. Finally, she reported interest income of about \$3K from two bank accounts. Taxpayer spoke Korean and had only limited English skills, but she employed the same CPA for ten years to prepare her returns. She had never reported income greater than \$100K, and this was the first year in which she reported gambling income.

The Service audited her return, noting bank deposits totaling over \$2 million from various sources along with payments of over \$2.4 million to various payees, including her employer. After removing payments that could clearly be traced to an employer, who actually reported the payments as income, the Revenue Agent asserted that she had unreported business income of over \$1 million. However, the Agent did not audit another employer, for which taxpayer claimed she was making business payments through her accounts.

At issue here was the standard for proving a deficiency in this context. Although the Commissioner's determinations ordinarily enjoy a presumption of correctness, "[b]ecause of the difficulty inherent in proving a negative, a somewhat different rule applies where the Commissioner determines that a taxpayer received unreported income." In that context, the Commissioner must provide a "minimal evidentiary foundation" which shifts the burden of proof

to the taxpayer, who must then establish by “preponderance of the evidence that the deficiency determination is arbitrary or erroneous.” Here, the Tax Court concluded that the bank deposits met the “minimal evidentiary foundation”, shifting the burden of proof to the Taxpayer.

Taxpayer caught a break, however, in that the Court believed her testimony and other evidence that money deposited in her account was not hers, but was instead held as an agent in connection with her real estate business. When, as here, a taxpayer is a “mere conduit” for funds received that must be paid over to another, those funds are not income that must be reported. See *Seven-Up Co. v. Commissioner*, 14 T.C. 964 (1950) (bottler payments for national advertising program were not gross income where funds held on behalf of bottlers and paid over to advertisers); *Ford Dealers Adver. Fund, Inc. v. Commissioner*, 55 T.C. 761 (1971) (no “benefit, profit or gain” accruing to holder of dealer advertising funds is reason for exclusion), *aff’d* 456 F.3d 255 (5th Cir. 1972). Schedules produced by Taxpayer, along with testimony from her longtime accountant, indicated that she had been pressured by one of her employers to use her accounts. The Tax Court found her testimony “remarkable, but not incredible”, and when coupled with corroborating evidence in the record and the absence of any showing of personal benefit, this satisfied her burden to exclude all but a small portion of the assessed amount. However, a negligence penalty was sustained based on her limited books and records.

Comment: This was a substantial victory for the taxpayer. Both the dynamics of proof in this context, as well as the continuing viability of conduit theories to avoid income inclusion, make this case interesting. Of course, avoiding situations in which one becomes a conduit for others involving large sums of money would be most prudent.

2. Taxpayer successfully contests 1099-DIV, proving negative through testimony, *Ebert v. Commissioner*, T.C. Memo 2015-5

Taxpayer owned 1,176 shares of BNSF stock during 2009. Taxpayer reported the equivalent of one quarter’s worth of dividend income from BNSF on their 2009 return, but claimed not to have received the other three checks, which totaled about \$1400. Computershare Investor Services was the registered agent for BNSF in 2009. Computershare sent the IRS a letter on February 28, 2014, which included a copy of a Form 1099-DIV apparently sent to Taxpayer’s home address that reported all four payments in 2009. However, through testimony, Taxpayer vigorously contested receiving this document and testified that he does not recall negotiating any other checks from BNSF. In this case, the Tax Court resolved this dispute in favor of the taxpayer, stating in part: “Petitioner husband has devoted a substantial amount of time to contest the relatively small amount of tax liability at issue here, and he testified consistently, clearly, and with considerable conviction in explaining the negative—that he did not receive the disputed dividend payments. He has persuaded us that he did not receive the disputed dividend payments in 2009.”

Comment: As Groucho Marx might say, “Who you gonna believe, me or your lyin’ eyes?” As the Tax Court noted, “[t]his case epitomizes the ultimate task of a trier of the facts—the distillation of truth from falsehood which is the daily grist of judicial life.” Though a tax court is not a court of equity, perhaps justice was done here. Proving a negative can be difficult indeed, though one might imagine looking at bank statements, etc. to show that no deposit was ever made as corroborating proof.

3. Transfers to corporate officer's loan account were gross income, Minchem Int'l v. Commissioner, TC Memo 2015-56

Taxpayer was a C corporation owned by a married couple, the Suns. Mr. Sun received a salary of \$450K per year from the company during 2008-09, but he also had other investments. The company created a loan account for him. No interest was paid on amounts advanced to him or any excess payments from Mr. Sun to the company. The company received large transfers from a Hong Kong bank totaling \$11.2 million. The transferor, Mr. Cheung, had become friends with Mr. Sun and the two of them had engaged in some joint investments. The only instruction for the funds was a letter with a transfer of \$550K, which suggested that the amount was "a gift from Mr. Cheung to Mr. Sun." The company accounted for these funds transferred to its NY bank account as credits in H's officer loan account. It treated these amounts as funds loaned to the company that would eventually be repaid to him or as credits against other amounts loaned to H through the officer account.

The balance of the officer loan account was in Mr. Sun's favor, but it was debited for various personal expenses, including a new car, real estate taxes, and gambling debts. Total debits amounted to \$4.1M in 2008 and \$1.8M in 2009. Over the two year period, Mr. Sun lost \$2.1M at casinos. Other debits to the account involved personal investments. It was not clear whether these investments were his or Mr. Cheung's money. Neither the company nor the Suns reported any of this money received from Mr. Cheung as gross income.

Various issues were raised on audit and addressed in the case, but the most significant appears to be the unreported foreign income from Mr. Cheung. The company avoided any tax obligation here, as the court found it was merely a conduit that did not exercise sufficient dominion and control over the funds. As for Mr. Sun, the court examined whether the relationship with Mr. Cheung constituted a bona fide debtor-creditor relationship. While there were some difficulties with this theory, particularly given the uncertainties of interest, repayment, and the like, the court also examined whether a trust relationship may have arisen, given the putative obligation that Mr. Sun had to invest money on behalf of Mr. Cheung. (The court rejected any characterization as a gift based on a lack of donative intent and a failure to report a large foreign gift, as would otherwise be required.) However, if funds are misappropriated from a trust, the exercise of dominion and control over them for the benefit of the putative trustee triggers the recognition of gross income.

Here, there were several examples of misappropriation, including gambling. Sun's personal funds were commingled with Mr. Cheung's funds. Although merely commingling is not itself misappropriation, the record was sufficient for the court to find that Mr. Sun treated the commingled funds in his officer loan account as not subject to a fiduciary restriction, and thus were includable in his gross income.

Mr. Sun avoided fraud penalties, however, as the Service could not prove fraud by clear and convincing evidence. But accuracy penalties applied.

Comment: No well-advised trustee would behave in the manner of Mr. Sun, but the tax consequence imposed here – including the balance of the funds in gross income – presents a formidable penalty.

4. Putative welfare benefit plan was a taxable split dollar arrangement, *Our Country Home Enterprises, Inc. v. Commissioner*, 145 T.C. No. 1 (2015)

This case involves the employer-level and employee-level tax treatment of a tax-avoidance scheme involving life insurance. Corporate taxpayers participated in a purported welfare benefit plan that pays death, medical, and disability benefits to participating employees. Each employer selects the benefits, participation requirements, and vesting schedule for benefits, and each employee designates the beneficiaries. The death benefit paid to a participating employee is the face amount of a life insurance policy that the employer purchases on the employee's life. Any other benefits are limited to the cash value of that insurance policy. Upon retirement, the employee is eligible to take the insurance policy in satisfaction of all post-retirement death benefits. In this case, most of the employees were also shareholders. The corporate employers deducted the cost of payments used to pay premiums on the employee's life insurance, and the employees did not take any amounts into income. (This arrangement resembled those described as listed transactions in Notice 2007-83, which was issued after some of the years at issue.)

The Service challenged the employer deductions and the failure of employees to take the payments made for their benefit into income. It characterized the transaction as a split-dollar life insurance arrangement, and asserted that it met the three-prong definition of a "compensatory arrangement" in Treas. Reg. § 1.61-22(b)(2)(ii). The Tax Court agreed, construing these -22 regulations as well as section 79 and related regulations involving excludable benefits for group-term life insurance. Moreover, it agreed that the shareholder/employees had interests in their life insurance policies based, among other things, on their access to cash values.

No deductions were allowable in these circumstances, as Treas. Reg. § 1.83-6(a)(5) restricts the deduction for a compensatory arrangement to the amount that is recognized by the employee. But no employees recognized income, either from compensation related to ownership of the policies or from transferring any policies upon separation. However, the court did find that the correct treatment for the employees was to include the value of the economic benefits associated with the insurance into their gross income. It upheld Treas. Reg. § 1.61-22 regulations in the face of a challenge to their validity, finding that the economic benefit provisions "fit reasonably within the wingspan of the broad definition of 'gross income' set forth in section 61(a)." Moreover, they track "longstanding judicial jurisprudence" on the subject.

Penalties applied here. Here, the court found that the petitioners invested in a plan that they "should have known (and probably knew) was too good to be true." It also stated that a "reasonable person in the position of petitioners also would not have been oblivious to the fact that the judiciary had rejected the use of cash value life insurance to fund welfare benefits in similar settings"

II. Deductions from Gross Income

A. Losses

1. Taxpayer proved material participation in two entities considered single economic unit, *Lamas v. Commissioner*, T.C. Memo 2015-59

Taxpayer incurred substantial losses in 2008 from two entities, Shoma Development Corporation (an S corporation) and Greens at Doral, LLC (a partnership). They carried these losses back to 2006, resulting in a refund claim for \$5.2 million. The Service disallowed the refund claim on the basis that the losses were passive.

Shareholders of Shoma, including Taxpayer (who had a 20% interest), formed Greens at Doral, LLC in 2004, using identical ownership percentages. Greens was to own a condominium conversion project, and it operated out of Shoma's offices using Shoma's employees. The shareholders planned to liquidate Greens after the conversion project was completed.

Taxpayer initiated litigation against the CEO of Shoma, claiming that he had taken corporate opportunities and diverted funds. The litigation eventually settled, but this required Taxpayer to spend 112.5 hours trying to recover assets and to release Shoma from guarantees. Meanwhile, the real estate collapse left Shoma in a bad way, and Taxpayer began working with a consultant to address various projects underway. Further, Taxpayer also worked to find investors and purchasers for Shoma projects to restore its capital deficit. During the last half of 2008, the Shoma board appointed him Treasurer, and he worked 126 hours onsite. Taxpayer was able to establish that he worked at least 697 hours for both entities based on his testimony, testimony of other witnesses, and corroborating phone records.

The Tax Court agreed that Taxpayer had established material participation based on working more than 500 hours in connection with these entities. It concluded that the activities of Shoma and Greens could be grouped together under Treas. Reg. § 1.469-4(c) based on their common control, similar businesses, and interdependence. Moreover, these activities were not those of a mere investor, but instead included day-to-day management and operations. The court also rejected the assertion that this was work not customarily done by an owner, for which one of the principal purposes was to avoid disallowance of a loss. See Treas. Reg. § 1.469-4T(f). As an alternate basis for finding in Taxpayer's favor, the court also noted that he should be able to aggregate time spent in separate business activities. See Treas. Reg. § 1.469-5T(a)(4).

Comment: The case illustrates that even without copious records of time spent (which may well be worth the effort when \$5M in tax benefits are at stake), testimony and corroborating evidence, including phone records, can support material participation, even though the law proscribes against mere "ballpark guesstimates".

2. S corporation was not taxpayer for purposes of recharacterization under self-rental rule, *Williams v. Commissioner*, T.C. Memo 2015-76

Taxpayers (husband and wife) were shareholders in an S corporation that held interests in rental real estate. The corporation rented property to a medical practice, in which the husband materially participated. Accordingly, the Service recharacterized this rental income as nonpassive income, thereby increasing Taxpayers' passive loss disallowance under section 469.

Taxpayers challenged this adjustment on two grounds. First, they argued that section 469 does not mention S corporations, and thus any attempt to apply section 469 to activities conducted through an S corporation is contrary to Congressional intent. This argument was rejected, as a passthrough entity such as an S corporation is not a “taxpayer” to whom section 469 must refer. Accordingly, Treas. Reg. § 1.469-4(a) may validly encompass passive activities conducted through an S corporation.

Second, they challenged the recharacterization rule of Treas. Reg. § 1.469-2(f)(6) as inapplicable in this context because the S corporation was not a participant in the trade or business to which the property had been leased. Taxpayers argued that in *Dirico v. Commissioner*, 139 T.C. 396 (2012), the Tax Court’s reference to the “lessor-taxpayer” added a new requirement that the entity must participate in the trade or business. But this was merely a contextual reference in that case, not a new requirement. Husband was “the taxpayer” for purposes of the self-rental rule, and his material participation in the medical practice is what counts.

Comment: And by the way, wife is also treated as materially participating in this context. See IRC 469(h)(5). This is a case of “that dog won’t hunt” if I have ever seen one.

3. Worthlessness not established before foreclosure, *Tucker v. Commissioner*, T.C. Memo 2015-185

Taxpayer’s solely-owned S corporation, Paragon, owned several properties in Florida. Paragon executed mortgages with various banks to purchase these properties, and Taxpayer executed a guarantee for these loans. In the 2004-06 tax years, Paragon was solvent. But as the real estate market declined, Taxpayer took steps to prepare properties for sale. In 2008, Paragon sold one property for an amount less than the underlying mortgage, with the bank releasing the mortgage to permit the sale. However, the parties did not agree to discharge the underlying debt.

Taxpayer had the other properties appraised. The Paragon properties had a value of \$6.7 million with debt totaling \$8.6 million. Negotiations with creditors ensued, and some properties were sold and used to pay down some debts, with settlements from the bank. For the 2008 tax year, Paragon filed Form 1120S claiming a loss of \$10.8M, consisting primarily of a \$8.9M writedown plus some additional deductions. After taking into account his basis in Paragon, Taxpayer claimed a \$6.8 M loss on his personal return, which created a NOL that was carried back for refund claims in the 2003-06 tax years. The Service challenged this loss, and this litigation ensued.

The Tax Court explained that a loss under section 165 requires a closed and completed transaction. Abandonment or worthlessness can trigger losses. Abandonment requires both intent to abandon and the affirmative act of abandonment. When real estate is secured by a recourse obligation, there is no loss deduction based on worthlessness until the foreclosure sale occurs, even if taxpayer claims to have abandoned the property. See *Hammel (SCT 1941)*. Taxpayer sought to avoid this rule by arguing that in this case, Paragon would not receive any funds from these properties. He would be the only source of funds to satisfy creditors. But this was not true – Paragon did transfer some funds to a related LLC, which he used to pay debt. And his argument also confused the debtor’s position for that of the banks, which might

determine worthlessness at an earlier time. Moreover, there was nothing in the record to show that Paragon had abandoned the properties. Instead, it sought to build on some of them to maximize their value, and it later negotiated settlements with banks. There was neither abandonment nor worthlessness shown here, thus affecting the NOL computation. Other adjustments were also required.

4. Failure to prove worthless loan, *Cooper v. Commissioner*, T.C. Memo 2015-191

Taxpayer was an executive in a health sciences firm who also had other business interests. He also made sporadic loans. He described some of these as “hard money loans” which were made on a short term basis and for which he charged annual interest as high as 40 percent. Only some of these were documented with a note, as these loans were made to friends and acquaintances introduced by other friends. In 2006, he made a loan to Wolper Construction in the amount of \$750K. Six months later, the note was extended for six months with a principal amount of \$925K, reflecting capitalized interest. Wolper did not pay on time and ultimately filed Chapter 11 bankruptcy in 2008, reporting assets of more than \$62M and liabilities of about \$35M, thus reflecting substantial equity. Taxpayer never filed a proof of claim and professed that he was not too concerned. He treated the loan as an asset on his own loan applications, valuing it as \$1.4 or \$1.2 million in early 2009.

However, in 2009, another creditor filed a proof of claim on a guarantee for \$42M and tried to convert the proceeding to a chapter 7 case. At this time, the bankruptcy estate had an estimated net worth ranging from \$7M to 37M. Taxpayer did not keep good records, but his accountant claimed that it sent a Form 1099-C to Wolper Construction, but the Service has no record of this. Taxpayer claimed a bad debt deduction of \$750K in an amended return for 2008, which was filed in 2010. That deduction was disallowed and this litigation ensued.

According to the Tax Court, this taxpayer was not engaged in the business of lending, and thus this was not a business loan. His activity was not sufficiently extensive and continuous. He made only 12 loans over a six year period, and lending was not a significant part of his activity. He lent money to friends and acquaintances, and he did not hold himself out to the public as a lender. Poor recordkeeping was also noted.

Moreover, this debt was not wholly worthless in either 2008 or 2009. In order to be wholly worthless, “the last vestige of value” must be gone. This was not true, as he continued to list the loans as assets. And Taxpayer did not prove worthlessness based on the bankruptcy estate’s value, which was not determined until 2010.

*Comment: If you want to be in the loan business, you had better take it seriously. Otherwise, no partial write-downs allowed, and it is a capital loss, not an ordinary one. Here, one cannot help but wonder: what kind of friend loans to you at 40 percent interest? For another case involving nondeductible losses, see *Espallat v. Commissioner*, T.C. Memo 2015-202 (taxpayer claims for losses on loan and/or investment to brother rejected on various theories).*

B. Business Expenses

1. Farming corporation could deduct field-packing materials as supplies, *Agro-Jal Farming Enterp. v. Commissioner*, 145 T.C. No. 5 (2015)

Taxpayer was a corporation engaged in growing strawberries and other vegetables in California. After picking, berries are packed into plastic clamshell boxes commonly seen in grocery stores. Other produce items were packed into cardboard boxes or other plastic wrappers for marketing. Regulations require that the name of the grower, country of origin, and other information must be printed on such packaging, and this material must be available at the time of harvest due to the perishable nature of the produce.

Although Taxpayer was able to use its records to stipulate to the amount of packing materials that is purchased, used, and retained at year end and it prepared financial statements on a GAAP basis, it used the cash method for tax purposes. Accordingly, it deducted the entire amount of these purchases, whether used or not, pursuant to Treas. Reg. § 1.162-3 (the supply regulations) as applicable during the years at issue, prior to amendment in 2012. The Service conceded that Taxpayer was entitled to the cash method, but challenged the timing of the deduction by limiting it to the amount consumed. As the court stated, “The issue is one of considerable interest to farmers generally.”

The court began with a look at IRC § 464, which both parties conceded did not apply to this Taxpayer, but instead applied to so-called “farming syndicates” engaged in tax shelter farming. Nevertheless, both parties argued that this provision should provide a lens for focusing the court’s analysis on the supply regulations.

The Service would emphasize the first half of the first sentence of the supply regulations: “*Taxpayers carrying materials and supplies on hand should include in expenses the charges for materials and supplies only in the amount that they are actually consumed and used in operation during the taxable year for which the return is made, provided that* the costs of such materials and supplies have not been deducted in determining the net income or loss or taxable income for any previous year.” (Emphasis supplied). According to the Service, section 464 is an exception to this general rule in that it allows deductions for “feed, seed, fertilizer, or other similar farm supplies.”

The Taxpayer argued that the packing supplies actually are “other similar farm supplies” under section 464. But it also argued that section 464 restricts the cash method only for syndicates, thus suggesting that tax law continues to have a background rule that let’s nonsyndicates deduct packing supplies on the cash method. Taxpayer also points to the second half of the sentence from the regulations quoted above, noting that it allows a current-year deduction only when no prior year deduction has been taken. Taxpayer argues that this is exactly the practice it followed: deduction currently based on payment.

The Tax Court did not agree that packing supplies are “similar” to seed and fertilizer, as the supplies don’t contribute to growing crops (or, in the case of feed, raising livestock). Nevertheless, the court found that the context for enacting section 464 provides a helpful foundation for Taxpayer’s arguments: except for a farming syndicate, farmers could continue to deduct their prepaid expenses currently.

As for the interpretation of the supply regulations, the Tax Court held that the “provided that” clause relied upon by the taxpayer means that supplies must be deducted as they are used or consumed “on the condition that” they have not been deducted in a prior year. Accordingly, it restricts a second deduction for a cash-method taxpayer that had previously deducted these items when purchased. Moreover, the Tax Court also noted that the scope of the supply regulations applies only to those supplies “on hand”, which it defines as those in stock or imminently about to be delivered, and not those purchased and found elsewhere. However, it withheld judgment as to those “for which delivery is still months away or yet to be made”, which presumably might be subject to a “one-year rule” analysis. (See footnote note 13 of the case.)

In short, the cash method permits a deduction when purchased, and section 1.162-3 does not require a deferral until supplies are used or consumed as long as the taxpayer deducts these costs.

Comment: Footnote 11 of the case deals with another important point: the second sentence of the supply regulations specifically allows a deduction in the year purchased for “incidental material or supplies on hand for which no record of consumption is kept or of which physical inventories ... are not taken.” The Tax Court treated this as a “different situation[] entirely”, suggesting that even where records of consumption are kept, a deduction for a cash method taxpayer may be permitted.

2. Neither deduction nor capitalization of expected nuclear decommissioning liabilities, Amergen Energy Co., LLC v. United States, 779 F.3d 1368 (Fed. Cir. 2015)

Amergen is an LLC taxed as a partnership that acquired three nuclear power plants during the period 2001-2003. Amergen sought to treat the assumption of future decommissioning liabilities associated with the acquisition of the plants in the basis of the acquired assets. The Court of Federal Claims denied this tax treatment, reasoning that because the costs of decommissioning would not be incurred until many years in the future, the liabilities did not satisfy the economic performance requirements of section 461(h). The Federal Circuit affirmed.

Here, Amergen argued that the economic performance requirement of section 461(h) was inapplicable to calculating the basis of a purchased asset. It sought instead to determine basis on the purchase using *Crane* and its progeny, which required only that the liability be non-contingent and definite. However, the Federal Circuit agreed with the Service that 461(h) by its terms applies to “any item” of liability and generally applies “for purposes of this title” [i.e., the income tax title]. This overrides any historical precedents that might have affected basis considerations prior to the enactment of section 461(h) in 1984. Moreover, when Congress enacted 461(h), it also enacted sections 468A and 172(f), which specifically targeted nuclear decommissioning costs. By doing so, they provided a limited means for taxpayers to alter the otherwise applicable effects of the timing rules under 461(h). Section 468A spreads those costs over the life of the plan, and section 172(f) permits a carry-back of NOLs if the actual costs exceed expected costs. Thus, apart from these other specific provisions, Amergen would be entitled to a deduction under the economic performance rules only after the decommissioning costs are incurred.

Comment: Interpretation using other provisions of the Code enacted to address this context makes good sense here. A contrary ruling might also have presented all kinds of mischief with the assumption of future liabilities generating huge current basis adjustments and tax benefits.

3. Attorney claiming excess deductions for his airplane penalized, Peterson v. Commissioner, T.C. Memo 2015-1

Taxpayer was a solo practitioner who purchased a 2005 Cessna Turbo Skylane for 332,000, which he claimed to use for travel associated with his legal practice. However, many flights were very close – within 100 miles – of his Los Angeles home. Taxpayer testified that it may business sense to fly to avoid Los Angeles traffic. Other flights included personal or family travel, maintenance, and training flights associated with obtaining instrument certification. Depreciation in section 179 expense relating to the full value of his airplane, as well as other expenses associated with it, including costs associated with flight training. These expenses were disallowed on audit. However, at trial the examining agent allowed a fraction of the flight hours as business-related and the Service stipulated that deductions for a portion of the value should be allowed as depreciation.

The Tax Court agreed with the IRS that the business use of the airplane did not exceed 50%, and therefore taxpayer was ineligible for a section 179 deduction. It adopted the IRS allowance for depreciation and expenses, but disallowed the rest is unsubstantiated. Notably, the court questioned whether the expenses associated with the airplane were incurred in connection with carrying on his trade or business, as a special burden must be satisfied for listed property. The Tax Court also sustained a penalty: “[Taxpayer] had no colorable basis for taking the position that 100% of the cost of maintaining and operating his airplane constituted an expense of his law practice. It would be negligent for anyone to have taken this position; it is especially so for a licensed attorney.”

Comment: The Tax Court also expressed doubt as to the “ordinary and necessary” character of airplane travel within 100 miles, particularly when flight costs ranged from \$236 to \$433 per hour. But maybe the judge did not give appropriate weight to the grueling experience of LA traffic – or LA lawyer rates! Notably, the court implied this issue might be revisited in the future: “The Commissioner is not required for any given year to allow a tax benefit that he has permitted for a previous or subsequent year. [Citations omitted].” For another questionable attempt at a business expense deduction, see WSK & Sons, Inc., T.C. Memo 2015-204 (disallowing beach house rental prior to shareholders’ son’s wedding).

4. Building was placed in service when certificate of occupancy was granted, Stine, LLC v. United States, 115 AFTR2d 2015-637 (W.D. La. 2015)

Taxpayer sought to claim depreciation deductions on a building under the “go zone” legislation, which allows an immediate 50% deduction for nonresidential real property placed in service after August 28, 2005 and before January 1, 2009. The issue here was whether the property had been “placed in service” during the applicable period. The District Court rejected the government’s position, which contended that a building could not be placed in service until it was “open for business”. Case law relied upon by the government involved equipment, not buildings. In fact, the government “candidly admit[ed]” during oral argument that no such authority supports an “open for business” requirement in the case of a building. In contrast, the

taxpayer relied on regulations, including proposed regulations, along with an IRS audit guide that referred to the issuance of a certificate of occupancy as an indication of verifying that a building had been placed in service. The court agreed with the taxpayer's approach, holding that the building was placed in service during the requisite period to permit the deduction.

Comment: The judgment here suggests a basis for attorney fees, but the court found that this issue was not pursued beyond the prayer in the complaint. It left open the possibility that Stine might reopen the case to pursue this issue.

5. Money transmitter is not a bank eligible for ordinary bad debt deductions, Moneygram Int'l v. Commissioner, 144 T.C. No. 1 (2015)

Taxpayer operated a global payments services network through which customers transmit funds through payment agents, paying a fee in the process. It also was the leading issuer of money orders in the United States during 2007, one of the tax years at issue. With a money order, agents collect cash from the purchaser, and ultimately the money order is processed through the Federal Reserve clearing system. Agents are allowed to retain funds in trust for Taxpayer's benefit under a delayed remittance agreement, and these funds show up as accounts receivable on Taxpayer's balance sheet. Taxpayer also provides payment processing services to financial institutions, for which it also receives fees. It is registered with the Treasury as a "money services business" and subject to considerable regulation, some of which also applies to banks. But it is not regulated under Title 12 of the U.S. Code, which applies only to banks. It does not maintain deposit insurance and is not incorporated as a bank.

During the financial crisis, Taxpayer incurred losses on certain securities, which it sought to deduct as ordinary under IRC §§ 581 and 582, whereas such losses are capital for other kinds of taxpayers. Because of the nature of its business, Taxpayer would have generated no tax benefits from capital losses because it had no capital gains during the years at issue. Unfortunately for Taxpayer, the Tax Court agreed that it was not a bank as defined by section 581, which required an eligible taxpayer to be a bank or trust company incorporated or doing business under state law, a substantial part of its business must consist of receiving deposits and making loans and discounts, and it must be subject to supervision by banking regulators.

Comment: This is a tough break for the taxpayer, which necessarily holds securities to finance its business and could be exposed to losses. However, it appears that a statutory change would be required to allow an ordinary deduction. The case provides a helpful discussion of bank regulation and other cases in which bank status had been challenged in the context of accessing special tax provisions available only to banks. Some good statutory interpretation guidance can also be found here.

6. No tax home to be away from for long-distance truck driver, Howard v. Commissioner, TC Memo 2015-38

Taxpayer was a long-distance truck driver who spent 358 days of the year on the road. He used his mother's home address in Kansas City, Missouri, in order to get a driver's license, as having a brick-and-mortar address was a requirement for obtaining a license. Otherwise, he spent only three days at his mother's house, when he was called for jury duty based on his license address. He kept no personal effects there, storing them instead in a rented locker. If he was in the Kansas City area, he would sleep in his truck in a casino parking lot.

Taxpayer prepared his own return, using IRS publications for research. He treated per diem expenses for days on the road, along with hotel and other travel costs as unreimbursed employee business expenses. He also deducted the costs paid for TSE, which electrifies his truck at truck stops and rest locations in order to save on diesel fuel, which amounted to over \$7K, and which was also unreimbursed.

The Tax Court concluded that the TSE expenses were allowable as business expenses, rather than travel expenses, as they effectively allowed the truck to be maintained without burning diesel fuel. Given regulatory requirements for truckers to rest 10 hours after driving for 14 hours, stopping is essential. The TSE services kept the truck warm and batteries charged instead of running the engine. Moreover, those services could be deductible without regard to meeting the heightened substantiation requirements for listed property, as the Truck was exempt under IRC § 280F(d)(4)(C).

Other traveling expenses, including per diem expenses, were disallowed, as this taxpayer could not meet the requirement for being away from home in pursuing his trade or business. This taxpayer could not establish a principal place of business, as he worked in his truck. Moreover, he could not establish a tax home based on a residence, as there was no place in which he incurred substantial living expenses in a permanent place of residence. In this situation, he has no tax home to be away from for purposes of section 162.

Comment: Taxpayer avoided penalties due to his good faith efforts to comply and honest misunderstanding of the meaning of a tax home. Also notable: a traffic ticket for losing a mud flap on a trailer is not deductible as an ordinary and necessary business expense, but a nondeductible fine.

7. Deduction not permitted for stock-based compensation under section 83, QinetiQ U.S. Holdings, Inc. v. Commissioner, T.C. Memo 2015-123

Section 83 addresses the treatment of corporate stock transferred to an employee in connection with the performance of services. Section 83(a) and its underlying regulations permit the employee to defer the recognition of gross income from such stock to the first taxable year in which the person's interest in the stock becomes substantially vested. See Treas. Reg. § 1.83-1(a)(1). Section 83(h) permits a deduction to the corporate employer to the extent that such value has been included in the employee's gross income.

Here, the Tax Court considered whether a deduction would be allowed to a transferee of the corporate employer in connection with corporate stock transferred to an employee in 2002. The transferee corporation, which had acquired the company by merger, claimed that deduction should be permitted its taxable year ending in 2009, as until that time the stock was subject to a substantial risk of forfeiture that was ultimately eliminated. The employees treated the value of the stock, as represented by consideration provided with the merger, as gross income, thus reporting more than \$117 million in wage income during that tax year.

The Tax Court disallowed the deduction. Although stock was indeed transferred in 2002 when the employee began his employment, the employee transferred \$450 to the corporation, an amount corresponding to the par value of issued shares. Thus, the first problem for the deduction

was that the corporation had failed to prove that the par value was less than the intrinsic value of the shares at the time the stock was issued. Moreover, the corporation had failed to prove its intention to limit the purpose of the issuance of the stock to the performance of services, a proof made more difficult by the fact that it was the successor to the original employer.

Rather than showing a restriction on the shares, the practices of the company seemed to treat the employee as the owner. This included reporting distributions of income and losses to the employee-owner, which it was required to do because it was an S corporation. The employee also voted the shares and signed corporate documents as an owner. This, too, was thought to be consistent with the view that the stock was not subject to a substantial risk of forfeiture, a finding bolstered by the vice presidential position, his substantial ownership stake, as well as his close relationship with the founder, which suggested that restrictions on the books were not likely to be enforced.

Comment: The case is on appeal to the Fourth Circuit. It should be noted that the corporate employer never reported the value of any portion of the stock as wages during any of the preceding tax years; nor did it pay any employment taxes thereon. Denying the deduction to the successor (by merger) in a later tax year may mean that neither of the employers gets the benefit of the deduction. The earlier tax years are likely closed at this point. The S corporation shareholder/employees presumably were mostly indifferent (apart from employment tax issues) during the earlier tax years since the corporate deduction would only have reduced their K-1 income shares from the company with a corresponding increase in W-2 income. But since the employees reported more than \$117 million of wage income on their 2008 tax returns in order to support the company's deduction claim, they are not indifferent now. They have filed protective refund claims.

8. Expenses paid on behalf of C corporation were nondeductible, Rochlani v. Commissioner, T.C. Memo 2015-174

Taxpayers founded a business, "Ultimate Presales", which bought and resold tickets to sporting events and concerts. Unbeknownst to Taxpayers, their precocious son, still a minor, used an online legal service to incorporate the business in Michigan. When paperwork came to the family residence, Taxpayer asked his son about the incorporation, but he did nothing to unwind it. In fact, he filed corporate annual reports with the State of Michigan.

Taxpayers reported results for Ultimate Presales on Schedule C, including losses for the firm based on payments for various expense items via personal credit cards. The Service disallowed these expenses as nondeductible, as they were in fact expenses of the corporation, not of the individual taxpayers. While the case was pending, the Husband died, but the litigation was continued by his wife, assisted by their son.

The Tax Court agreed with the Service, noting that the corporation was formed, and that Taxpayer apparently ratified the unauthorized act of his son in incorporating the business. The fact that the corporation failed to maintain corporate books or accounts was not a sufficient basis to ignore the corporate form. "[Taxpayers'] ratification and adoption of the corporate form requires the acceptance of its tax disadvantages."

Comment: The taxpayer in this pro se litigation came out badly, as the law was on the side of the Service, even though we may sympathize with this hard-working entrepreneurial family. This illustrates that these online legal services may not be telling your clients everything they need to know to stay out of trouble – and I would guess that the tax costs (including accuracy penalties) were greater than the savings from using the online service.

9. No deduction for shareholder payment to widow of business colleague on corporation's behalf, *Zavadil v. Commissioner*, 793 F.3d 866 (8th Cir. 2015)

This case involved multiple tax issues including a charitable deductions for corporate payments made on behalf of Taxpayer and a business expense deduction in connection with a payment Taxpayer made on behalf of the corporation. Taxpayer was the sole owner of American Business Forms until 2000, when he sold the company stock to an ESOP in exchange for a note of more than \$28 million payable in 20 annual installments. He continued on as CEO and as a director without any compensation.

In 2004-05, he had a financial arrangement with the company through which it paid his personal expenses. He reimbursed the company by check, pursuant to a requirement by company creditors that balances be reduced to zero each month. Sometimes, he lacked the funds to do this, so the company would advance him money, which was recorded on the company ledger. Ultimately, large balances accumulated each month. Some of the payments advanced by the company involved payments to charitable organizations, which the Taxpayer claimed as a deduction on his return. In 2004, he also made a \$35K payment to the widow of a former colleague at the company. Taxpayer claimed that this was a death benefit that the company owed to the widow, which the company had failed to pay. He treated this as a business expense on his personal return.

The Eighth Circuit upheld the Tax Court's determination that the charitable deductions were not substantiated, as Taxpayer did not prove that bona fide indebtedness supported the payment by the company. "There was no written agreement between American Solutions and Zavadil that required repayment, no evidence that interest was charged, no sign of collateral to secure payment, and no record of a due date." The court noted that just because Taxpayer had repaid funds in the first half of 2005 did not mean that he was obliged to do so, and there was no evidence of payment in the second half of that year. Here, the system of advances apparently undermined the claim that he repaid the company in full at the end of each month, a system that was designed to comply with the demands of creditors.

As for the payment to the widow, the Eighth Circuit agreed with the Tax Court that this was not a payment of his own business expense, but the payment of the company's expense. See *Lohrke*, 48 T.C. 679 (1967). Even though Taxpayer claimed that he was protecting his own business reputation, he failed to prove that in the Tax Court.

Comment: This case appears to have been lost at trial, as the Circuit would not find the Tax Court's ruling to be clearly erroneous. It is quite clear that charitable contributions paid through agents are deductible when there is an underlying debt to repay. But the advance crediting feature of the ledger system injected doubt into this otherwise valid means of paying the personal expenses of the owner. It should be noted that the mere failure to document a loan does not mean a debt has not been incurred; nor does the nonpayment of interest. This case

should not be read to suggest otherwise. As for the payment to the widow, sometimes doing the right thing means spending after-tax dollars (recall Welch v. Helvering), and that was apparently true in this case. But query whether this could have appropriately been treated as an offset to the selling price of the stock, rather than a business expense, in that he arguably assumed a company liability.

10.No deductions for medical marijuana dispensary, Beck v. Commissioner, T.C. Memo 2015-149

The Service determined a \$1 million deficiency for the 2007 tax year associated with disallowance of deductions in connection with Taxpayer's operation of a dispensary for medical marijuana in West Hollywood, California.

Taxpayer started a dispensary business in 2001, and by 2007 he had expanded operations to two locations, doing business as a sole proprietorship using the name "Alternative Herbal Health Services". One location in San Francisco opened in 2001 and closed in 2008. The other location in West Hollywood opened in 2004 and continues to operate. However, in 2007, the DEA searched the West Hollywood operation and seized various items, including controlled substances, food items suspected to contain marijuana, and marijuana plants. His bank account was also later seized as containing funds from marijuana trafficking.

In his tax return for 2007, Taxpayer claimed a loss of \$600,000 for marijuana seized by the DEA. He also reported Schedule C amounts for operations, including \$1.7 million in gross receipts, COGS of \$1.4 million, and \$194 thousand in other expenses relating to his two dispensary operations. A professional preparer e-filed this return, but apparently did no bookkeeping and did not review any source documents or prepare other compliance documents for the Taxpayer.

California law allows medical marijuana dispensaries, but these activities violated federal law. Accordingly IRC § 280E disallows deductions for business expenses. Here, taxpayer "intentionally and routinely destroyed most documents pertaining to the operation of both dispensaries." Accordingly, some of the expenses were disallowed because they were unsubstantiated. Other expenses claimed on schedule C were disallowed under IRC § 280E. Here, unlike the Court's decision in CHAMP, 128 T.C. 173 (2007), in which the court allowed the taxpayer to allocate a portion of those expenses to legal activities carried on in the business, this taxpayer was unable to show any basis for such allocation.

As for the seized inventory and cash, Taxpayer attempted to characterized these as COGS, which is technically not a deduction and thus not disallowed under I.R.C. § 280E. See *Olive*, 139 T.C. No. 2 (2012), *aff'd*, 2015 WL 4113811 (9th Cir. 2015). The court disallowed the claimed amount for COGS, first on the ground that he failed to substantiate it, but also because seized amounts were never sold, and thus not eligible to be treated as an offset against the selling price. To the extent Taxpayer sought a loss deduction under section 165, this would likewise be barred by IRC § 280E which applies to any deduction or credit. An accuracy penalty was also applied here.

Comment: The lack of substantiation was a problem for this taxpayer. The application of IRC § 280E was likewise upheld by the Ninth Circuit in Olive, as noted above. Query: if the rules of

section 280E are broadly applicable, how does a dispensary stay in business? Are markups sufficiently large to bear the weight of taxation on gross income? See also *Canna Care, Inc. v. Commissioner*, T.C. Memo 2015-206 (likewise following the Ninth Circuit's decision in *Olive*).

11. Legal expenses related to home deductible when connected with home office, *McMillan v. Commissioner*, TC Memo 2015-109

Taxpayer lives in a condominium, in which she maintains a home office for her IT and database management business. She incurred considerable legal expenses arising from a dispute involving noise and other factors that interfered with her use and enjoyment of the property. The Service disallowed deductions associated with these expenses as personal and family living expenses. See § 262. However, the Tax Court allowed half the total expenses based on the fact that Taxpayer had a legitimate trade or business and she reported a 50% business use of the condominium unit.

Comment: This is a fair reading of the origin of the claim test that comes from Gilmore (SCT 1963). However, it appears that the Service had the burden of proof on this issue, and that Taxpayer lost this issue in prior years based on a failure of proof. Marshalling more facts that show when noise was heard and how it interfered with the business use of the property might have been helpful.

12. Safe Harbor method for retail and restaurant businesses, Rev. Proc. 2015-56 (November 19, 2015).

The Service has announced a safe harbor method allowing eligible taxpayers, including most restaurants, to deduct up to 75% of so-called “remodel-refresh” costs while capitalizing and depreciating the remaining 25%. This resolves some controversies over whether these costs are deductible as repair costs under section 162(a), capitalized as permanent improvements or betterments under section 263(a), or capitalized as self-produced assets under section 263A. The Rev. Proc. also includes an automatic change in method for eligible taxpayers to apply it beginning in the 2014 tax year.

Comment: Capitalization mavens are still processing this guidance, but early comments are favorable. Note that the scope of retail/restaurant establishments eligible for the safe harbor is limited. And one downside to this guidance is that applies only to taxpayers with “applicable financial statements” – likely reducing the benefit for many small business operators who don’t obtain audited financial statements.

13. Tangible Property Expensing Threshold raised to \$2500, Notice 2015-82, IR-2015-133 (Nov. 24, 2015).

Taxpayers without an “applicable financial statement” are currently subject to a de minimis deduction rule that allowed only \$500, while those with an “applicable financial statement” could elect to deduct an item if the acquisition costs did not exceed \$5000. See Treas. Reg. 1.263(a)-1(f). According to the Notice, the IRS received 150 comment letters suggesting that the \$500 limit be increased. Suggestions ranged from \$750 to \$100,000. The Service chose \$2500, effective for costs incurred on or after January 1, 2016. However, the Notice also suggests that it “will not further pursue the issue” if the taxpayer had an issue after December 31, 2011 and before January 1, 2016.

Comment: This will no doubt come as a relief and, frankly, may more closely reflect practices for small business owners. But query: why the lower limit for Taxpayers without an AFS?

C. Charity

1. Mortgage subordination precludes conservation easement, *Mitchell v. Commissioner*, 775 F.3d 1243 (10th Cir. 2015), affirming 138 T.C. 324 (2013)

Taxpayer sought to deduct a charitable contribution of a conservation easement on property owned in Colorado the code requires that a contribution for conservation purposes must be “protected in perpetuity”. See IRC 170(h)(5)(A). Treasury regulations interpret this statutory requirement to preclude a deduction for an interest in property subject to a mortgage “unless the mortgagee subordinates its rights in the property to the right of the qualified organization to enforce the conservation purposes of the gift in perpetuity.” Treas. Reg. § 1.170A-14(g)(2). Remote future events will not result in disallowing the deduction. See *id.* § 1.170A-14(g)(3).

Here, the taxpayer had sufficient cash flow to pay the primary mortgage in 2003, when the easement was given, but a subordination agreement was not executed until 2005, nearly two years later. Taxpayer argued that the regulations contained no time restriction, but the Tenth Circuit pointed to forward-looking language (“no deduction will be permitted”) as supporting the IRS view. Moreover, the court also ruled that the IRS was entitled to demand strict compliance with the mortgage subordination provision, even where the likelihood of foreclosure was remote. For purposes of the remote future event exception, the risk of foreclosure was simply not eligible to be considered.

2. Easement is not a qualified real property interest, *Balsam Mountain Investments, LLC v. Commissioner*, TC Memo 2015-43

An LLC owned 22 acres of land in North Carolina. It attempted to grant a conservation easement to a nonprofit corporation. However, the easement agreement allowed the LLC to alter the boundaries of the conservation area and to substitute new land that would serve the conservation purposes for a period of up to five years following the agreement. The LLC filed Form 1065 for its 2003 tax year, which reported the conservation easement as a charitable deduction. The Service disallowed the deduction on the ground that the easement is not a “qualified real property interest” described in IRC § 170(h)(2)(C), which requires an identifiable, specific piece of real property. See *Belk v. Commissioner*, 140 T.C. 1 (2013).

Comment: Although the Belk case involved a taxpayer who could substitute new property, the court refused to distinguish this case based on the fact that the taxpayer here could only change the boundary, not substitute a new property. Query whether this result would allow a deduction for the property after the five year restriction lapsed. At that time there would be a specific property, but query whether the donation year would still be considered in 2003? Also, would taxpayer have the 2008 tax year open for purposes of a refund claim?

3. Conservation easement fails due to lack of permanency from flexible boundaries, *Bosque Canyon Ranch, LP v. Commissioner*, TC Memo 2015-130

Taxpayers claimed a charitable contribution deduction for a conservation easement that their partnership contributed to the NALT, a charitable organization, in connection with a real estate development project. Pursuant to the grant, the conservation boundaries could be

modified, albeit subject to limitations that prevented the overall amount of property subject to the easements from being decreased as a result of modification. However, this fails the requirement of a use being granted in perpetuity. See *Belk*, 140 T.C. 1 (2013), aff'd, 774 F.3d 221 (4th Cir. 2014). Moreover, the taxpayers also suffered a gross valuation misstatement penalty, as they were unable to claim reasonable cause due to a failure to provide appropriate paperwork for the easement.

The Tax Court also found that the partnership had erroneously characterized payments for lots as contributions to capital. However, since soon after the payments were received, real estate was distributed to the putative partners, these payments were treated as disguised sales, thereby making them taxable to the partnership.

4. No reasonable cause defense for valuation penalty, *Kaufman v. Commissioner*, 784 F.3d 56 (1st Cir. 2015), affirming T.C. Memo 2014-52

Taxpayers continued their quest for justice after the Service disallowed a historic preservation easement on their Boston townhome and imposed a 40% gross valuation misstatement penalty. This quest generated four separate Tax Court opinions and two trips to the First Circuit, this time to determine whether the imposition of the 40% penalty was correct.

The Tax Court had determined that the value of the easement on their residence was zero, not \$220,800 as they had claimed. This claimed value was produced by a professional appraiser, who estimated the burdens imposed on the property would reduce the property's fair market value by 12%. He relied in part on a document prepared by an IRS employee, which stated that the proper valuation of a façade easement should range from 10-15% of the property's value.

However, once they received the appraisal, the Taxpayers got worried that the reduction in resale value would be greater than the tax benefits from the easement. A representative of the trust, which helped to promote the easement transaction, assured them that properties with easements had not been put at a market disadvantage. Taxpayers went ahead with the transaction without further investigating the value of the easement.

Although Taxpayer had a qualified appraisal, the Tax Court ruled that the Taxpayers failed to make a good faith investigation of the value of the easement to confirm the value they reported. Both of these requirements must be met to avoid a penalty under section 6664(c)(2). Moreover, Treas. Reg. § 1.6664-4(b)(1) contemplates that good faith is not satisfied merely by procuring an appraisal. The Tax Court found that these taxpayers were subject to the penalty, and that they were not entitled abatement on the grounds that they were acting with reasonable cause and in good faith.

The First Circuit affirmed, noting that the Tax Court was entitled to some deference concerning their determinations about good faith. Here, the Tax Court did not err in treating a "good faith investigation" as requiring an "exhaustive investigation" as Taxpayer alleged. Instead, it merely required the Taxpayer to do "some basic inquiry into the validity of an appraisal whose result was squarely contradicted by other available evidence glaringly in front of them." Nor could the taxpayer claim reliance upon their accountant, who did not give an opinion on the appraisal.

Comment: The First Circuit rejected Taxpayers' attempts to rely on other cases, including Whitehouse Hotel and Chandler, which might have supported penalty relief. These taxpayers were "highly intelligent, very well-educated people", which provided a reasonable basis for the Tax Court to find that they should have taken further steps to evaluate the value stated in the appraisal. Perhaps if Taxpayers had not raised so many questions via email to the Trust (and not have been so bright), they might have avoided a penalty.

5. Charitable intent supported deduction for bargain sale of real estate, Davis v. Commissioner, TC Memo 2015-88

Taxpayers owned some property that would be valuable for development as a retirement community. Although a portion of the land was on a 100-year floodplain and could not be developed, this was viewed as valuable for the development, as the land could be used for recreation and picnic areas for the residents. Taxpayers were first approached for the purpose of donating the land, but they were financially unable to do so. Instead, they negotiated with the Foundation that wanted to engage in the development and, after a suggestion from the Foundation about the concept of a bargain sale, they reached a tentative agreement in which Taxpayers would receive \$2 million (rather than \$3-4 million initial asking price) plus a right to name a building on the land and additional rights for family members to reside there at reduced rates.

Taxpayers consulted their CPA about the bargain sale and an appraiser was retained. They ultimately drafted an extensive agreement that would govern the deal. One of the terms required that the property appraisal would be at least \$4.1 million, or Taxpayers could terminate the agreement. On August 29, 2005, the appraiser provided an opinion showing a \$4.1 million valuation, contingent upon zoning the property for multifamily use. While differences remained between Taxpayers and the Foundation, Taxpayers conveyed the property on September 9, 2005, leaving some matters for later resolution. Ultimately the request to have family members reside there was not included. The Foundation provided a letter stating that the land was appraised at \$4.1 million, the sales price was \$2 million, and therefore a charitable gift of \$2.1 million had been made. It also directed the taxpayer to consult his CPA to file Form 8283.

Taxpayer filed the Form 8283 with their 2005 return along with an appraisal of the property. They applied the deduction to the extent of applicable legal limits, carrying the balance forward to future tax years. The Service disallowed the entire deduction, arguing that the Taxpayer lacked charitable intent when he sold the land. The Tax Court upheld the deduction, albeit with adjustments. According to the court, "Intent rests not on events that may have occurred before the sale but on [Taxpayer's] intent at the time of the sale." Taxpayers continued with the transfer, and did not press for rights that they had in the original agreement, thus confirming charitable intent. Moreover, charitable intent would not be nullified because Taxpayers sought to realize tax benefits. The question was simply what the property was worth and what he received – not what he had originally paid for the property.

Comment: The Service's challenge to charitable intent seems odd indeed: since when does a desire to receive tax benefits for charity make it uncharitable to give? Isn't that the point of granting a deduction?

D. Alimony and Family

1. Taxpayer payments to former spouse were alimony, not child support, *Wish v. Commissioner*, T.C. Summ. Op. 2015-25

Although summary opinions don't usually make the important developments survey, this one involved an unusual fact pattern. The husband was required to pay his former wife \$3800 per month from May 24, 2009 to May 31, 2013, but such amount would be reduced by 50% if she discontinued home schooling their child. Husband also paid monthly child support of \$1200 under this judgment, which diminished to \$600/month after May 31, 2013, and thereafter further declined \$100/year, ending on the child's eighteenth birthday.

The Tax Court upheld the alimony deduction for the \$3,800 payment, noting that the contingency for reduction involved conduct of the wife, not a matter relating to the child which could appropriately be characterized as child support. The court found that the agreement was designed to compensate the wife for the financial hardship of homeschooling, which would not allow her to work outside the home. When the wife discontinued homeschooling, the child continued to be schooled, albeit at a different location.

2. No alimony without written agreement directing payment, *Milbourn v. Commissioner*, T.C. Memo 2015-13

Taxpayer was divorced from his wife in 2006. However, the divorce decree did not include any instructions, provisions, or guidance with respect to alimony. In 2007, the court issued an amended decree based on an agreement signed by Taxpayer and his former wife, which direct alimony payments. Taxpayer conceded that there was no separate maintenance agreement directing such payment. During 2006, Taxpayer paid \$37K in alimony, which he deducted from his tax return. He claimed that these payments were based on a draft agreement, verbally attested to by the parties, and later clarified through the amended decree in 2007. Taxpayer failed to file his 2006 return until 2011, and the Service disallowed the alimony deduction.

The Tax Court agreed with the Service that no alimony deductions were allowed in 2006. The draft agreement merely contemplated a prospective course of action, but it was not agreed to by the parties in 2006. During the period after Taxpayer had proposed the draft agreement and until the 2007 amended decree, the parties had disagreed about the amount of alimony. There was no meeting of the minds. When it granted the divorce decree, the family court had reserved determination of all other issues, including alimony. Thus, without a written agreement, there was not alimony for purposes of section 71, and no deduction under section 215.

Comment: This taxpayer had late filing penalties, but the Service conceded accuracy penalties. A good lesson: no alimony without an agreement. And in this case, a costly one, as Taxpayer still parted with \$37K paid to his ex-wife, which would presumably be treated as a property settlement. Do to the late filing of Taxpayer's return, this issue did not come to light until years after the 2006 tax year would be closed for his ex-wife. Query whether she reported these amounts as alimony income? Will conflict continue over the proper division of the marital estate?

3. No alimony deduction for attorney's fees because payment would not terminate upon wife's death, *Hampers v. Commissioner*, TC Memo 2015-27

Pursuant to a final divorce decree issued June 15, 2007, following a long and contentious path to divorce, Taxpayer agreed to pay the present and future attorney's fees of his ex-wife. In 2009-2011, taxpayer paid such legal fees, and he claimed these payments (along with others) as deductible alimony.

The Tax Court agreed with the Service that these payments of attorney's fees are not alimony, as the obligation to pay attorney's fees may continue after the payee's death, making them nondeductible. See IRC § 71(b)(1)(D). Applying New Hampshire law, the Tax Court agreed that silence in the decree is not answered by any state rule in this context that would cause the obligation to terminate. Indeed, if the ex-wife had died, her estate might indeed maintain an action for collection of accrued arrears, or additional fees could be incurred in a so-called "Gosselin" proceeding to determine their reasonableness.

Comment: This case presents yet another drafting lesson for family law practitioners. Fortunately for this taxpayer, the Service waived any penalties. It should be noted that section 71(b)(1)(D) refers to "any such payment for any period after the death of the payee spouse". Shouldn't this reference to a payment "for" a "period" after death protect the status of a payment that accrued prior to death, but was paid thereafter? And query, since an estate is a separate taxpayer, should a claim for attorney fees to represent the estate in pursuing a claim be covered? Shouldn't that be separately categorized for alimony purposes, so that it is no longer made to the former spouse? There are complexities lurking here that may deserve further attention.

4. Neither loss nor alimony deduction permitted when property transferred to former spouse, *Mehriary v. Commissioner*, T.C. Memo 2015-126

Taxpayer and her former husband divorced and entered into a marital settlement in a Florida court on January 11, 2010. On February 19, 2010, the court entered a final judgment of dissolution of marriage. Pursuant to that settlement, Taxpayer would own one of the couple's homes and her husband would own the other. Taxpayer would also pay husband \$4K per month for 60 months as alimony. On February 16, 2010, Husband transferred one of the homes (the Sweet Briar home) by quitclaim deed to Taxpayer in satisfaction of this term of the agreement. Taxpayer commenced making alimony payments.

Later in 2010 or early in 2011, Taxpayer submitted a proposed modification to the agreement, in which she would transfer the Sweet Briar home back to Husband in lieu of \$80,000 of her alimony obligation. Husband agreed, and Taxpayer sent a letter to the Circuit Court requesting a corresponding modification of the divorce decree. In February 2011, Taxpayer quitclaimed the Sweet Briar home back to her former husband. On her 2011 return, Taxpayer claimed an \$80K loss deduction on the transfer of the property, which she had characterized as an investment property.

The Tax Court made short work of the loss deduction, as the transfer was within the one-year period prescribed in section 1041, and thus incident to the divorce. Accordingly, no loss could be recognized. Taxpayer alternatively argued that the transfer of property should be treated as alimony. But this was plainly contradicted by section 71 and its requirement for a

payment in cash. An accuracy penalty applied, as the court noted that she was advised to seek tax advice when she entered into the marital settlement agreement, but she did not do so.

Comment: This pro se taxpayer got into a heap of trouble because she did not have competent tax advice in addressing the modification of the marital settlement. Family law practitioners, take note. These basic requirements seem to trip up some taxpayers every year.

5. No dependent status for child of former ward, *Cowan v. Commissioner*, T.C. Memo 2015-85

Taxpayer is the former guardian of Marquis Woods, who first resided with Taxpayer in 1986 when he was just six weeks old. He has lived continuously with Taxpayer since that time. Although Taxpayer was formally appointed his guardian in 1991, that status terminated in 2004 when he reached 18. However, Woods regards Taxpayer as his mother, and she regards Woods as her son. She never adopted Woods because she did not know the difference between guardianship and adoption, and she was financially unable to pursue adult adoption.

In 2006, Woods fathered a daughter. Beginning in 2011, his daughter lived with Woods in Taxpayer's household. Taxpayer provided all the support for the household, and she claimed both of them as dependents. Woods qualified as a dependent, as he is a "qualifying relative". Even though he is not formally a son (and even if he was a "child" he would not satisfy the age requirement, as he was over 25 years old), he "has the same principal place of abode as the taxpayer and is a member of the taxpayer's household." IRC § 152(d)(2)(H). But Wood's daughter did not meet the statutory definition of a dependent because she is not Taxpayer's "qualifying child". Since she is neither a "child of the taxpayer or a descendant of such a child", see IRC § 152(c)(2), that presents a problem. Taxpayer argued that for this purpose, Woods is her child. Child is defined in a manner that includes "an eligible foster child of the taxpayer". See IRC § 152(f)(1)(A). But in 2011, Woods was no longer an individual placed in the care of the Taxpayer by a court of competent jurisdiction. Her guardianship terminated in 2004, when he became an adult. State law affects this determination.

Regulations state that a "relationship of affinity once existing will not terminate by divorce or the death of a spouse." Treas. Reg. § 1.152-2(d). According to the court, this permits an in-law to continue to be treated as one's dependent. But this does not extend beyond a relationship by marriage to a foster care relationship.

Thus, Taxpayer was not allowed to treat Woods' daughter as her dependent. This affected not only the dependency exemption, but also her claims for the EITC and the Child Tax Credit. She was also not allowed to file as "head of household" because she has no qualifying child in the household.

Comment: This seems like a tough break for the Taxpayer, but the legal analysis here winds its way carefully through the statutory maze defining a dependent. This case may provide helpful guidance for those seeking to evaluate filing status and dependent claims for those with nontraditional family relationships.

6. Unmarried co-owners permitted \$1.1 M mortgage interest per person, not per residence, *Voss v. Commissioner*, 2015 WL 4664437 (9th Cir. 2015), reversing 138 T.C. No. 8. (2012)

In this issue of first impression before the Ninth Circuit, the court ruled that unmarried domestic partners who co-owned property could compute deductible mortgage interest on a per-taxpayer basis, rather than the less favorable per-residence basis that would otherwise apply to married taxpayers.

Taxpayers Voss and Sophy co-owned two homes in California. One home in Rancho Mirage was subject to a \$500K mortgage, while the other, their principal residence, in Beverly Hills had a mortgage of \$2.24 million. They also had an additional home equity line of credit. The total mortgage indebtedness was about \$2.7 million for the 2006 and 2007 tax years, which is clearly above the \$1.1 million total limitation for acquisition and home equity indebtedness stated in section 163. The question is whether each of them may deduct the mortgage interest he paid on up to \$1.1 million principal, or whether the two of them must allocate his share of deductible interest based on a total of \$1.1 million in principal.

A majority of the Ninth Circuit panel ruled that the statute here did not restrict this limitation to a per residence amount. If Congress had wanted to make clear that a per-residence limitation applied to unmarried owners, it could have done so, as in the case of the first-time homebuyer credit in section 36 of the Code. However, it chose to state the limitation on a taxpayer basis, with a separate limitation imposed in the case of a married individual who files a separate return. As the Code otherwise treats married joint filers as a single taxpayer, the court found this to be persuasive in interpreting the limitation on a taxpayer basis, not on a residence basis.

The dissent urged deference to the IRS interpretation, a position that the Tax Court shared. However, the only formal position was a 2009 Chief Counsel Advice memorandum. The majority did not find that to be worthy of deference.

Comment: This interpretation creates a marriage penalty in this context. As the majority states, “[Married filing jointly] offers significant benefits ... [b]ut it’s not all honeymoon.” As a matter of statutory interpretation, the majority appears to have this right. Congress can fix the so-called penalty – but should it do so by raising the limit for married couples or by reducing it for unmarried co-owners?

III. Tax Credits

1. IRS implementation of premium tax credits for purchases on exchanges established by federal government was valid, *King v. Burwell*, 135 S.Ct. 2480 (2015), affirming 759 F.3d 358 (2014)

The SCT did not give *Chevron* deference to the IRS’ interpretation of the ACA, as this was a “question of deep economic and political significance that Congress would have expressly delegated if it had intended for an agency to handle it. (That also probably means that a subsequent IRS cannot issue new regulations to overturn this interpretation.) But it nevertheless concluded that the language of IRC § 36B, which confers a credit on those purchasing insurance

through “an Exchange established by the State”, also confers a credit on an exchange established by the Federal government. The Court found this language to be ambiguous, but it looked to the broader structure of the ACA in reaching this result, thereby avoiding “death spirals” in insurance markets that Congress arguably designed the Act to avoid. A vigorous dissent by Justices Scalia, who was joined by Justices Thomas and Alito, stated in part that the Court’s holding “is of course quite absurd, and the Court’s 21 pages of explanation make it no less so.”

Comment: This case is likely to be cited by those seeking to stretch a statute to reach a desired purpose or policy outcome. (I note 59 citations at the time of this writing, but I have not confirmed this intuition empirically.) Note that another important ACA case is pending, which involves a challenge by the U.S. House of Representatives against the allegedly improper use of federal funds to provide offsets or subsidies to insurers. The House argues that this spending requires an appropriation, which it has not given. See U.S. House of Representatives v. Burwell, No. 1:14-cv-01967 (D.D.C.)

IV. Procedure and Litigation

1. Failed proof of filing protest results in penalty, Smith v. Commissioner, T.C. Memo 2015-60

Soon after October 20, 2010, Taxpayer received Letter 1153, Trust Funds Recovery Penalty Letter, which proposed an assessment for trust fund penalties for failing to collect and pay over employment taxes for a limited partnership in the first three quarters of 2009. Taxpayer faxed a copy of this letter to his CPA, who prepared a letter protesting the assessment, which explained that Taxpayer had withdrawn from the partnership as of January 1, 2008, and thus was not responsible. The letter also included supporting documentation. However, according to the Tax Court, this letter was not sent. The IRS later assessed the penalties in 2012 and sent notices of intent to levy, which triggered further correspondence and a collection hearing. However, the settlement officer refused to consider a challenge to the underlying liability, since the Taxpayer had a prior opportunity to respond to the 2013 Letter 1153, but did not do so.

The Tax Court petition addressed only the matter of whether the Taxpayer had a prior opportunity to challenge the penalties. Section 6330(c)(2)(B) provides that the appeals office can only consider a challenge to the underlying liability at a collection due process hearing if the taxpayer did not have a prior opportunity to dispute the liability. Here, that issue turned on whether the CPA actually sent the letter he drafted. The Taxpayer called the CPA to testify, and he stated that the letter had been given to his staff “for processing and sending to Treasury.” However, the court found this to be insufficient, since there was no testimony from a staff member. Moreover, the court made a negative inference from the failure to have a certified or registered mail receipt in the files. The taxpayer also attempted to show that the letter had been faxed to the IRS in 2012, but the record did not show whether that was the original letter or the retained copy of the letter that had been sent. Moreover, the IRS alleged that it did not have a copy of the letter. Over all, the taxpayer failed to show, by a preponderance of the evidence, that the letter had been sent. As a result, he was precluded from challenging the levy.

Comment: The CPA arguably committed malpractice if he did not send the letter. But query whether the Taxpayer could prove this in litigation against the CPA? We can all learn from the situation, including the ineffective attempt to prove the letter was sent.

2. Attorney fee award based on IRS concession under QOR, Knudsen v. Commissioner, 793 F.3d. 1030 (9th Cir. 2015), reversing T.C. Memo 2013-87

In this case, the Ninth Circuit reversed a Tax Court decision denying fees and litigation costs under section 7430 to a taxpayer, holding that the IRS concession did not constitute a settlement for purposes of the “qualified offer rule” (“QOR”) under IRC § 7430(c)(4)(E), thereby entitling the taxpayer to relief.

Taxpayer had filed joint tax returns with her former husband for the 1998-2001 tax years. Notices of intent to levy were sent to each of the spouses in June 2005, and following a divorce, Taxpayer filed for equitable innocent spouse relief under IRC § 6015(f). At this time the IRS took the position that a two-year limitations period applied to equitable claims such as this, and her claim was denied. Taxpayer filed a petition in the tax court seeking relief from this determination. Further, on April 21, 2010, Taxpayer made a “qualified offer” to settle her tax liability for the sum of \$50/year for each of the four open tax years. The IRS did not respond, and thus the offer expired by operation of law after 90 days.

On July 25, 2011, the IRS Chief Counsel announced that the Treasury would no longer follow the two-year rule in connection with innocent spouse claims. As a result, that same date, the Service informed Taxpayer that it was conceding that her relief was no longer time barred. It later conceded her entitlement to innocent spouse relief. On September 28, 2011, Taxpayer requested attorney fees and costs totaling over \$39K, arguing that such amounts were incurred after the qualified offer was made and rejected. The Tax Court denied costs and attorney fees, ruling that this was a settlement for purposes of the QOR.

The Ninth Circuit observed that, by statute, the QOR does not apply to a judgment issued pursuant to a settlement. Disagreeing with the Tax Court, the Ninth Circuit found that no settlement had been reached here, as there was no exchange between the parties that could be characterized as a contract. Instead of reaching a bargain, the IRS unilaterally conceded the case. This was thought to be similar to the *Estate of Lippitz*, TC Memo 2007-293, in which the IRS conceded the taxpayer’s entitlement to innocent spouse relief after taxpayer moved for partial summary judgment. Once the litigation has reached the stage of a dispositive motion, the court found this to resemble a settlement after trial.

Comment: By shifting litigation costs to the IRS when it is unwilling to settle, section 7430 may provide a shield to defend taxpayers from government decisions, which may not otherwise be sensitive to cost considerations. Here, Taxpayer had alleged that she had no income, had no obligation to file a return, and had no personal tax liability during the years at issue – a strong case for equitable relief.

3. No statute of limitations where S corporation's ESOP failed to file Form 5330, Law Office of John H. Eggertsen PC v. Commissioner, 800 F.3d 758 (6th Cir. 2015)

Taxpayer was a law firm organized as an S corporation. The owner, Eggertsen, transferred all of the stock to an ESOP in 1998. As a result, instead of being taxable on his distributive share of income, the ESOP receiving the distributive share would be tax exempt. Thus, this structure would effectively permit Eggertsen to defer income taxes on non-compensation earnings until retirement.

In 2001, Congress caught on to this scheme and imposed a 50% excise tax on S corporation ESOPs that failed to satisfy rules governing broad-based employee ownership. See IRC § 4979A. Treasury regulations made these new rules effective in 2005, and they implemented other onerous consequences, including the potential loss of ESOP status. The firm responded by amending its ESOP and moving Eggertsen's stock to a non-ESOP account in 2005. Believing that this satisfied its obligation, the firm filed a return for the ESOP disclosing that it owned \$401,500 in employer securities, and it did not file Form 5330, which was designed to report this new excise tax when applicable.

Unfortunately, they were wrong. The statute still imposes a tax, using a so-called "nonallocation year" as a triggering event. All the parties agreed that 2005 was a "nonallocation year" because ownership was not sufficiently diffused among employees. The taxing statute states in part that if a triggering event, including a "nonallocation year", occurs, "there is hereby imposed a tax on such allocation or ownership equal to 50 percent of the amount involved." IRC § 4979A(a). Accordingly, the Service imposed an excise tax of \$201,750. But this did not occur until after the three-year limitations period applicable under the general rule of section 6501(a). But here, an exception applies. The "return required to be filed by the taxpayer" – Form 5330 – was never filed. In such a case, the Service may assess the tax "at any time". See IRC § 6501(c)(3). None of the applicable exceptions fit this situation, leaving the firm in a bad spot.

The Sixth Circuit affirmed the Tax Court's ruling (143 T.C. 265 (2014)) that the firm owed the taxes and that the assessment was not barred by the statute of limitations. However, that ruling was the product of a motion for reconsideration by the Service – its earlier ruling had concluded that the statute of limitations was not found in section 6501, but in IRC § 4979A(e)(2)(D). When the Service found out that the result was adverse, it changed horses, arguing that the failure to file exception in section 6501 was the correct rule in this context. The Tax Court agreed and issued a new ruling. A majority of the Sixth Circuit found no error here, and no basis for imposing a judicial estoppel. They viewed the Tax Court's reconsideration as a correction of an error, which does not apply when the Commissioner "made a mistake" regarding the law.

Comment: This case shows how benefits law can have labyrinthine qualities, with dangers at every turn. Should an ESOP file a Form 5330 showing no tax due every year to start the limitations period, just in case? Note also that the dissent was concerned about allowing the Service to change its litigating position after an adverse outcome, effectively getting a second bite at the apple before the Tax Court through reconsideration. He would have remanded to see

if judicial estoppel would be appropriate: “When the [IRS] is permitted to litigate according to its whims in the Tax Court, knowing that a do-over will be available if it does not succeed on the theory that at first seems most expedient, tax law jurisprudence suffers no less than the integrity of the rule of law and the courts.” A fair point. Should attorney fees be awarded to the taxpayer when a change of position dictates a new set of arguments? But it would seem that everyone had it wrong the first time – including the taxpayer.

4. Reforming Form 872 based on mutual mistake, Hartland Mgt. Servs., Inc. v. Commissioner, T.C. Memo 2015-8

Taxpayers successfully proved that they timely filed returns, and they asserted that the applicable three-year limitation period had expired at the time the Service sent a notice of deficiency on November 21, 2012. At this point, the Service had a burden of going forward with proof to show that a valid extension of the limitations period existed, which then shifts a burden of going forward back to the taxpayer to show an exception is invalid or otherwise applicable. The taxpayer continues to bear the burden of ultimate persuasion that the limitations period is a bar to a proposed deficiency.

Here, Taxpayer signed Forms 872 for themselves and related entities. However, the Service alleged that the forms contained a “scrivener’s error” in referring to periods ending in February, April, and August 2012 for each respective taxpayer. According to the Service, these were the otherwise-applicable dates for which the limitations period would expire but for an extension, and the extension was executed to keep these prior tax years which were under examination open beyond these expirations dates. The Service thus sought to reform the original Forms 872 on account of “mutual mistake” between the Service and the Taxpayers.

According to the Tax Court, “While it is long established that the Commissioner ‘takes the risk of any defect in the documents upon which he relies as waivers’, this Court nevertheless has the power to reform Form 872 to conform to the intent of the parties.” Clear and convincing evidence is required to take advantage of this equitable remedy. While Form 872 is not a contract but a “unilateral waiver of a defense by the taxpayer”, contract principles remain significant because the Code requires a written agreement between the parties to effectively extend the period of limitations. Here, the particular knowledge of the taxpayer was deemed relevant to this issue. Taxpayer was a tax lawyer and CPA, “presumed to be knowledgeable about Federal income tax law and procedure in general.” In these circumstances, reformation was granted and there was no bar in effect for the applicable year.

Comment: Note that tax lawyers (and CPA’s too) are held to a higher standard, which in this case favored the government position.

5. Former IRS Agent turned tax protestor sanctioned, Banister v. Commissioner, T.C. Memo 2015-10

Taxpayer had been employed as a special agent in the IRS Criminal Investigation Division from 1993-February 1999. However, in 1999 he authored a book entitled “Investigating the Federal Income Tax: A Preliminary Report”. This “report” was preliminary indeed, as it allegedly advocated arguments that citizens were not obligated to pay Federal income taxes for various reasons. He collected fees from speaking and advocating these views over the ensuing tax years. In 2003, the Office of Professional Responsibility of the Treasury

Department filed a complaint to bar him from practicing before the IRS on account of disreputably conduct in violation of Circular 230. That complaint was later amended to include as an additional ground for disbarment the Taxpayer's failure to file federal income tax returns. Taxpayer was eventually disbarred from practice before the IRS, and this was affirmed by an administrative appeal on the grounds of the disreputably behavior, though the failure to file taxes was rejected as a ground for disbarment on the basis that the record failed to show adequate gross income to require filing. That ruling was ultimately upheld by the Ninth Circuit (499 Fed. Appx. 668 (9th Cir. 2012)).

The failure to file tax returns was addressed through notice of deficiency issued for the 2002-2006 tax years. The 2002 year was decided separately (TC Memo 2008-201), and his defense there was based on arguments such as the invalidity of the notice of deficiency because it was not signed, lack of jurisdiction, along with other arguments that his income was not subject to tax and he had no obligation to file returns. Taxpayer continued this approach for the later years, and a 75% fraud penalty was imposed under section 6651(f). The Tax Court upheld this penalty, which it characterized as "primarily as a safeguard for the protection of the revenue and to reimburse the Government for the heavy expense of investigation and the loss resulting from taxpayer's fraud." Here, the Service proved fraud by clear and convincing evidence. Taxpayer's courts of conduct showed persistent behavior in the face of unanimous legal rejection, negating a good faith defense. And since Taxpayer invoked the Fifth Amendment, he offered no testimony to show any nonfraudulent explanation for his failure to file. In addition to the fraud penalty, Taxpayer was also sanctioned by a \$25K penalty under section 6673, as the court noted that he had adequate warning of this possibility.

Comment: An agent going to the dark side gets no penalty relief. According to the Tax Court, his education and experience working for the IRS, coupled with subsequent experience with adverse rulings, apparently negated any claims based on asserted beliefs, however honest those beliefs might be. And his arguments here about the validity of notices of deficiency did not explain the failure to file returns way back when returns were due. An appeal has been filed.

6. Reasons for finding taxpayer claims frivolous need not be specified, Ryskamp v. Commissioner, 797 F.3d 1142 (D.C. Cir. 2015)

Taxpayer challenged a denial of his request for a collection due process hearing (CDP) prior to levying on his property for unpaid taxes. Section 6330(g) of the Code permits the Service to treat a portion of a Taxpayer request as though it was never submitted if "any portion of a request for a hearing" is frivolous or reflects an attempt to delay or impede the administration of the tax laws. It further states that "such portion shall not be subject to any further administration or judicial review." Taxpayer received a "boilerplate letter" rejecting his arguments as frivolous, without explaining why.

The content of Taxpayer's original request is unknown, as it was lost by the Service. However, in response, the Service had stated that Taxpayer failed to offer a legitimate reason and further asked him to amend his request to provide a legitimate reason. To this, Taxpayer responded with an additional attempt, but further stated to the effect that if the Service did not provide information, he could not address which of his prior claims were frivolous. (He apparently did not conclude that all of them were frivolous, which appears possible.)

The Tax Court appears to have treated the Taxpayer with some deference, ultimately ordering the IRS to hold a CDP hearing despite the mysterious basis for his positions. After a telephonic hearing, the Appeals Office concluded that the arguments being made were frivolous and, moreover, Taxpayer had further demanded that his income was too low to pay taxes and that it should be raised. This was characterized as reflecting a “desire to delay or impede federal tax administration.” Once again, Taxpayer sought relief from the Tax Court, which rejected his argument based on the same grounds offered in prior orders. Taxpayer filed this pro se appeal.

Taxpayer appealed to the D.C. Circuit, which affirmed the Tax Court. First, it ruled that the Tax Court had jurisdiction to review whether a portion of a Taxpayer’s petition was frivolous. According to the court, Section 6330(g) only prevents judicial review of the merits if the court determines that the frivolousness determination is facially valid. The Tax Court may not do a “deep dive” into the merits, but instead “must conduct a limited, threshold review to ensure that the IRS did not err” in the determination.

Second, on the merits, it found that there was no abuse of discretion in failing to respond substantively to the Taxpayer’s arguments, which the court agreed “failed to articulate a cognizable legal theory”.

Comment: A dissenting judge began his opinion: “Answer a fool according to his folly.” Proverbs 26:5. But the preceding verse states: “Answer not a fool according to his folly, lest thou also be like unto him.” (KJV). A possible synthesis of these verses: dealing with a fool is hazardous using any tactic. Along these lines, the dissent thought that the Tax Court should lack jurisdiction, period. This regime existed prior to 1998, when there was no collection due process hearing required prior to initiating levy proceedings.

7. Tax protestor fined and jailed for civil contempt, United States v. Sanders, 81 F.Supp.3d 681 (S.D. Ill. 2015)

Taxpayer (and I use the term loosely) failed to file tax returns for twelve years. He received a summons requiring him to provide information concerning his 1998 through 2010 tax liabilities, to which he refused to comply. He initially hired a lawyer to represent him who advanced theories that were sufficiently discredited to suspend his license, based on discipline imposed by the Tenth Circuit for making frivolous arguments. Thereafter, he represented himself and continued to resist the court’s orders to provide information. The district court held him in civil contempt, imposing a fine of \$500/day and incarceration for 28 days in the county jail. It also appointed the Federal Public Defender to assist him, which caused him to give the Government the information it wanted. However, by this time, the fines had amounted to nearly \$150K. The Government also sought to impose costs of incarceration and to require reimbursement of costs related to the Federal Public Defender.

The court required Taxpayer to reimburse the public defender for \$1,777.78, reflecting 22 hours of time and 188 miles of travel. It refused to impose the costs of incarceration, which amounted to \$45/day, despite the Government’s argument that these represent costs imposed on federal taxpayers, which had to reimburse the county jail. Notably, the court agreed that such costs could lawfully be imposed, but it simply chose not to do so where the Government failed to ask for them at the outset. Finally, despite resistance from the Government, the court reduced the fine for contempt from \$150K to \$40K, noting that the public defender induced almost

immediate compliance following many days of obstinate resistance, which even jail did not break his will.

Comment: Does it trouble anyone that civil contempt authority can be used to induce a taxpayer to provide information to the Government in this context? (Compare, for example, Sodipo, TC Memo 2015-3, in which Service simply used bank reconstruction to determine income when Taxpayer refused to produce books and records. But admittedly, that taxpayer was already incarcerated.) Other courts have likewise imposed fines for contempt in this context. See, e.g., United States v. Montgomery Global Advisors, LLC, 96 AFTR 2d 5849 (N.D. Cal. 2005; United States v. Bright, 596 F.3d 683 (9th Cir. 2010). At least this taxpayer avoided a criminal indictment, which would have required the Government to prove its case without his cooperation. The Public Defender's work brought this fellow to his senses (and at a fair price, indeed); his first attorney's work proved quite expensive by comparison. As the court noted, "If adhering to this fringe philosophy cost his attorney his ability to make a living, then [Taxpayer] should have known that picking up where his attorney left off would also cost him dearly."

8. Tax Court can dismiss petition without a "proceeding", Davidson v. Commissioner, 144 T.C. No. 13 (2015)

The petitioner in this case invoked the Tax Court's jurisdiction under section 6015(e)(1) by filing a petition to review the Service's denial of innocent spouse relief. However, after filing, she wished to withdraw the petition. Ordinarily, when petitions to review a proposed deficiency are reviewed, an order dismissing the proceeding is required to be considered as a decision "that the deficiency is the amount determined by the [Service]" and the Tax Court is required to enter an order to that effect. IRC § 7459(d). At issue here was the effect of a withdrawal in a "stand alone" section 6015 case, which did not involve a deficiency notice for the petitioner. According to the Tax Court,

Congress has not required the Court to enter a decision upon the dismissal of a case such as this. Dismissal of this case through withdrawal of the petition has the same result as if the case was never brought. [Citations omitted.] This also means that section 6015(g)(2) will not apply in any later case that petitioner may commence as to section 6015 relief. Section 6015(g)(2) is operative only if there is a "prior proceeding". Dismissal of this case pursuant to the principles of FRCP 41(a)(2) will serve to treat this case as never having been a "proceeding".

Accordingly, there is no res judicata bar associated with a withdrawal in this case.

Comment: This permits a second bite at the apple – or to be technically accurate, a new first bite, since we are instructed to treat this petition as though it never happened! Thanks to the writers at Practical Tax Strategies, June 2015 at 270-71, for helping me unravel the significance of this case!

9. Ministerial acts did not cause delay that would justify interest abatement, Foote v. Commissioner, T.C. Memo 2015-187

Taxpayers sought relief from interest assessed in connection with liabilities and late filing penalties assessed for the 1992-1994 tax years. The return for 1992 was not filed until December 1994, due to a S corporation that was unable to timely file. Interest and late filing penalties

were immediately assessed, and then an audit for the 1992 tax return began in September 1995. That audit was expanded to other open years, and various audit activity proceeded. Meanwhile, Taxpayer's accountant, apparently failed to cooperate and informed the agent of a delay in getting information in response to audit requests. That accountant was later arrested on unrelated charges, causing Taxpayer to hire another accountant.

In 1999, a 30-day letter was issued, which proposed \$124M in tax for the 1992-96 tax years, but the adjustment was reduced to \$19 million after trip to Appeals, which returned the case to the agent for further development. Subsequent years were also audited, followed by more Appeals conferences and more referrals back to the agent for further development. Eventually, in 2006, statutory notices of deficiency were issued. Tax court litigation ensued, and ultimately stipulated decisions were entered in 2011, which returned a total tax liability of \$239K and \$54K in late filing penalties. Taxpayers filed a claim to request interest abatement, arguing that the interest from November 1999 to 2011 should be abated. That request was denied, and this case ensued.

The Tax Court rejected the abatement of interest in this case, concluding that there was no basis for finding that there was error or delay by an IRS employee in performing a "ministerial" act. Since this claim related to tax years beginning on or before July 30, 1996, a prior version of section 6404(e)(1) was applied in for those years. Accordingly, an "unreasonable" delay was not required, and a "managerial" act was not encompassed by the statute.

Although the legislative history indicates that Congresses intended that interest be abated "where failure to abate interest would be widely perceived as grossly unfair," the Court required the Taxpayers to show ministerial error under the plain meaning of the statute. However, a failure to follow the law is not a ministerial act; decisions about how to apply the law to the fact requires judgment and discretion, and thus are not ministerial. Many of the adjustments proposed in the audit were indeed incorrect, but they could only be corrected after Taxpayer provided information. Moreover, although the Agent determined that the Taxpayers maintained a "lavish lifestyle", this was not a ministerial act, but a matter of judgment.

Comment: The Taxpayers likely spent more on attorney fees than on the underlying tax. But the difference between \$124M and less than \$300K in tax and penalties ultimately stipulated in this case is large, and likely the source of significant anxiety and controversy over an extended period. When, as here, the wheels of justice seem to turn slowly, interest continues to accrue as long as those wheels are not stopped due to a ministerial act. Presumably, the managerial category might encompass a broader range of activities in later years, but only those which are unreasonable.

10. Mitigation provisions could not cure statutory bar to refund claim based on change in interpretation of law, Illinois Lumber & Material Dealers Ass's Health Ins. Trust v. United States, 794 F.3d 907 (8th Cir. 2015)

Taxpayer, a tax-exempt insurance trust, purchased life insurance policies from a mutual insurance companies. The insurer demutualized in 2003, resulting in a liquidating distribution from the insurer of more than \$1.4 million. The insurer provided a letter indicating that the membership interests in the former mutual company were capital assets and that the entire

amount would be a long-term capital gain. Taxpayer reported such amount as unrelated business income and paid a capital gains tax associated with its fiscal year ending in 2004. It also received additional distributions and reported them in the same manner on returns for fiscal years ending in 2006 and 2008.

This reporting position reflected the IRS position in Rev. Rul. 71-233, which treated the proprietary interest in a mutual insurance company as having a tax basis of zero. However, in *Fisher v. United States* (Fed. Cl. 2008), the Court of Federal Claims rejected that view, allowing some calculation of basis by the taxpayer. Taxpayer filed refund claims for these three taxable years, and after this ruling was affirmed by the Federal Circuit in 2009, the Service paid the claims for 2006 and 2008. However, it denied the 2004 claim on the ground that it was not filed within the three-year statute of limitations period in IRC § 6511(a). Taxpayer sued in district court, which ruled in its favor based on mitigation provisions in IRC §§ 1311-14. However, the Eighth Circuit reversed.

Essentially, the Eighth Circuit found that the district court erred in reaching the mitigation provisions in this case. When, as here, the refund claim is untimely, it was not a determination that “determine[d] the basis of property” as required in section 1312(7)(A), as one of the conditions for mitigation. Here, the Service admitted that it would have allowed the claim if it had been timely filed. It did not “actively” change a position – it only acquiesced to an adverse ruling in the Federal Circuit. Here, the adjustment for the closed year would have no effect of the later tax years. In effect, the Taxpayer could not reopen a closed year based on a change in the income tax laws or an interpretation of those laws that happened to be favorable. “Having slept on its rights in 2004 beyond the applicable statute of limitations, [Taxpayer] may not use the mitigation provisions to ‘awaken the sleeping dog’.”

Comment: This case illustrates the importance of monitoring ongoing litigation involving issues relevant to the taxpayer and acting promptly. Unfortunately, sometimes the wheels of justice turn slowly. A protective claim may be in order to ensure that a sleeping dog can still hunt -- we know for sure that dead dogs won't.

11. Limitations period for refund not suspended due to disability, *Estate of Rubinstein v. United States*, 119 Fed. Cl. 658 (2015), appeal filed (Fed. Cir. April 1, 2015).

Estate alleged that during the last few years of decedent's life, he suffered from a mental impairment that constituted a financial disability under IRC § 6511(h), thereby suspending the statute of limitations applicable to an income tax refund claim from the 2001 tax year.

Decedent's son had prepared the return and had given it to his father for review. However, decedent apparently failed to file the 2001 return. A rift developed between Decedent and his son, so that the son no longer prepared the tax returns. Decedent also did not file subsequent returns, though he made some estimated tax payments for 2001-2004. Son did not discover these problems until after his father's death in 2005, as he was administering his father's estate. Son filed tax returns for the 2001-2005 tax years, and the 2001 return included an overpayment of \$48,489. However, the Service refused to credit this amount on the tax owed in 2002, resulting in this litigation.

The Court of Federal Claims ruled against the taxpayer, finding that the facts did not support this claimed disabilities. Among other things, the court noted that the decedent was active in stock trading, amassing a portfolio of more than \$6 million after his retirement and keeping track of details for each transaction in a “basis book” that he kept. Some of these transactions included bank demutualization, which required financial savvy. Although decedent’s family physician provided expert testimony, the court found discrepancies in his testimony. On one hand, the physician submitted a letter to the IRS indicating that the decedent was not competent to govern his affairs due to dementia. However, he had also provided another letter to the Maryland Motor Vehicle Administration in which he stated that Decedent’s memory loss had not changed for years and that he did not have Alzheimer’s disease. The Court found these prior assessments to be more credible, making the report unreliable. If indeed the Decedent had been impaired, he would have presented a grave risk to his doctor by representing that he was fit to drive. Moreover, the court rejected the doctor’s attempts to reconcile these divergent stories.

Ultimately, although the failure to file the return could have been from memory loss, “it is also possible that the decedent did not file the tax returns because of general neglect, recalcitrance, normal aging, and/or a belief that he had already met his tax obligations because he had made payments toward his liability.” The court found based on his doctor’s testimony that Decedent was capable of taking a box of financial information to a preparer. The taxpayer could not meet its burden to suspend the limitations period, and thus the claim was dismissed.

Comment: Losing out on a refund claim when the unpaid liabilities remain open indefinitely if not return is filed presents a tough situation for the grieving family. This case presents a vivid picture of an aged taxpayer who perhaps had some eccentricities, but whose health issues due to old age were deemed insufficient. See Rev. Proc. 99-21 for the procedures required for establishing financial disability. However, this case shows that a medical opinion alone is not sufficient if there are grounds to challenge its reliability. Those with an aging client might consider this case for some lessons about establishing disability, as well as for lessons about proving it.

12. Service does not bear initial burden of production in deficiency assessment based on section 72(t) tax, *El v. Commissioner*, 144 T.C. No. 9 (2015)

Taxpayer failed to file a 2009 tax return. However, he had wages of \$48K, which were reported on Form W-2 from his employment at the Manhattan Psychiatric Center, and other income of \$2,802, derived from a deemed distribution from a retirement account reported on Form 1099-R. This \$2,802 distribution was deemed to have occurred because Taxpayer took out a loan from his qualified plan benefits that exceeded half the value of his “nonforfeitable accrued benefit” at the time of the loan. See IRC § 72(p). The Service issued a notice of deficiency, which included not only normal income taxes but also an additional tax under section 72(t) for the retirement distribution, along with penalties for failure to file and failure to pay.

At issue here was the evidentiary foundation necessary for the Commissioner to enjoy the presumption of correctness attached to a notice of deficiency. The parties stipulated that these amounts were taxable, but Taxpayer contested whether the Service had provided an adequate evidentiary foundation for the additional tax under section 72(t). In particular, no stipulations

were made as to the age of the taxpayer when the distribution was received, or to otherwise rule out exceptions to the application of the additional tax.

The Tax Court agreed with the Service that section 7491(c) does not place the initial burden of production on the Service with regard to the additional tax due under section 72(t) because it is an “additional tax” (see IRC § 72(t)(1)), and not a “penalty, addition to tax, or additional amount” under section 7491(c). These categories of payments under section 7491(c), which impose an additional burden of production upon the Commissioner, are amounts assessed and collected as taxes but which are not themselves taxes or surtaxes. The failure to file and failure to pay penalties asserted in this case are examples of such payments, but in this case the Service provided the evidentiary foundation for such penalties.

Comment: This Taxpayer avoided a penalty of up to \$25K under 6673(a)(1), but he was warned not to continue taking groundless positions. However, this position concerning the burden of production was apparently not viewed as groundless, as it produced a regular Tax Court decision (an arcane one, to be sure).

13. You should have kept those tax records, Wakefield v. Commissioner, T.C. Memo 2015-4

Taxpayer (a stock broker) faced a broad range of issues, including the disallowance of travel expenses. Taxpayer produced handwritten notes that generally described travel destinations and purposes, and his account statements showed payments for travel-related expenses. However, the court noted that section 274(d) requires substantiation for each expense, which was not satisfied here. Taxpayer sought relief through testimony that he prepared expense summaries using meticulous, daily diary entries recording the details of expenditures, including the subjects of luncheon conversations with his clients. However, he discarded these diaries (which were for the tax years 2002-2004) before trial (in December 2012) because the accounting firm that had prepared his tax returns advised him that he was obliged to retain tax records for no more than 7 years. He claimed he “did not know” the tax years 2002-04 were under examination and still open until “just recently”.

The Tax Court would not accept this excuse. Although regulations (1.274-5T(c)) permit substantiation through other means when there is a “loss of such records through circumstances beyond the taxpayer’s control”, his vague testimony would not satisfy this alternative means of proof. Moreover, the diaries here were destroyed of his own volition. “[A]volitional act performed under a mistake of fact does not equate to a circumstance beyond the taxpayer's control, particularly when the act is contrary to common sense.”

Comment: Blaming your accounting firm didn’t work this time. There are lots of exceptions to a 7-year rule of thumb, and being under examination is surely one of them.

14. No tolling of statute of limitations based on government correspondence indicating second notice of disallowance would be coming, Harper Int’l v. United States, 120 Fed. Cl. 66 (2015).

Taxpayer was corporation engaged in research activities. Taxpayer filed amended returns for the 2005 and 2006 tax years, claiming increased qualified research expenses based on “changes in tax regulations and legal precedent.” On May 2, 2012, the Service issued a Notice

of Disallowance, which indicated that Taxpayer would have two years to file a refund suit. In June 2012, Taxpayer received correspondence dated June 5, 2012, advising that “a formal notice of claim disallowance” will be issued and that it would have “two years from the date of this formal claim disallowance to bring formal suit.”

On June 4, 2014, Taxpayer mailed a complaint from Houston, TX. That complaint was filed in the Court of Federal Claims on June 9, 2014. The Government sought to dismiss this claim as untimely, arguing that the relevant two-year period ended on May 2, 2014. Taxpayer claimed that it was allowed to rely on the subsequent correspondence, which would have allowed a later claim.

The Court of Federal Claims ruled for the Government. Section 6532(a)(4) states: “Any consideration, reconsideration, or action by the Secretary with respect to such claim following the mailing of a notice by certified mail or registered mail of disallowance shall not operate to extend the period within which suit may be begun.” Federal Circuit precedent prohibits equitable considerations based on actions of the IRS after a notice is mailed. Moreover, even if the subsequent note could be viewed as operative, Taxpayer filed too late, as it was dated on June 5 and the petition was not filed until June 9. The “mailbox rule” of 26 CFR § 301.7502-1(c)(2) does not apply to any document filed in a court other than the Tax Court. Moreover, case law cited by Taxpayer allowed relief based on mailing only when plaintiff “did everything that could be reasonable expected of it in the mailing of the petition.” This plaintiff did not show that it was mailed next day delivery or overnight, which would have made this timely under the alternate theory.

Comments: This case illustrates the “square corners” doctrine of formalism at its fullest. If you intend to file a refund claim, use the earliest date of correspondence, just to be safe. Don’t expect an equitable remedy in this context – at least not the Court of Federal Claims.

15. TAO means tolling, Rothkamm v. United States, 802 F.3d 699 (5th Cir. 2015)

Wife and Husband filed separate tax returns. The IRS levied Wife’s bank account to satisfy her husband’s tax debt, and the bank remitted over \$73K pursuant to the levy. Wife claims that this account was her separate property, and she sought relief through a Taxpayer Assistance Order (TAO) through the Taxpayer Advocate Service, which denied her claim for relief. Following a failed effort to recover through an administrative claim, she filed a suit for wrongful levy. The Service moved to dismiss under FRCP 12(b)(1) because the applicable nine-month statute of limitations had expired. Taxpayer argued that the statute of limitations was tolled while she sought the TAO, based on IRC § 7811(d). However, the district court ruled for the Service on the basis that she was not a “taxpayer” entitled to pursue a TAO in this case, and even if she were a taxpayer for this purpose, tolling under section 7811(d) would only be allowed in favor of the Service. Taxpayer appealed.

The Fifth Circuit ruled that the tolling rule applied to this taxpayer. Although waivers of sovereign immunity must be “unequivocally expressed” in order to permit tolling, the court was unwilling to require Congress to use magic words, and it would allow other interpretive canons to be brought to bear on the question of whether the tolling rule applied. Here, the district court failed to take into account the general definition of taxpayer in IRC § 7701(a)(14), which means “any person subject to any internal revenue tax”. It is not restricted to a person against whom a

particular tax assessed, and the Fifth Circuit chided the district court and the IRS for misreading the Supreme Court's decision in *EC Term of Years Trust* (2007) on this point. This was also consistent with the purpose of the Taxpayer Advocate Service, to which Wife had turned for relief. Moreover, the Fifth Circuit also rejected the district court's restrictive reading of the tolling provisions, ruling that the plain language of the statute did not make tolling a matter of IRS discretion.

Comment: A vigorous dissent by Judge Higginbotham chided the majority for a "newly minted tolling rule." "While this creativity is driven by a desire to achieve fairness, it suffers the vice common to such endeavors – it does the opposite by disrupting a carefully structured regime for the resolution of disputes between the IRS and property owners." He notes that the Form 911, which a taxpayer must sign to apply for TAS assistance, states: "The signing of this request allows the IRS by law to suspend any applicable statutory periods of limitation relating to the assessment or collection of taxes. However, it does not suspend any applicable periods for you to perform acts related to assessment or collection, such as petitioning the Tax Court for redetermination of a deficiency or requesting a Collection Due Process hearing." But as a counterpoint, instructions should not be bootstrapped into law if the statute provides otherwise. And filing administrative actions or lawsuits require resources; taxpayers arguably should be allowed to pursue a less formal remedy without penalty for government delay. Aren't taxpayers supposed to be treated as customers? Perhaps not.

16.No proof of fraud means tax years are closed, Transupport, Inc. v. Commissioner, T.C. Memo 2015-179

The Service sought to prove fraud in order to avail itself of the unlimited assessment period rather than the three-year period stated in section 6501(a), as well as the steep 75 percent penalty provided by section 6663. Going back ten years, it assessed deficiencies and penalties totaling tens of millions of dollars. However, if proof of fraud was not sustained, it could assess only three years and the section 6663 penalty would be avoided.

The Tax Court agreed that fraud was not proven here. Taxpayers had used an invalid method of reporting cost of goods sold based on a percentage of purchases. This method did not clearly reflect income. But fortunately, this had been disclosed in an earlier audit, resulting only in an adjustment and advice to start maintaining proper inventory costs.

Here, the proof of fraud was lacking. Taxpayers got in trouble based on statements they made to prospective buyers of the company, in which they boasted of higher inventory values than on their tax returns. But according to the court, "those boastful statements have no more guarantees of truthfulness than the tax return reporting." Instead, they reflected an attitude in which accuracy was not that important to them. There were no other badges of fraud here, other than the failure to keep proper inventory records, which may have been based on the belief that keeping reliable records was not "worth the trouble." Taxpayers did not conceal information or fail to cooperate with agents. They may also have been influenced by their "well-credentialed CPA," who was apparently able to satisfy successive IRS examiners as to the effectiveness of their methodology. The principals of the company were also unsophisticated about tax. No clear and convincing evidence to see here, folks.

Comment: Puffery in other contexts, such as the sale of a business, can lead to troubles with the IRS. But here, it seems that the Tax Court did its job, “the distillation of truth from falsehood which is the daily grist of judicial life.” (Quotation omitted). Taxpayer should be pleased with the ultimate outcome. But it should be noted that after trial, the parties submitted 400 pages of briefs. That is a lot of lawyering, and to little avail, as the court stated: “The Court’s views have not been altered by the posttrial briefs.” How would you like to explain that to your client?

17. Frivolous filing penalty requires the IRS to introduce the return, *Martens v. Commissioner*, T.C. Memo 2015-213

Section 6702 permits a penalty for frivolous return filings by taxpayers. Effective in 2007, frivolous return positions (established by a list published by the Commissioner) may be subjected to a \$5,000 penalty. But prior to this time, the penalty was \$500/year. The Service attempted to impose a frivolous return penalty against Taxpayer for the 2002 and 2003 tax years, as well as to assess underlying taxes for those years and later years for which Taxpayer failed to file returns. Taxpayer challenged the 2002-03 assessment based on the TXMOD computer transcripts maintained by the IRS and which were used to make the assessment. The Appeals officer told Taxpayer that this argument was frivolous.

Taxpayer initiated a collection due process hearing to challenge the penalties under section 6702 for the 2002 and 2003 tax years, as well as to challenge the underlying liability in those years. The Tax Court ruled for Taxpayer on the section 6702 penalties, as the IRS failed to introduce the returns that purportedly contained frivolous claims. In fact, the court noted that the Service failed to prove that Taxpayer filed the returns. But the Court rejected Taxpayer’s claim rooted in the unreliability of the computer transcripts on which the assessment was based.

Comment: Taxpayer also avoided a sanction under section 6673(a)(1), allowing up to \$25K penalties for proceedings instituted for purposes of delay or to take a position that is frivolous or groundless. Taxpayer may have advanced frivolous arguments at trial, but according to the court, “he did stop when warned.” But more importantly, he won the 6702 penalty issue! One wonders, however, whether Taxpayer may have had a point about the accuracy of the computer transcripts. On November 12, the GAO issued an independent auditor’s report that found “continuing material weakness in internal control over unpaid tax assessments”.

<http://www.gao.gov/assets/680/673614.pdf>

18. Statute of limitation in suit against promoter of CARDS transaction, *Kipnis v. Bayerische Hypo-Und Vereinsbank, AG*, 784 F.3d 771 (11th Cir. 2015)

Plaintiffs had participated in a CARDS investment transaction promoted by the defendant bank. Transactions involving the bank commenced on December 5, 2000 and terminated on December 5, 2001. The Service issued Notice 2002-21 to warn taxpayers claiming benefits through CARDS transactions that they would be subjected to penalties. Later, the defendant bank was charged with conspiracy to defraud the United States, to commit tax evasion, and to make false and fraudulent tax returns, resulting in a deferred prosecution agreement in which they admitted that the bank and participants knew that the transactions involved false representations and served no purpose other than generating tax benefits.

On October 4, 2007, the Service issued notices of deficiency to the plaintiffs disallowing the CARDS tax benefits claimed on their 2000 and 2001 tax returns. They filed petitions in the

tax court, which ultimately resulted in an adverse decision on November 1, 2012, in which the court concluded that the transaction lacked economic substance and that the plaintiffs lacked a business purpose for entering into the transaction. On November 4, 2013, plaintiffs filed suit in federal court alleging seven claims, including RICO, fraud, breach of fiduciary duty, aiding and abetting the breach of fiduciary duties by their lawyers and accountants, and negligent supervision. The defendants moved to dismiss based on the statute of limitations, and the district court agreed that these claims were time-barred. It held that their damages accrued and were discoverable in 2001, when they had paid fees to the defendant bank. In doing so, the district court distinguished the Florida Supreme Court decision in *Peat, Marwick, Mitchell & Co. v. Lane*, 565 So. 2d 1323 (Fla. 1990), which held that an accounting malpractice claim did not accrue until an adverse tax court decision. The district court limited this case to the professional malpractice context.

On appeal, the Eleventh Circuit certified the statute of limitations question to the Florida Supreme Court in this matter, leaving open the possibility for the claim to be considered.

Comment: Statutes of limitations are tricky. Here, the plaintiff argues that fees and costs are not inherently injurious under Florida law – and as those who charge them, we hope this is true! Query whether the deferred prosecution agreement against the bank should affect the accrual of damages. There is merit to an approach that allows a claim after a final adverse judgment, but many jurisdictions do not follow that approach. It appears that even tax shelter promoters may deserve a period of repose at some point!

19. Privilege in tax analysis not waived by disclosure to banks, *Schaeffler v. United States*, __F.3d __, 2015 WL 6874979 (2d. Cir. Nov. 10, 2015), reversing 22 F.Supp. 3d 319 (SDNY 2014).

Taxpayer is a Texas resident who owns 80 percent of a German automobile company. In 2008, Taxpayer's company wanted to acquire a minority interest in another German company, Continental. But German law does not permit a tender offer that involves less than all the company's shares. Accordingly, Taxpayer priced the offer at a level that was expected to result in an acquisition of only a minority interest in the company. "The timing of the offer was unlucky, to say the least." The offer was open between July 30, 2008 and September 16, 2008. Lehman Brothers announced its bankruptcy on September 14, and markets tanked. Shareholders tendered and exited the market, leaving Taxpayer as the owner of nearly 90 percent of Continental. This created a financing problem.

Anticipating scrutiny of the transaction by the IRS, Taxpayer retained E&Y and Dentons to advise on the tax implications of the transactions and possible future litigation with the IRS. They prepared documents analyzing the transaction, including possible litigation challenges. And in order to assure their lenders, they shared these documents with the consortium of banks that was providing financing to support the tender offer.

Sure enough, the IRS audited this transaction and sought the document that E&Y had prepared and shared with outsiders. The IRS did not seek the documents prepared by Dentons, or which E&Y prepared and shared only with Dentons. Taxpayer claimed that these documents were privileged and also subject to work product protection, and litigation ensued. See 26 USC 7525(a)(1) (conferring a tax practitioner privilege).

The district court ruled that privilege had been waived by sharing documents with the banks. As for work product, the district court ruled that this was not prepared in anticipation of litigation, but was instead tax advice that any sophisticated business person would want to have before structuring the transaction.

The Second Circuit reversed, delivering a victory to the Taxpayer. On the privilege, it held that no waiver occurs when disclosure occurs to a party engaged in a common legal enterprise. Here, a common legal interest could occur even when the parties are not engaged in ongoing litigation. Such an interest was present here. The financial crisis threatened insolvency for the firm, which would have caused default on the loan Consortium. In this context, the viability of the Taxpayer's firm depended on the tax treatment of the refinancing and restructuring. The banks and the Taxpayer had a common interest in seeing that this transaction would receive favorable tax treatment, as the banks would lose a lot of money if there was a default. This justified shared information for legal, not merely commercial, purposes because of the common legal threat.

The Second Circuit also ruled that work-product doctrine protected a tax memo prepared by E&Y. The IRS had argued that the tax memo was prepared in the ordinary course of annually completing the firm's tax return. But the Second Circuit saw this differently. "It was specifically aimed at addressing the urgent circumstances arising from the need for a refinancing and restructuring and was necessarily geared to anticipated audit and subsequent litigation, which was on this record highly likely." Moreover, this was "highly detailed, litigation-focused analysis and advice" that was outside the scope of concerns over avoiding the "audit lottery" in tax shelter transactions.

Comment: This is a substantial victory, though likely an expensive one. Documents of this nature would presumably provide a roadmap for the Service to challenge the transaction, which smacks of unfairness. Some might see this as adding insult to injury, after this Taxpayer suffered an unlucky setback due to the financial crisis. Corporate law reformers might also find utility in this case as exemplifying why the ability to withdraw a tender offer might be a very good idea.

V. Administrative Practices

1. Tax debts associated with late filed returns not dischargeable in bankruptcy, *In re Mallo*, 774 F.3d 1313 (10th Cir. 2014)

In this matter of first impression before the Tenth Circuit, the court held that an untimely filed tax return is not a "return" for purposes of § 523(a) of the Bankruptcy Code, which governs exceptions to the general discharge of indebtedness issued by a bankruptcy court. At issue was whether nonbankruptcy law governing the filing of a return, particularly the so-called *Beard* test, could be satisfied by a late return in the bankruptcy context. The *Beard* test requires four elements: "[f]irst, there must be sufficient data to calculate tax liability; second, the document must purport to be a return; third, there must be an honest and reasonable attempt to satisfy the requirements of the tax law; and fourth, the taxpayer must execute the return under penalties of perjury." (quoting *Beard v. Commissioner*, 82 T.C. 766, 777 (1984)). Here, the dispute was over the third element, the applicable filing requirements of the Code. Particularly, did those

requirements contemplate only substance (i.e., information that is helpful to the IRS, which is not fraudulent), or also timing?

The Tenth Circuit reached a similar result to the Fifth Circuit in *McCoy* (2012), which limited late-filed returns for which discharge would be granted only to those prepared by the IRS based on information provided by the taxpayer. Oddly, the IRS also disputes this position, and would permit a late-filed return to give rise to dischargeable tax debt as long as it was not filed after an assessment had been made against the taxpayer. However, in this case, either rule would reach the same result. A Bankruptcy Appellate Panel of the Tenth Circuit had previously noted that, “[f]rom a tax policy perspective, the IRS’s position is logical and simple to administer.” However, the Tenth Circuit found that this was not a ruling on the substantive interpretation, and it adopted a different reading which it believed was more consistent with the plain language of the statute.

Comment: This makes life tough for the noncompliant taxpayer, which may nevertheless have attempted to file a valid return providing useful information for the government to assess a tax deficiency. However, these rules may not yet be settled. See In re Coyle, 524 B.B. 863 (S.D. Fla. 2015), which rejects the Tenth Circuit approach in favor of the interpretation advanced by the IRS.

2. Notice of private delivery services updated, Notice 2015-38

Section 7502 of the Code permits taxpayers to treat timely mailing as timely filing and paying, and mailing can occur using private delivery services. This Notice updates guidance issued in 2004 to remove references to DHL (which discontinued most services) and to add some delivery products offered by FedEx and UPS. It also provides guidance on determining when mailing occurs with a private service.

3. 2016 Adjusted Items, Rev. Proc. 2015-53 and IR-2015-118 (10/21/15).

Comment: Those looking forward to 2016 can find the inflation-adjusted amounts for various tax attributes, as well as rate schedules. Of some interest to this audience, the attorney fee award limitation in section 7430 is now \$200/hour. Also notable: penalties for incorrect information returns for larger taxpayers are potentially very high. The IR covers pension plan limitation. While the 401(k), 403(b) limits remain at \$18K (with \$6K catch-up), some of the phase-out levels for deductible contributions have moved due to inflation adjustments.

4. Final regulations on filing refund or credit claims, T.D. 9727, 80 Fed. Reg. 43949-01 (July 24, 2015)

Comment: Those contemplating a claim for credit or refund should consult these regulations to ascertain the proper place for filing.

5. Proposed regulations defining marital status, REG 148998-13 (10/23/15)

The proposed regulations clarify that for federal tax purposes, state law definitions of marriage will be followed in light of *Obergefell* (2015), which found that laws defining marriage to preclude same-sex unions invalid. The terms “husband” and “wife” will be interpreted in a neutral way. However, domestic partnerships, civil unions, and other similar relationships that are not recognized as marriage under state law are not to be treated in the same manner as marriage. The proposed regulations will be published in the federal register, but are available

online at <https://www.federalregister.gov/articles/2015/10/23/2015-26890/definition-of-terms-relating-to-marital-status> .

Comment: The restriction on civil unions, domestic partnerships, and the like is designed to be taxpayer friendly, as the preamble explains that not only did Congress not intend to treat these as marriages, but doing so may also entail a loss of social security benefits or higher taxes due to a marriage penalty. The preamble also states that “a marriage of two individuals will be recognized for federal tax purposes if that marriage would be recognized by any state, possession, or territory of the United States. Under this rule, whether a marriage conducted in a foreign jurisdiction will be recognized for federal tax purposes depends on whether that marriage would be recognized in at least one state, possession, or territory of the United States.” Plural marriage remains a bridge uncrossed.

6. Make sure both spouses sign joint returns, Reifler v. Commissioner, T.C. Memo 2015-199

Taxpayers (H and W) filed their joint return for the 2000 tax year (or thought they did) on or about October 9, 2001, pursuant to an extension granted by the IRS. Their return preparer signed the return and provided it to H, who signed it and, pursuant to their usual practice, put it in a bin where he usually placed documents that required W’s signature. The next day he took the return back to his office and mailed it off to the IRS. Sometime later, the couple received the return back from the IRS. It had red ink on it but no attached correspondence. It was date stamped on October 15, 2001. H explained that he was not alarmed to see the return as he merely thought it was a copy. In fact, he used this return for the purpose of joining a bank’s board of directors in January 2002.

Meanwhile, wheels at the Service began turning and a delinquency notice was sent in August 2002. After discussions with their preparer, they signed a second return (otherwise identical to the first, apparently with red ink whited out) on August 25, 2002, and sent it to the IRS. They did not explain their position at this time. In 2004, their 2000 return was audited. The original return had showed a loss, but the adjusted return showed over \$4 million in taxable income. The Service applied failure to timely file penalties, which totaled over \$905K due to the substantial amounts ultimately determined to be due from these taxpayers.

The Tax Court upheld the penalties on the ground that a valid return requires both spouses to sign. “Signatures on a tax return not only verify that a return has indeed been filed by the person indicated on the front page of a Form 1040 but also certify that all the statements in the tax return are made under penalty of perjury and are true, correct, and complete to the best of the taxpayer’s knowledge.” The court rejected a substantial compliance theory in this context; the tax law may be complex, but failing to sign a return is not. Alternatively, Taxpayers argued “tacit consent” as a basis for treating the original return as valid when filed. However, the cases supporting tacit consent involved two signatures without actual evidence that both spouses signed. That was not the case here, where the signature for W was left blank. There are just too many reasons that spouses may not sign to imply a “yes” from silence in this context.

Comment: Here, H’s position as a sophisticated businessman was held against the couple in evaluating their conduct. Whatever their intention, the court would not accept the fact that H would file without checking for W’s signature. Also note that an unsigned return does not

trigger the limitations period. This case ought to send a message of caution to all return preparers and taxpayers – signing a return is important, particularly if on audit you are determined to owe unpaid taxes.

7. Whistleblowers entitled to compel production of documents and responses to interrogatories in response to IRS denial of claims, Whistleblower One 10683-13W v. Commissioner, 145 T.C. No. 8 (2015)

Whistleblowers brought suit under IRC § 7623(b)(4) to appeal the Service's determination not to grant an award to them for information they claimed led to the recovery of unpaid taxes. Whistleblowers allegedly informed on a corporate taxpayer's tax evasion scheme (TES), which they claimed resulted not only in investigation of the corporate taxpayer but also in a memorandum that stated all similar transactions should not be respected. However, at some point, the Service allegedly reversed course and respected this particular use of the TES and that instead the taxpayer agreed to over \$50 million of other tax adjustments, as well as a later disallowance of a \$20 million loss deduction associated with a debt obligation.

The Service does not dispute these allegations, but nevertheless denied the reward. Moreover, the Service claimed that the court should be limited to the "administrative record" and that the Whistleblowers should not be able to go outside the record with discovery. The Tax Court disagreed, finding that FRCP 70 provides for a liberal rule of discovery where the information is reasonably calculated to lead to admissible evidence. Moreover, the Service cannot unilaterally decide what constitutes an administrative record. The Court ordered additional disclosure pursuant to an appropriate protective order so that it could evaluate whether there was collection attributable in some way to the information Whistleblowers provided.

Comment: The IRS has discretion, but that does not mean it is the only judge. Judicial review is important in this context. But this must be done in the Tax Court. Compare Meidinger v. Commissioner, 2015 WL 4042017 (M.D. Fla. July 1, 2015), which holds that the federal district court lacked jurisdiction over Whistleblower claim for injunctive relief involving rejected award claims.

8. Whistleblowers not required to file Form 211 before providing information, Whistleblower 21276-13W v. Commissioner, 144 T.C. No. 15 (2015)

Whistleblowers (H and W) provided information to the Government after H was arrested for participating in a conspiracy to launder money. In exchange for leniency, H informed on a foreign business that was assisting U.S. taxpayers in evading tax. H and W assisted the government by getting representatives of that business to enter the United States, eventually resulting in indictment, a guilty plea, and a payment of \$74 million to the Treasury. Later, they filed Form 211 with the IRS Whistleblower office, which refused a reward on the ground that the collection had occurred before the Form was filed. Taxpayers were not aware of the award program when they cooperated, but during one of the meetings with IRS agents, an agent mentioned the program.

Whistleblowers filed this suit. The Tax Court held that the fact that they provided information before filing the Form 211 did not provide a legal barrier to receiving the award. According to the Court, even the Form 211 encourages the Whistleblower to contact the IRS prior to filing the award. Moreover, the statute does not require that the Whistleblower office be

the first to investigate, only that it investigate whether the information provided led to collection by the government.

Comment: Moving out of federal custody is a powerful inducement for cooperation by white-collar criminals. These folks only became whistleblowers after a conversation with an IRS agent. (What is that saying about loose lips?) In light of this result, query whether other government agencies will work out cooperation agreements that will preclude some informants from filing Whistleblower applications. But on the other hand, a multi-million dollar reward could really induce cooperation, too, no?

9. Safe Harbor Method for Participants in HFA Hardest Hit Fund, Notice 2015-77 (11/6/15)

Treasury's "housing finance agency innovation fund for the hardest hit housing markets" provides assistance to homeowners in "areas of concentrated economic distress."

<http://www.treasury.gov/initiatives/financial-stability/TARP-Programs/housing/Documents/HFA%20Proposal%20Guidelines%202%200%20--%20041110%20FINAL.pdf> As a result, some homeowners receive assistance payments or subsidies in connection with their home mortgages. For lenders, this creates Form 1098 reporting issues. For homeowners, this causes uncertainties concerning mortgage interest deductions. The Notice seeks to extend a safe-harbor provision through the 2017 tax years, which allows penalty relief for mortgage services based on inaccurate 1098s that include state assistance if they notify homeowners that those amounts are overstated because they include government subsidies. It also allows homeowners to deduct the lesser of actual cash payments on the mortgage or the amounts reported on Form 1098.

Comment: This does not affect taxpayers in Nebraska, South Dakota, or any surrounding states. For a list of states with approved programs, see <http://www.treasury.gov/initiatives/financial-stability/TARP-Programs/housing/hhf/Pages/default.aspx>

VI. Partnerships

1. Successor liability for employment taxes applied to limited partnership, TFT Galveston Portfolio, Ltd. v. Commissioner, 144 T.C. No. 7 (2015)

A limited partnership (TFTGP) received a notice of determination concerning worker classification along with corresponding employment tax liabilities for its current employees and similar notices for other partnerships on the basis that it was their successor in interest. TFTGP challenged the attribution of liability on the basis of a successor in interest theory. Texas law favored the taxpayer, but the Service argued that the Tax Court should apply federal common law rather than Texas law to determine whether it was liable for the debts of predecessor partnerships.

The limited partnership and its putative predecessors operated apartment properties, hiring managers and leasing agents, security personnel, a maintenance supervisor, and general maintenance personnel. Over a period of years, the ownership of each limited partnership changed, resulting in termination under Texas law and reformation of new partnerships that acquired the assets of the other but did not assume liabilities. Moreover, some partners sold their

interests to others. One partner, Teachworth, was active in each of the partnerships, signing documents on their behalf as “manager” or under similar titles. Each of the partnerships had failed to treat these workers as employees. In 2011, the Service issued a notice of determination to TFTGP concerning its current workers. It also issued six separate notices of determination for other partnerships, treating TFT Galveston Portfolio as their successor in interest. Notably, the Service did not seek to collect trust fund penalties from Teachworth, but instead focused on the partnership.

The successor in interest theory asserted here generally depends on state law. The Service asked the court to develop and apply a federal common law basis for pursuing this claim, but the Tax Court refused this entreaty on both legal and policy grounds. The development of federal common law rules should be left to Congress, and not pursued by courts. Moreover, the Service failed to address other theories, including responsible person taxes under section 6672 and transferee liabilities under section 6901. However, Texas law governing the successor liability theory the Service did pursue did not permit a transfer of liability to an acquiring entity unless the liability was expressly assumed, except in very limited circumstances not relevant here. Accordingly, Texas law did not permit successor liability in this case.

However, TFTGP was held to be an employer and responsible for taxes and penalties associated with its own employees.

Comment: Texas law does seem to be very friendly to the seller’s creditors, including the Government’s tax claims in this case. Creditors are a wily bunch, who can often protect themselves. Given other theories for recovery, which were left untapped in this case, it seems unlikely that asset sales will become tools for large scale employment tax avoidance.

2. Partnership transaction involving state tax credits was taxable as disguised sale, SWF Real Estate LLC v. Commissioner, T.C. Memo 2015-63

In 2001, Lewis purchased a 675 acre farm near Charlottesville, Virginia for \$3.45 million. He then contributed the property to SWF Real Estate LLC in exchange for 100% of its membership. At this time SWF Real Estate was treated as a disregarded entity. During 2005 and 2006, SWF engaged in farming and cattle breeding, generating significant losses. By 2005, there was growing opportunity to subdivide and develop the land, which had considerable potential on account of its desirable location. However, in order to counteract development pressures, the Virginia legislature enacted an income tax credit program to encourage preservation in 1999. These credits were equal to 50% of the value of land donated for conservation purposes. Over time, a market for these credits emerged, and by 2005 the state government issued procedures for reporting donated easements and allocating and transferring state tax credits to others.

During 2005, Lewis met with advisors who set up a structure to allow him to donate a conservation easement on the farm and to monetize it through a partnership structure. An appraiser initially valued the easement at over \$7.4 million, which was based on an appraised value for the farm at \$11.4 million without the easement. This would produce approximately \$3.7 million in state tax credits. SWF would be used as the vehicle for the transfer. The parties agreed that a new partner, Virginia Conservation, would acquire a 1% interest in SWF. Profits and losses on any transactions by the partnership would be allocated according to ownership

percentages. However, state tax credits would be allocated as follows: \$300K to Lewis, \$3.05M to Virginia Conservation. Virginia Conservation would deposit its funds into an escrow account, to be disbursed when tax credits were granted. The agreement also granted SWF the option to defend against claims brought by the IRS or the state regarding disallowance or reductions of any credits, and in the event of any adjustment, SWF and Lewis would indemnify Virginia Conservation for disallowed or reduced credits at the rate of \$.53/\$1 plus fines, interest, or penalties. Lewis would have an option to acquire all membership interests in Virginia Conservation at an agreed upon price or 1% of the net FMV of SWF assets, exercisable after January 1, 2010.

The final appraisal came in higher than expected, so the amounts were adjusted upwards. The transaction was consummated and funds from Virginia Conservation were deposited in escrow and subsequently released when credits were identified by the state and a credit transaction number was assigned. However, the Service challenged the credits on the basis that the conservation easement was overvalued. The parties reported this transaction as a nontaxable partnership transaction, in which the credits were specially allocated. However, the Service also challenged the structure of the transaction as a disguised sale giving rise to taxable income for the partnership.

The Tax Court agreed with the Service on both issues, though it imposed only a modest valuation adjustment. On the disguised sale, it followed its prior decision in *Route 231, LLC v. Commissioner*, TC Memo 2014-30, which involved nearly identical facts, as well as the Fourth Circuit decision in *Va. Historic Tax Credit Fund 2001 LP*, 639 F.3d 129 (4th Cir. 2011), as this is where an appeal would be taken. Here, there was a transfer of money to the partnership by Virginia Conservation, followed by a transfer of property (i.e., the tax credits) to Virginia Conservation. Moreover, that transfer would not have otherwise occurred, and it was not subject to the entrepreneurial risks of SWF partnership operations. Looking at all relevant factors, this was a sale, not a contribution in exchange for a partnership interest. Moreover, under state law, the sale occurred in 2005, not 2006, even though the final escrow distribution did not occur until 2006.

Taxpayer also had gross income in 2005 under an “economic benefit theory”, in which the fixed sum of funds was irrevocably set aside in the escrow account solely for the taxpayer’s benefit, and only ministerial duties, not substantial conditions or restriction, remained until the funds were released. Moreover, timing the event in 2005 was also consistent with taxpayer’s own characterization as a contribution completed in 2005, despite the escrow arrangement.

Comment: The disguised sale approach here prevents the use of a partnership structure to monetize the credits without realizing gross income from the sale. This makes it more expensive for the state to achieve the desired goals of its credit transfer scheme. Such schemes have dubious value: they are good if you like to preserve the status quo, good for existing owners who want to develop land instead of confer an easement (the land you own is now even more scarce); but bad if you don’t own land and would like to buy, rent, or use developed property. “You pays your money and you takes your choice.” For another thoughtful approach to this case and some of the unanswered questions about collateral tax issues, see Richard Lipton, SWF Real Estate: Tax Credits and Disguised Sales – Reasons for Concern, J. Tax’n, July 2015, at 17.

3. NY state tax credits from passthrough entity creates taxable income for owner, *Maines v. Commissioner*, 144 T.C. No. 8 (2015)

Taxpayers received targeted tax credits from the State of New York for business activities conducted through their S corporation and a partnership. One of the credits is based on the amount of real property taxes paid by the firms. The other credit is based on the cost of tangible property purchased and placed in service in an “Empire Zone”. A third is a wage credit based on meeting certain requirements for jobs, employees, and employment terms. Each of these credits can be used to offset state income tax liabilities, and the excess is either refundable or partially refundable. The state labels a refund as an “overpayment” of past state income tax.

Taxpayers treated state tax credits as passthrough items from their business entities, which thus provided the basis for claiming an offset against their personal state income tax liabilities and a cash refund for the excess. The entities also deducted property tax payments on their federal returns, which flowed through to their K-1s. The Service alleged that the refunded amounts are taxable income.

The Tax Court agreed with the Service, finding that the tax benefit rule covered the cash payments here. Here, the Taxpayers claimed that they did not take a deduction on their federal income tax returns for any state income taxes paid in the prior year. Accordingly, when the state gave them a cash refund designated as “overpayments” of state income tax, that could not give rise to a tax benefit. However, the Tax Court refused to apply the state’s characterization of the credit as an overpayment. Recalling President Lincoln’s famous observation -- “Calling the tail a leg would not make it a leg” -- the Tax Court ruled that substance must govern, which required a look at the underlying foundation for the payment, not the label applied to it.

Here, the Taxpayers are put into a similar position as the taxpayers in *Tempel v. Commissioner*, 136 T.C. 341 (2011), in which taxpayers were allowed to sell tax credits for cash were taxed upon capital gains. Although taxpayers would not have an accession to wealth in the event they used the credits to reduce a tax liability (provided no prior tax benefits were received), the refundable character of these put these taxpayers into a similar position, generating a taxable receipt from the cash payment. (Even if the taxpayers elected to carry forward these credits, the Tax Court indicated that this would still be a taxable event, a matter of constructive receipt.) The Tax Court also rejected Taxpayers’ argument that they had a nontaxable return of capital or a welfare payment. The vernacular label of “corporate welfare” did not make these payments conditioned upon need, which was a prerequisite for inclusion. And to the extent that the taxpayers did not pay any taxes, there could be no return of capital in this case.

As for the credits based on property taxes paid, the Tax Court found those to be clearly governed by the tax benefit rule. Taxpayers received a tax benefit from deducting the property tax payments through the computation of the pass-through income from their entities. When, as here, a cash payment is received based on those payments, that payment is taxable income.

Comment: This case provides a useful discussion of the tax benefit rule and its application in the context of state tax incentives. Those considering the design of state tax benefit programs should carefully examine the rules in this context to determine whether the state benefit may somehow be reduced through being targeted by the federal tax collector. See also Elbaz v. Commissioner,

T.C. Memo 2015-49 (relying on Maines to require inclusion of state tax refunds in gross income even though deduction in prior year was taken by passthrough entity owned by taxpayer).

4. Taxpayer's income from oil and gas working interest subject to self-employment tax, *Methvin v. Commissioner*, T.C. Memo 2015-81

Taxpayer, a CEO of a computer company, acquired working interests in several oil and gas ventures, with each involving no more than two or three percent of any venture. The working interests were governed by a “purchase and operation agreement” with another who was active in the petroleum business, who then assigned the interests to another company. Pursuant to the agreement, the parties elected to be excluded from Subchapter K. Each year, the operator would provide an accounting to Taxpayer and it reported the income on Form 1099-MISC. Taxpayer reported the net income as “other income” on line 21 of Form 1040, and did not pay self-employment tax on this income. The Service issued a notice of deficiency assessing self-employment tax, contending that this was income from a trade or business carried on by either a partnership or a joint venture taxable as a partnership or through an agent.

The Tax Court agreed with the Service that this income was subject to self-employment tax. Even though taxpayer was not actively involved in the operation of the wells, this did not insulate him from self-employment taxes under section 1402(a), as a taxpayer may still be taxable on such income when it is from a business carried out on his behalf through agents or employees or constituting a partnership. Here, the fact that the agreement elects out of Subchapter K under section 761 does not change the nature of the entity. See *Cokes v. Commissioner*, 91 T.C. 222 (1988).

A partnership is broadly defined in the Code as “a syndicate, group, pool, joint venture, or other unincorporated organization, through or by means of which any business, financial operation, or venture is carried on, and which is not, within the meaning of this title, a trust or estate or a corporation; and the term ‘partner’ includes a member in such a syndicate, group, pool, joint venture, or organization.” Sec. 7701(a)(2); see sec 1.1402(a)–2(f), Income Tax Regs. Thus, for Federal tax purposes, the term “partnership” is not limited to the common law meaning of partnership but is broader in scope and includes groups not commonly called partnerships. Sec. 301.7701–1(a)(1) and (2), *Proced. & Admin. Regs.*

This was a pool or joint venture that would be treated as a partnership for self-employment tax purposes.

Comment: This case is a good lesson on the broad reach of the partnership definition for tax purposes. Taxpayer thus has to pay a “toll charge” of sorts, which could be avoided by adopting a different structure, such as a limited partnership. Taxpayer also argued that the Service examined this issue in the past and conceded it, but an administrative concession has not preclusive effect. See Burlington Northern Railroad, 82 T.C.143(1984).

5. Attorney's intent to evade tax did not permit extended limitation period for client partnership, BASR Partnership v. United States, 795 F.3d 1339 (Fed. Cir. 2015)

BASR Partnership sought to defend against a FPAA issued in 2010, which affected its 1999 tax year. The partners included family members who were about to realize a large capital gain. They had been approached by an attorney, who proposed a “tax-advantaged investment opportunity” through transactions involving this partnership. The Service later challenged these transactions as lacking economic substance, resulting in a significant adjustment. But BASR sought summary judgment on the basis that the FPAA was untimely because it was beyond the three-year statute of limitations in IRC § 6229(a) and 6501(a). However, the Government argued that it was not bound by this three-year general rule because the case involved “a false or fraudulent return with the intent to evade tax.”

The Government conceded that the individual partners lacked the intent to evade tax. It also did not allege that the CPA firm who prepared the return for them, and with whom they had a longstanding professional relationship, had such an intent. It only asserted that the lawyer had such an intent, because he knew that these transactions were “fraudulently designed”. The Claims Court granted summary judgment for the Partnership, resulting in this appeal.

The Federal Circuit affirmed, concluding that the requisite intent must belong to the taxpayer, not merely to his agents. Here, the Service has the burden of proving fraud. In reaching this conclusion, the Federal Circuit rejected the Tax Court’s analysis in *Allen v. Commissioner*, 128 T.C. 37 (2007), in which a paid preparer’s inclusion of false and fraudulent deductions, unbeknownst to the taxpayer, was treated as supplying the necessary intent to evade tax. In addition to substantive disagreements, the Federal Circuit noted that in *Allen*, the court found it would not be unduly burdensome to require taxpayers to review their returns for obviously false items. But that was not the case here, where the taxpayers relied upon professionals who advised them about the reporting position.

The Federal Circuit also rejected the Second Circuit’s decision in *City Wide*, 709 F.3d 102 (2013), in which the Taxpayer ultimately conceded responsibility for a rogue employee’s erroneous returns. There was no such concession here.

Comment: This case involves a divided court, including a separate concurring opinion and a vigorous dissent. I doubt that this will be the last word on the subject, though it does reflect an important victory for these taxpayers. And I also doubt that future government litigators will want to stipulate to a lack of intent by the taxpayer, at least when one might be inferred from a tax result that may seem too good to be true (at least to some of us). Does a taxpayer who wears a white hat, albeit perhaps one that is cone-shaped, lose the benefit of a period of repose based on his agent’s bad intentions? Or should the government reward taxpayers who remain ignorant of tax avoidance devices employed by their clever agents? Given inherent complexities of tax law, the answer is not so easy – and the ultimate answer may depend on how the question is framed.

6. Putative joint venture not bona fide, DJB Holding Corp. v. Commissioner, __ F.3d __, 2015 WL 5827565 (9th Cir. 2015)

Individuals engaged in environmental remediation business created an elaborate layered structure to protect them from liability and achieve certain tax benefits, including an ESOP. When an opportunity to do remediation work at the San Diego Naval Training center required a large bond, these individuals caused a joint venture to be created, which would allow participation by two of their related entities, a corporation (WCI) and a partnership (WB Partners).

Pursuant to their plan, 30 percent of the profits were allocated to the corporation, and 70 percent to the partnership. The corporation did all the remediation work, and the partnership would provide financial guaranties necessary to undertake the project. The partnership's 70 percent profit share would also flow through to holding companies, which were structured as S corporations owned by ESOPs and thus tax exempt. Moreover, the corporation undertaking the work, WCI, would ultimately sell its assets to another, with the purchase agreement allocating a large portion of the purchase price to the individual owners as part of a noncompetition agreement, instead of treating it as proceeds from the sale belonging to the corporation. So it was a sweet tax arrangement, but only if the joint venture would be respected.

The Tax Court agreed with the Service that there were several aspects of this deal that caused the corporation to understate its taxable income. First, it found that the joint venture, through which profits were allocated away from the corporation, was not bona fide. Therefore, all the profits were taxable to the corporation, which is the entity that performed the service. Second, it also determined that the noncompetition agreement should be treated as taxable income to WCI on the sale of its assets. Taxpayers appealed, and the Ninth Circuit affirmed.

The Ninth Circuit applied the eight factors from *Culbertson* (SCT 1949), as also applied in other decisions of the tax court, in concluding that there was not a bona fide partnership. Among these concerns, the partners deviated from the partnership agreement, which had originally imposed a 50.4% cap on profit allocations to WB Partners. They also failed to file a partnership tax return for the joint venture. But most significantly, the Ninth Circuit agreed with the Tax Court that the WB Partners contributed nothing of value to the joint venture. The guaranty it provided was based on the collective net worth of the entire structure of related entities, rather than on the partnership itself. Although Taxpayers argued that the corporation could not have secured the necessary bond for performance on its own, the Ninth Circuit pointed out that the joint venture was irrelevant to the achievement of the guarantees, as both of the founders and related entities would have been required to provide the guaranty in any event.

As for the noncompetition agreement, the Ninth Circuit also agreed that WCI, rather than the WB Partners, earned the income associated with the noncompetition agreement. Here, the agreement provided that neither the individual founders nor WCI would ever compete with the purchaser to provide "asbestos, mold, and lead abatement" services. But the founders acted only as employees and shareholders of WCI, and only WCI had licenses to do these services. All income was thus earned by the corporation, not the individual owners. The trip from the corporation to the WB Partners, in this case, was too attenuated, based on the contracts for services from each of the owners. (However, in a footnote the Ninth Circuit suggested that it

might have allowed some of the proceeds to be allocated to the founders individually – but this was not raised.)

Finally, the Ninth Circuit also upheld accuracy penalties. Just because the partnership law governing this situation presented complexity did not mean that the law was unsettled. In short, legal complexity did not excuse their failure to conduct the joint venture as a valid partnership.

Comment: Those in the contracting business may find benefits from studying this case. A complicated structure does not insulate you from liability if guarantees are required; and complexity also translates into more tax compliance burdens, particularly when partnerships are involved. Here, one wonders whether some other form of compensation could have been used for the guaranty, assuming that the goal was to bail out some earnings from the corporation. But the likely amount of such compensation would presumably not have been 70 percent of the profits.

7. Tax matters partner had “apparent authority” to execute extension of limitations period, *Summit Vineyard Holdings, LLC v. Commissioner*, TC Memo 2015-140

Summit Vineyard Holdings, LLC, (“Vineyard”) was under audit for the 2007 tax year. Vineyard was taxed as a partnership, and its Form 1065 for 2007 designated Summit SV Holdings, (“Holdings”) a Delaware LLC, as its tax matters partner (TMP). Mr. Gjelde was the managing member of Holdings during 2007. However, in 2009, Gjelde became the managing member of Meridian Equity, LLC, which then replaced Holdings as the TMP of Vineyard. In 2010, a revenue agent commenced an audit of Vineyard’s return. The agent, who was not experienced in TEFRA audit procedures, concluded that the statute would expire on April 15, 2011.

In March 2010, Gjelde executed a Form 2848 on behalf of Vineyard and designated a CPA to act on behalf of the partnership. In August 2010, the agent prepared Form 872-P to extend the statute. However, he did not specify the name of the TMP, leaving that page blank. In December 2010, Gjelde signed the Form 872-P with Meridian named as TMP and sent a scanned copy to the agent. A copy eventually arrived by mail, causing the agent to withdraw a proposed FPAA before it was issued. Both the agent and his group manager believed that the Form 872-P was valid because Meridian was the TMP of Holdings. The agent issued his report of examination changes on May 6, 2011. In response, Vineyard filed its protest signed by their CPA and Mr. Gjelde as member/director of Meridian Equity, “designated tax matters partner”.

However, unless certain specified events occur, as provided in regulations, the TMP who was designated on the return remains the TMP for that taxable year. Here, none of those events had occurred; Holdings was thus the TMP, not Meridian. But complicating the matter, Gjelde was the managing member of both of these LLCs. He may have lacked actual authority, as a member of Meridian, to extend the statute for Holdings, but the Tax Court agreed with the Service that Gjelde had apparent authority to act for Holdings, apparently based on the fact that Gjelde signed the protest along with the CPA representative of Holdings. Gjelde, as managing partner of Vineyard, had authority to delegate the power to execute consents. When the CPA

representative sent over the scanned Form 872-P, he gave the impression that Gjelde was authorized to sign, even though he did so in the capacity of managing partner of Meridian.

Comment: This case shows that while taxpayers may have to turn square corners when seeking a benefit from the government, a statute of limitations may be construed in a manner to protect the interest of the government. Oddly, the court noted that the revenue agent was not experienced in TEFRA audits. Query why that should matter? Should an inexperienced agent get a benefit that would not apply to an experienced one? Or does that go to “reasonable belief” which is at the heart of apparent authority? Partnerships should pay careful attention to who signs an extension, and their lawyers should take note of the rules outlined in this case.

8. Partnership in Son-of-Boss deal treated as sham, CNT Investors, LLC v. Commissioner, 144 T.C. No. 11 (2015)

Partnership participated in a Son-of-Boss transaction. An audit ensued, resulting in a stipulated agreement that the partnership and the transaction were shams. Although one might have thought that would end the case, it did not. Taxpayer contested the timeliness of the FPAA in this case, as well as penalties.

The Son-of-Boss transaction was designed to generate losses to offset S corporation gains from the distribution of appreciated real property to shareholders. Although the Son-of-Boss transaction was a sham, the distribution of real estate was recognized as valid. This generated income that was omitted from the return, and justified an extended limitations period. Moreover, the Tax Court rejected Taxpayer’s argument that this distribution should be disregarded along with the other partnership transactions, since the distribution materially changed the economic position of both the S corporation and the Taxpayer distributee. However, Taxpayer did catch a break on accuracy penalties based on reasonable cause and good faith reliance upon professional advisers.

Comment: This case is quite a tome, reflecting the immense complexity and drain on the system from litigating these tax shelter cases. There is much to consider here for those facing economic substance, sham transaction, and substance over form doctrines, as well as business purpose and step transaction doctrines. As the court noted, “The doctrines’ substantive similarities would not, alone, generate uncertainty for taxpayers (or tenure opportunities for tax academics) if courts applying the doctrines did so using consistent terminology. We have not.” It nevertheless tried to atone for this past inconsistency by discussing each approach in this case, which is long enough to justify including its own table of contents. Happy reading, if you must. Or consider a fine article by Richard Lipton, CNT Investors and the Judicial Doctrines, J. Tax’n, October 2015, at 155.

9. Tax Court has jurisdiction to impose penalties on individual partners of a sham partnership, Petaluma FX Partners, LLC v. Commissioner, 792 F3d 72 (D.C. Cir. 2015).

This case involving a Son-of-Boss transaction had been cycling its way from the Tax Court back to the DC Circuit multiple times. After being held in abeyance pending the Supreme Court’s decision in *Woods* (2013), the DC Circuit turned to address the question of whether the Tax Court has jurisdiction in a partnership-level proceeding to determine accuracy level penalties

for individual partners. It concluded that it does, and remanded for further proceedings.
Comment: Query whether this dispute will finally be resolved. Let's hope so.

VII. Corporations

1. Transfer was a capital contribution, not a sale; distributions were dividends, not installment payments, *Bell v. Commissioner*, T.C. Memo 2015-111

Taxpayer was a real estate broker who formed a corporation (MBA) to participate in the management and marketing of distressed real estate on which lenders had foreclosed. He had originally conducted his business through a sole proprietorship. Accordingly, he purported to transfer various intangible assets, including “all the work in process, customer lists, licenses, franchise rights, trade names, goodwill, and other tangible and intangible assets [of his sole proprietorship]”, to MBA. He structured this transfer as an installment sale, and with no appraisal, determined the price at \$225,000. The purchase agreement required payments of \$10K/month plus interest at 10%. There was neither a promissory note nor any security agreement for the purchase price. A few weeks later, MBA issued 250 shares of stock each to Taxpayer and his wife for consideration of \$500.

Taxpayers allocated \$25K to a franchise they had acquired for \$3200 three years before. They allocated the balance of \$200,000 to 40 contracts with lenders that required assistance with their properties. When each property sold, Taxpayer would receive a payment from the lender, and MBA would book an account receivable for the amount of the payment. (Presumably, the payments would be credited against the account receivable as the amounts were paid out.) One of these contracts governed property sold in 2008, before the corporation was formed. Over time, MBA paid the entire balance due. Taxpayers reported interest and gains associated with the installment payments on their tax returns for each applicable year. MBA amortized the \$225K cost of the intangibles over five years.

The Service first proposed an adjustment that would have made the proceeds ordinary income and which would require the corporation to amortize the payment over 15 years. But it later amended its answer to assert that the transaction was not a sale, but a section 351 transaction. Moreover, it asserted that all distributions to Taxpayers out of E&P were dividends.

The Tax Court agreed with the Service. Looking to the substance of this transaction (and applying 9th Circuit precedent, to which an appeal would lie), the court worked through an eleven factor test to support its decision to find an equity contribution, not a sale. And since section 351 is not elective, but mandatory, it governs the tax treatment of the transfer. While section 351 would permit the assignment of income from the contracts to the corporation, it could not permit such an assignment in the case of the contract associated with property sold before the corporation was formed. The amount received on this contract was thus taxable to the Taxpayer, not MBA. Moreover, the distributions from MBA were dividends to the extent of E&P, not installment payments. As for MBA, since there was no basis in the items transferred, there could be no good will or basis to depreciate or amortize.

Comment: This idea was too clever by half, and executed poorly. It would have been difficult to convince a court that this was a legitimate sale even if they had done more to formalize the

transaction. If this risk had been known, MBA might have avoided double-taxation by providing a compensation agreement with Taxpayer and his wife. But without proper planning, this C corporation became an expensive model (tax-wise) for conducting this business.

2. Constructive dividend from corporate investment benefitting LLC owned by Taxpayer, Coastal Heart Medical Group, Inc. v. Commissioner, T.C. Memo 2015-84

This case involves many issues, including the matter of a constructive dividend for an investment made by a related entity. Taxpayer practiced medicine through a corporation, Coastal Heart, of which he is the sole shareholder. He also formed an LLC, Coastal Imaging, to manage the operation of a CT scanner. However, it appears that Taxpayer actually controlled the property rights in the CT scanner, which was leased from Siemens. Coastal Heart leased the CT scanner, which Coastal Imaging managed. In order to accommodate the scanner, Coastal Heart paid \$4,000 to a construction firm to renovate and expand its office facilities.

In this context, the Service alleged that this payment constituted a constructive dividend to Taxpayer, which he failed to report as income. Taxpayers argued that this was simply an incidental benefit to Coastal Imaging, and further that it did not discharge any obligation of Taxpayer. However, the court found that the Service was obliged to provide a sufficient evidentiary foundation for this unreported income, and the Taxpayer failed to rebut it.

Comment: Unexamined complexities may lurk here in this memorandum decision, but at the least this case should remind practitioners and tax advisors that complex entity structures require careful monitoring to avoid unintended distributions.

3. Regulations involving Partnership Transactions by Corporate Partner, TD 9722, 80 Fed. Reg. 33401-01 (June 12, 2015)

Treasury issued Final and temporary regulations to prevent using partnership rules to avoid corporate-level gains through transactions with a partnership. These regulations address a longstanding problem, recognized since Notice 89-37 (1989), in which a partnership distributes corporate stock (or stock of a corporate affiliate) to a corporate partner in liquidation of its partnership interest. For example, a corporation might contribute appreciated property to a partnership. Then, the partnership might acquire stock in the corporation. Then, the partnership could distribute the stock to the corporation in exchange for the partnership interest. If section 731(a) applied to that transaction, then the corporation would not recognize gain on this redemption transaction. In effect, it would have permanently avoided tax on the appreciation in the property originally transferred to the partnership, which would otherwise have been recognized under section 311(b) if the corporation had distributed the appreciated property in exchange for its own stock. Various notices and proposed regulations issued in 1992 attempted to address related problems. These regulations add new details to address complexity that arises in this area.

4. Transferee liability imposed on shareholders who sold stock, Stuart v. Commissioner, 144 T.C. No. 12 (2015)

This case involving four shareholders who sold stock in a Nebraska C corporation in a so-called “MidCoast transaction” tested the limits of transferee liability based on Nebraska substantive law. Taxpayers were all shareholder/directors of Little Salt, a C corporation that

acquired 160 acres of saline wetlands near Lincoln. On June 11, 2003, the corporation sold this land to the City of Lincoln for \$472,000, which after expenses generated \$471,111, causing the corporation to recognize a gain of \$432,148. The corporation owned no other assets and had no liabilities, except for the tax liability generated from the sale.

MidCoast learned of the pending deal and contacted a member of the Nebraska Game and Parks Commission, which had initially contracted to purchase the land. A commission employee transferred letters received from MidCoast to one of the taxpayers, and MidCoast later issued a proposal to the taxpayers on April 23, 2003, to acquire shares in Little Salt for an estimated payment equal to (1) all company cash less (2) 64.92% of the company's combined corporate income tax liability for the current tax year. Using estimated numbers, this deal would allow the shareholders to receive a total of about \$60K more than they would if they liquidated the corporation. MidCoast explained that it would "re-engineer its operations into the asset recovery business" after the acquisition, and as part of the deal it agreed to "pay the Tax Liability, to the extent that the Tax Liability is due given the Company's post-Share Closing business activities, and shall file all federal and state income taxes on a timely basis related thereto."

The shareholders had agreed by mid-June to sell their shares to MidCoast, and they hired a local attorney (M) to look over the documents, but that attorney was not asked to investigate MidCoast. MidCoast hired another local attorney (D). The deal was governed by Nebraska law, and it closed on August 7, 2003. It was structured as follows: (1) Little Salt transferred the cash balance in its bank account into D's firm trust account; (2) MidCoast transferred the purchase price into D's firm trust account; (3) D transferred the purchase funds from his firm trust account to M's trust account; (4) M disbursed funds to the individual shareholders in proportion to their interests; (5) separately from any agreement with the shareholders, MidCoast instructed D to transfer the funds he received from Little Salt to a Suntrust Bank account in Little Salt's name.

On August 8, MidCoast transferred the Suntrust Bank balance to another account it controlled. Little Salt accounted for the transfer from the Suntrust Bank account as a "shareholder loan", and it later showed the balance to be reduced by some \$140K, apparently for credits for operating expenses and professional fees. The selling shareholders did not know about these fund transfers and the subsequent conduct of MidCoast when they made the deal. Little Salt's tax year ended on September 31, 2003, and it filed its 2003 tax return on December 15, 2003 showing tax due of some \$148K, but it did not pay any of this liability. Little Salt's schedule L listed its loan to MidCoast valued at \$467K, a small cash balance, and no other assets and liabilities. On February 18, 2005, Little Salt filed its 2004 tax return, which showed interest income of \$1739 (apparently from the loan) and a bad debt deduction of \$450K (apparently from the worthlessness of that loan), which together with other deductions generated an NOL, which it carried back to 2003.

Little Salt failed to file Nebraska tax returns for 2004, including its franchise tax return. Accordingly, the Secretary of State automatically put the corporation into inactive status pursuant to Neb. Rev. Stat. § 21-323 (2008), placing it on inactive status. (By statute, the corporation is dissolved, but it continues until its business is wound up.)

Meanwhile, the Service audited Little Salt, disallowed deductions, and on October 5, 2007, issued a notice of deficiency that included tax and penalties. Little Salt did not contest the deficiency, and the Service assessed the liability against Little Salt on April 21, 2008. Of course, Little Salt did not pay the tax. In November 2010, the Service sent transferee liability notices to the shareholders, who then timely petitioned the tax court.

At issue here was whether IRC § 6901 imposed transferee liability on these shareholders. The shareholders stuck to the form, which arguably showed that they did not receive any property from the corporation, and thus they could not be transferees. However, the Service argued that (1) it had the power under federal tax law to recast the transaction into a liquidation based on its substance; (2) after recharacterization, it is clear the taxpayers are transferees under section 6901.

The Tax Court reaffirmed its position in *Swords Trust*, 142 T.C. 317 (2013), which has since been confirmed in several circuit courts, that state law, not federal law, must be the source of any power to recharacterize transactions. In this case, the court also noted that this position was supported by the legislative history to section 6901, which clarified that it was a procedural measure that was not intended to change the underlying source of tax liability. However, section 6901 is not the only theory by which tax liability can be established; common law equitable remedies as well as other remedies found under state law could be used by the government to the same extent that other creditors might be able to use them.

Here, the Tax Court found that the transfer of Little Salt's cash balance to the D trust account was a fraudulent conveyance under Neb. Rev. Stat. § 36-706(a), since Little Salt did not receive any contemporaneous value for the transfer. It did not expect to get those funds back. At that time, the claim for tax liability already existed, even though the return had not yet been filed. Moreover, Little Salt became insolvent as a result of the transfer. The court rejected any claim that attributed value to the promise made by MidCoast, which was not an unconditional obligation to pay, but was limited to what was left in Little Salt after business operations. The court also noted that no one would pay anything for such a promise, making it not subject to liquidation or salable and ignored for this purpose. Even if the liability is viewed as arising later, when the return is filed, the court found that Neb. Rev. Stat. § 36-705 would permit a recovery because the transfer left the corporation without sufficient assets to fulfill its future obligations.

Without the transfer by Little Salt to the law firm trust account, MidCoast would not have paid for the shares and the transaction would not have been consummated. MidCoast was thus the first transferee, but the shareholders could be viewed as a second transferee who received money from MidCoast in an amount greater than the true value of their shares, assuming the full corporate tax liability had been taken into account. Accordingly, the court found that they were liable only to the extent of their marginal benefit – here about \$60K. See also *Sawyer Trust of May 1992 v. Commissioner*, T.C. Memo 2014-59 (good faith transferee entitled to reduction in liability to the extent of value given). On this basis, the shareholders here were considered transferees for purposes of section 6901, but only to the extent of the benefit, not the full value of the assets.

*Comment: This seems like half a loaf for both parties, although certainly a costly lesson for the shareholders who likely incurred considerable transaction costs to ultimately pay the same tax due as if they would have pursued a straightforward corporate liquidation. But of course, they still have a claim against MidCoast on that warranty. Would you take that on a contingency basis? The Ninth Circuit also pointed the Tax Court toward deciding a transferee liability claim on substance/form grounds in *Slone v. Commissioner*, 2015 WL 5061315 (Aug. 28, 2015), vacating and remanding T.C. Memo 2012-57. Judge Noonan, dissenting, would have decided the matter against the taxpayers at the appellate level, rather than remanding to the Tax Court. Finally, a taxpayer victory in a MidCoast transaction in *Alterman Trust v. Commissioner*, T.C. Memo 2015-231 (December 1, 2015).*

5. No transferee liability for unpaid corporate taxes under NC law, *Andrew v. United States*, 91 F.Supp.3d 739 (M.D. N.C. 2015)

Taxpayers were members of GNC Investors Club, Inc., a C corporation. The investors met monthly to discuss stock holdings and for social purposes. Beginning in the year 2000, the investors began to consider other business models that might be preferable for tax purposes. (Do you think?!?) And so they brought in a tax advisor to discuss dissolving and reorganizing as an LLC. They hoped to conclude the transaction by December 2000. At that time, each shareholder understood that this would result in taxes from the gains of stock held by GNC, and that each of the investors would also be taxed on his/her distributed share of the proceeds.

However, in October 2000, a representative of MidCoast Credit Corporation offered the shareholders a better deal. It would purchase the stock for an amount that would deliver about \$400K more in proceeds than they would have following a liquidation and distribution. But GNC would have to liquidate its holdings. The shareholders, who were advised by an attorney and a tax advisor from KPMG, agreed to this plan and GNC sold its publicly traded stock for about \$4.955 million.

MidCoast formed a new corporation (Battery) to buy the GNC stock. GNC attorney's reviewed the certificate of incorporation, but made no further inquiries because the company was going to pay them cash for their shares. On November 22, 2000, GNC's attorney advised the attorney for MidCoast and Battery that GNC would owe about \$1.2 million in taxes on the sale of its publicly traded stock. On November 28, 2000, the GNC shareholders signed a stock purchase agreement to sell their shares to Battery for \$3.8 million. At that time, GNC's sole assets consisted of cash in two bank accounts totaling \$4.9 million. Battery was obligated to pay GNC's state and federal tax liabilities for the tax year ending April 30, 2001. Battery wired \$3.8 million to GNC's attorney's trust account, and in return she directed GNC to wire \$4.9 million to a new bank account set up by Battery in GNC's name. The shareholders received their proceeds, ranging from \$31,775 to \$478,500. None of the shareholders knew about this bank transfer, or that the \$3.8 million was financed by a 24-hour loan to Battery from another source.

The rest of the story is familiar: MidCoast ensured that GNC filed a tax showing no taxable income, the Service audited and assessed a deficiency, and GNC was unable to pay the taxes and penalties. On September 30, 2008, the shareholders received assessments as transferees, and they paid these amounts and submitted a refund claim.

Applying North Carolina law, the District Court concluded that there was no fraudulent transfer on November 28, 2001, when GNC wired funds to a bank account in its name. According to this court, GNC received reasonably equivalent value. Moreover, it would not be rendered insolvent by this transfer, as its liabilities were only \$1.2 million and there was over \$4.9 million in the bank. While the shareholders did receive the funds for their shares from Battery, that was a separate transfer, which was not from GNC. Thus, the court refused to treat that transfer as fraudulent, particularly when no one had knowledge of future bad acts by Battery.

As for subsequent transfers, On November 29, 2001, one day after closing, \$3.8 million was transferred out of GNC's new bank account to Battery's lender, thus closing out that loan. Various other fees were paid from that account, leaving only about \$192K – far less than the \$1.2 million tax liability. The Government argued that these transfers should be collapsed into a single liquidating distribution from GNC to the shareholders. However, again applying North Carolina law, the court rejected this approach on the ground that the Government failed to show that the shareholders knew or should have known that Battery would cause GNC to fail to pay its taxes. Here, there was no actual knowledge, and the court also refused to find constructive knowledge on the basis of a duty to inquire further. (See *Starnes*, 680 F.3d at 434 (4th Cir. 2012) (applying N.C. law). Among the facts supporting this ruling, the taxpayers were advised by reputable professionals, they had conducted due diligence and found no red flags, and furthermore, the deal came to them; they did not seek the deal.

In its brief, the Government also raised a “transferee of a transferee” liability theory similar to that raised in *Frank Sawyer Trust* (1st Cir. 2013), but the court rejected this theory, apparently because of the timing for raising it. The court noted that the First Circuit “articulated a clear, step-by-stop analysis for determining whether transferee of a transferee liability exists”, which had previously been missing from the Government's analysis. However, the court thought the taxpayers should not “bear the burden of explaining with clarity every conceivable theory of liability and then disproving that theory.”

Comment: These taxpayers caught a break. If the Government had raised transferee of transferee liability in a timely manner, this court might have followed that theory and given them a share of the liability – perhaps the \$400K by which they were overpaid for their stock. The court was reluctant to accept the idea that they were being paid for tax avoidance, particularly when they had already agreed to liquidate the company and pay the taxes due. But should seeking out a better deal be treated as a superior marker for constructive knowledge? Or just human nature to want “a little bit more” when you can get it?

6. Minority shareholder-employees face transferee liability for corporate taxes, *Kardash v. Commissioner*, T.C. Memo 2015-51

Taxpayers Kardash and Robb were minority shareholders of a corporation in the concrete business that made big profits during the housing boom in the early part of the last decade, but later fell on hard times and became insolvent. Kardash, an engineer, owned 8.65%; Robb, a sales manager, owned 1.13%, and the balance of the company was owned by the President and CEO, respectively, in equal shares. Despite its large profits, the company failed to file accurate tax returns. However, neither Kardash nor Robb had any involvement in the company's financial matters.

The President and CEO apparently engaged in significant financial fraud involving the company. They transferred significant amounts to themselves, which the Company recorded as loans receivable and eventually treated as operating expenses. The Company also paid fictitious interest payments to the President and CEO based on fictitious loans. Taxpayers did not benefit from these transactions. However, they did receive dividends that were paid to all the shareholders during 2005-2007, and they also received a “bonus advance” from the company in 2003 and 2004, which they were told to characterize as a “loan”. (Those “bonus advance” amounts were eventually forgiven by the Company in 2009, and the individual tax consequences of these loans were eventually settled with the IRS.)

Although the President and CEO made sure other creditors were paid, they failed to pay state and federal income taxes. By 2007, the company had racked up more than \$137.3 million in unpaid tax liabilities. Both parties introduced expert testimony to evaluate when the Company became insolvent.

The Service tried to assess taxes against the Company, and eventually developed an installment plan that required \$70K/month to be paid. However, given the magnitude of the taxes, the company sought to collect from Taxpayers as transferees under section 6901.

Taxpayers first argued that it was not proper to charge them with liabilities as transferees given that the corporation had executed an installment plan. However, regulations provide that the Service may still take action against others not subject to the installment plan in order to collect the tax. The installment plan for the corporation thus did not bar this transferee liability action. Taxpayers also argued that the Service should have been required to go after the assets of the corporation before pursuing them, but this was not a requirement for creditors under Florida law. Moreover, the Taxpayers also argued that the Service should be pursuing others more culpable than they were (i.e., the President and CEO), but case law supports going after any or all transferees in no particular order.

On the substance of whether a fraudulent transfer had occurred, the Tax Court refused to impute the fraudulent intent of the President and CEO to these taxpayers, who were uninvolved in their fraud. Accordingly, it looked at the specific transactions here to evaluate whether they would be fraudulent conveyances under Florida law. First, there could not be a fraudulent conveyance if the company received “reasonably equivalent value.” Here, the “bonus advance” payments were deemed compensation. (Notably, the court refused to accord any preclusive effects from the stipulated settlement involving their prior tax treatment.) The company had suspended its prior bonus program in 2003, and accordingly these amounts were equivalent to other payments that were designed to compensate the employees.

As for the dividends, the Taxpayers were not able to show “reasonably equivalent value”, as in this case the company did not benefit from the dividend payments. (Notably, some case law allows dividends to be treated as in exchange for value, avoiding fraudulent conveyance treatment.) Thus, the court had to evaluate whether the company was insolvent or was made insolvent by the transfer. It refused to credit any value for assets transferred to the President and CEO in making the insolvency analysis, preferring instead to ignore those assets arising out of the fraudulent scheme. Although there was a disagreement among experts as to the time the company became insolvent, the court found that it was insolvent during the years that the

dividends were paid. Accordingly, the dividends subjected these taxpayers to transferee liability for the 2005-2007 tax years.

Comment: This case shows that small fish can be forced to pay for the benefits derived by bigger fish. The company probably made enough money to justify the payments, but for the fact that the majority shareholders were looting the company. Note that dividend payments during insolvency may also trigger director liability – there are more ways to recover assets than by pursuing section 6901, but as this case shows, the Service gets to choose.

7. Final regulations on F Reorganizations, T.D. 9739, 80 Fed. Reg. 57904-01 (Sept. 21, 2015)

The reorganization under IRC § 368(a)(1)(F) refers to “a mere change in identity, form, or place of organization of one corporation, however effected”. As the preamble explains, “Although the statutory description of an F reorganization is short, and courts have described F reorganizations as simple, questions have arisen regarding the requirements of F reorganizations. In particular, when a corporation changes its identity, form, or place of incorporation, questions have arisen as to what other changes (if any) may occur, either before, during, or after the Mere Change, without affecting the status of the Mere Change (that is, what other changes are compatible with the Mere Change).”

Comment: One IRS official described the F reorganization in Seinfeldian terms: a show about nothing? But corporate tax mavens, as well as international tax practitioners, will be interested in these regulations.

VIII. International

1. Putative Virgin Islands resident treated as nonfiler, *Cooper v. Commissioner*, TC Memo 2015-72

Taxpayers asserted that they were residents of the U.S. Virgin Islands, which are unincorporated territories of the United States. Pursuant to IRC § 934, they filed territorial returns with the Virgin Islands Bureau of Internal Revenue (VIBIR) for 2002 and 2003. Section 934(c) allows a bona fide Virgin Islands resident to exclude from their U.S. gross income such amounts which had been reported on a return filed with the VIBIR. That return is also filed on Form 1040, as the VIBIR adopts a “mirror” tax system based on the U.S. federal system. Pursuant to a tax implementation agreement between the U.S. and the Virgin Islands, the VIBIR provided Taxpayers’ return information to the United States government, which examined the returns and issued a notice of deficiency along with failure to file and failure to pay penalties dated March 3, 2010. This notice was after the applicable period of limitations would have run if the taxpayers had been treated as filing their tax return.

Taxpayers did not file a U.S. Form 1040 with the federal government in addition to the one they filed with the VIBIR. They claimed that they did not need to do so because they were bona fide residents of the Virgin Islands. For such residents, the Code and regulations, as well as IRS instructions and tax forms, required them to file their Form 1040 returns with the VIBIR. See *Appleton v. Commissioner*, 140 T.C. 273 (2013). This satisfies IRC § 6091(b)(1)(B)(ii), which requires a citizen whose place of abode is outside the U.S. to file his/her return “at such

place as the Secretary may be regulations designate.” The applicable regulations for a citizen of a possession of the United States directed that they follow the instructions on the tax return, which for 2002 and 2003 stated that they should file with the VIBIR.

However, the Service contended that these taxpayers were not bona fide residents of the U.S. Virgin Islands, and thus were not eligible to file with the VIBIR, but instead would be required to file elsewhere. Although the taxpayer in *Appleton, supra*, was conceded to be a resident, these taxpayers did not provide proof that they were residents; they only asserted their good faith belief. In *Estate of Sanders*, 144 T.C. No. 5 (2015), the court had evaluated whether a taxpayer was a bona fide resident based on criteria in *Sochurek v. Commissioner*, 300 F.3d 34 (7th Cir. 1962), reaching the conclusion that he was a resident. However, in this case, taxpayers offered no proof on the matter. Their motion for summary judgment was denied, as subjective belief of residency was not enough to establish their eligibility to file with the VIBIR. This matter was left for trial. Moreover, whether the provision of 1040 information from the VIBIR to the Service constitutes a return was also left for trial.

Comments: This case shows how carefully taxpayers must comply with regulations involving tax return filing. If a return is filed with the wrong IRS representative, this may not constitute filing. Thus, taxpayer loses the protection of the limitations period and, at least potentially, subjects himself to failure to file and pay penalties. That seems harsh, particularly when the information was transmitted to the IRS through the agreement, thus effectively serving the purpose behind voluntary compliance. However, some may find little sympathy for these taxpayers to the extent that they were audited for claiming residency to take advantage of a 90% tax credit offered by the Virgin Islands, which was the subject of Notice 2004-45.

2. Taxpayer ineligible for foreign income exclusion as tax home was not in Russia, *Evans v. Commissioner*, T.C. Memo 2015-12

Taxpayer, who had family roots in Louisiana, began working in the oil industry and was posted to drilling locations overseas. He treated his parents’ home in West Monroe for his residence until 2003, when he married his first wife and build a house of their own in the same city. Beginning in 2006, he was promoted to a manager position at drilling facilities in Sakhalin Island in Russia, where he supervised both land and offshore rigs. This is a remote location with harsh weather conditions, located north of Japan off the east coast of Russia. He lived there in employer provided housing, sometimes on a drilling rig, working on a 30-day cycle, spending the off-times back in West Monroe with his family. His visa permitted him to work in Russia, but it did not permit him to bring family members with him, and he did not do so. A divorce and remarriage occurred, and Taxpayer had one daughter, who lived with her grandparents during his absence. His mother took care of business for him when he was absent, and a professional tax preparer handled his returns for 2007-10. On each return, he took the position that he was entitled to exclude wages earned in Russia under section 911(a).

The Tax Court agreed with the Service that he was ineligible for the exclusion, since his “abode” remained in the United States. It rejected Taxpayer’s attempts to distinguish other adverse precedents involving Louisiana oil workers on the ground that those taxpayer worked on drilling rigs, whereas he mostly lived in a city. This was a distinction without a difference, as living on land might facilitate greater opportunities to socialize with local residents, that did not affect his respective ties to Russia or the United States. Moreover, the fact that he rotated

between his own home and his parents' home in West Monroe did not affect the presence of an "abode" for tax purposes. In effect, this taxpayer was commuting from his home in the United States, and was not entitled to the exclusion.

Comment: This is a useful case with comparisons to other authorities involving the 911 exclusion. This taxpayer at least got a break from penalties based on his good faith reliance upon a professional return preparer, who in fact gave incorrect advice in this "technical area of tax law." (But when it comes to tax law, is there a "non-technical" area?)

3. Treasury regulations involving QCSA's are invalid, *Altera Corp. v. Commissioner*, 145 T.C. No. 3 (2015)

Regulations promulgated in 2003 addressing "qualified cost-sharing arrangements" under section 482 were successfully challenged by Taxpayer in this Tax Court decision. While the details are somewhat arcane (unless you are an International tax maven familiar with transfer pricing issues), the result is a substantial vindication of limits upon the Treasury's rulemaking powers.

Comment: Although this case involved the 2003 regulations, the faults identified here likely pervade more recent versions, too. Erin McManus published a good piece in the BNA Daily Tax Report, "Altera" Decision Cast Shadow over Proposed, Adopted Rules, 208 DTR J-1 (10/28/15) that explores other regulations that could be affected.

4. Anti-Injunction Act bars challenge to penalty on interest reporting for foreign accounts, *Florida Bankers Ass'n v. Treasury Department*, 799 F.3d 1065 (D.C. Cir. 2015)

Sections 1.6049-4 and -8 of the Treasury Regulations impose an information reporting requirement on interest payments to certain nonresident alien account holders. This information reporting requirement exists despite an exemption from U.S. income taxes under I.R.C. § 871(i). However, by gathering and reporting this information to foreign governments, the Treasury may foster international cooperation to ensure greater compliance by U.S. citizens.

Foreign depositors don't like this reporting requirement, and thus may seek greener pastures. However, noncompliance can be costly for the U.S. bank, as section 6721 of the Code imposes a penalty of \$250 for each failure to file an information return, with a maximum penalty of \$3 million.

The Florida Bankers Association, joined by the Texas Bankers Association, challenged these regulations, arguing that they violated requirements under the Administrative Procedure Act and the Regulatory Flexibility Act. However, the district court granted summary judgment in favor of the Government, ruling on the merits that the Service did not act in an arbitrary or capricious fashion when promulgating a regulation to combat tax avoidance. In reaching the merits, it also ruled that the suit was not barred by the Anti-Injunction Act. See 19 F.Supp. 3d 111 (D.D.C. 2014).

The Bankers appealed to the D.C. Circuit, which took a different tack. Instead of reaching the merits, a divided Circuit Court vacated the trial court's decision and ruled that the Anti-Injunction Act barred this suit. Relying on dicta in *NFIB* (2012), which stated that penalties

imposed under subchapter 68B of the Code are taxes under Title 26, the court ruled that this penalty arising under the same subchapter was a tax, thus barring the suit. Moreover, the court also rejected the argument that this suit was not about the penalty, but the reporting requirement itself. Here, too, it relied upon *NFIB* in rejecting a distinction between a regulatory component of the tax and the tax itself.

Comment: This case includes a vigorous dissent, which disagreed that this was about a tax at all, thus accepting the distinction involving reporting requirements. The dissent also includes a pithy summary of what is at stake here in terms of information reporting. This may not be the last word on this subject, but resistance may be futile. As a practical matter, the deputizing of private firms to report information to the government has become a significant and largely accepted feature of our tax system.

5. Statute of limitations bars foreign tax credit refund claims, *Albermarle Corp. v. United States*, 797 F.3d 1011 (Fed. Cir. 2015)

The Federal Circuit affirmed the Court of Federal Claims in holding that a refund claim based on the application of the foreign tax credit was barred by the 10-year limitations period in IRC § 6511(d)(3)(A).

Taxpayer had a Belgian subsidiary that issued debentures to Taxpayer and to other of its subsidiaries in 1996. Taxpayer received interest payments from 1997-2001, but no Belgian withholding taxes were paid because the parties believed these payments were exempt from withholding. In 2001, Belgian authorities notified Taxpayer that the payments were subject to a 25% withholding tax. Taxpayer protested this assessment, and they ultimately reached an agreement in which Taxpayer paid a 15% tax on these amounts. Payments to Belgium were made in 2002 to satisfy the amounts due.

In 2009, Taxpayer filed an amended U.S. return for the 2002 tax year, showing increased foreign tax credits on account of the withholding taxes paid over to Belgian authorities. The Service disallowed the foreign tax credit amounts attributable to interest payments in 1997 and 1998, alleging that these payments were barred by the 10-year limitations period applicable for filing refund claims for foreign tax credits.

Section 6511(d)(3)(A) currently permits a 10 year limitation period that runs from “the date prescribed by law for filing the return for the year in which such taxes were actually paid or accrued.” (Note that a prior version of the statute was also in play for the 1996 tax year. See the case if this language interests you.) According to the Taxpayer, that date is the year when the contested liability was finalized and established – here 2002. According to the IRS, the earlier year in which the taxes accrued matters, which is consistent with other foreign tax credit provisions. (See, e.g., 901(b) and 905(a)).

According to the Court, the established approach is that a contested foreign tax counts toward the credit limitation for the year of origin. Even though the right to claim a credit requires the taxpayer to satisfy the “all events test” of section 461 (which would also affect the year of a deduction), this does not determine when a tax accrued for purposes of section 6511. In effect, there are two approaches to the accrual: in determining what year a right to claim a credit arises, section 461 applies. But in determining the year against which the credit can be applied,

that depends on the year “to which the tax relates” (i.e., the earlier period). See, e.g., Rev. Rul. 58-5. According to the Court, this means that section 6511 is to be interpreted in relation to the year of origin for the contested tax. It suggested that this also better serves the purpose of conferring a longer 10-year limitations period, which presumably would not be necessary if all that was required of the taxpayer was to file a refund claim.

Comment: This effectively means that taxpayers will lose their foreign tax credit if the contest with the foreign authority drags on too long. While a later deduction could be a consolation prize, taxpayers should consider this ruling carefully in assessing longstanding disputes.

6. Refund claims limited to actual withholding, Notice 2015-10, 2015-20 IRB 965

Payments to foreign taxpayers are subject to withholding requirements under IRC §§ 1441-43 or 1471-72. The Service has expressed concern that refund claims by foreign taxpayers that are based on withholding amounts reported under Form 1042-S may actually put the Treasury at risk to the extent that reported amounts exceed those actually deposited by withholding agents. Accordingly, it has announced a new framework, ultimately to be promulgated through regulations, that limits refund payments or credits to the amounts actually deposited by the withholding agent.

7. STARS not aligning for banks, Salem Financial, Inc. v. United States, 786 F.3d 932 (Fed. Cir. 2015); Bank of New York Mellon Corp. v. Commissioner, __F.3d __, 2015 WL 5234396 (2d. Cir. 2015).

Comment: As litigation involving the so-called STARS transactions involving foreign tax credits winds its way through the courts, taxpayer participants are not coming out well. For thoughtful analysis issued before the Second Circuit decision in Bank of New York, see Richard M. Lipton: The Stars Continue to Revolve – the First Appellate Decision, J. Tax’n, September 2015. As of November 2, 2015, Bank of New York Mellon Corporation has filed a cert petition in the Supreme Court (No. 15-572). Some late breaking news: a taxpayer victory on a STARS transaction in Santander Holdings, USA, Inc. v. United States (No 1:09-cv-11043, D. Mass. Nov. 13, 2015) and a partial taxpayer victory in Wells Fargo & Co. v. United States (No. 09-CV02764 (PJS/TNL D. Minn. 11/10/2015). In Wells Fargo, it looks like the matter of economic substance will be tried, as the Taxpayer’s motion for summary judgment was denied. Judge Schiltz has a useful introduction into the transaction that traces \$100 through the various parties.

8. Adjustment under section 482 did not create indebtedness for dividend tax holiday under section 965, BMC Software, Inc. v. Commissioner, 780 F.3d 669 (5th Cir. 2015), reversing, 141 T.C. 224 (2013).

Comment: The Fifth Circuit addressed an important but arcane provision allowed the short-lived tax holiday on repatriation permitted in section 965. For more on this, see BMC Software: Fifth Circuit Reverses Tax Court – Look to What a Transaction Has Been, Not What It Could Be, J. Int’l Tax’n, July 2015.

9. Discretionary treaty benefits are subject to judicial review, Starr Int’l Co. v. United States, __ F.Supp. 3d __, 2015 WL 5542545 (D.D.C. 2015)

Foreign corporate taxpayer brought a refund claim to recover withheld taxes on dividends paid from the U.S. corporation, AIG. Taxpayer claimed discretionary treaty benefits under the U.S.-Swiss tax treaty, which would reduce withholding requirements from the statutory rate of

30% (I.R.C. § 881(a)) to 15%. However, the Service denied these benefits based on a treaty-shopping exception. The Taxpayer brought this refund claim.

The District Court held that this was a reviewable exercise of administrative discretion, rather than one which was nonjusticiable. This was not an action that is presumptively unreviewable, such as prosecution or enforcement decisions or expenditures for lump-sum appropriations. Nor was this within the foreign policy exception, which removes certain agency decisions from judicial review. Instead, this involved the application of treaty provisions with a backdrop of judicially manageable standards for review. The court noted that courts “routinely face somewhat amorphous and open-ended standards” in reviewing IRS determinations.

Comment: Taxpayer is not home yet, but this case provides a path toward judicial review for the denial of treaty benefits. Ironically, it appears Taxpayer would have been entitled to similar benefits when it was based in Ireland, but the benefit was denied when it relocated to Switzerland.

10. More inversion guidance, Notice 2015-79 (November 19, 2015).

This notice expresses additional intentions for the Treasury and the IRS to issue regulations to address inversion transactions. It also makes certain corrections to the prior guidance in Notice 2014-52. According to a “Fact Sheet” issued by Treasury, see Treas. JI-0281 (Dept. Treas.), 2015 WL 7293166, the new guidance will make it more difficult for US companies to avoid US taxes through inversion.

Comment: The inversion mavens are still unpacking this Notice. You can consider the “Fact Sheet” as a “Cliff’s Notes” version, of sorts. With the recent announcement of Pfizer’s \$150B merger with an Irish company, the WSJ recently contained the headline, “At Skadden, Tax Law Isn’t so Boring as Inversions Raise the Stakes.” (Nov. 24, 2015). Since when was Tax Law ever boring?

11. When do you report cash payments over \$10,000? IR-2015-81 (May 22, 2015).

Reporting obligations under Form 8300 presents considerable complexity for those who receive cash payments. Jurisdictional questions are also presented, which the IRS recently resolved in an information release notifying businesses in U.S. Territories that they must also comply. See [https://www.irs.gov/uac/Newsroom/Businesses-in-US-Territories-Must-File-Form-8300-with-the-IRS-on-Cash-Transactions-of-\\$10,000-or-More](https://www.irs.gov/uac/Newsroom/Businesses-in-US-Territories-Must-File-Form-8300-with-the-IRS-on-Cash-Transactions-of-$10,000-or-More), which includes a reference guide.

Comment: For a helpful summary and numerous practical examples of Form 8300 reporting, including some eye-opening implications for small business owners, see Jack Manhire, When do you report cash payments over \$10,000?, 40 Cayman Financial Review 48 (2015), available at <http://ssrn.com/abstract=2654511>

IX. Employment Taxes

1. FICA tax applies to deferred compensation despite employer bankruptcy, *Balestra v. United States*, 803 F.3d 1363 (Fed. Cir. 2015)

Taxpayer was a United Airlines pilot from 1979 until 2004, when he retired. In the 2004 tax year, Taxpayer was entitled to receive continuing nonqualified deferred compensation payments for the rest of his life, beginning on the date of his retirement. These benefits were valued at \$289K based on their net present value, and United withheld the 1.45% hospital insurance portion of the FICA tax on this amount. (Presumably, the Taxpayer had already exceeded the wage base.) Unfortunately, United was already in bankruptcy proceedings in 2002, before the present value was calculated. It eventually ceased paying benefits in 2010 due to bankruptcy. As a result, Taxpayer received only \$63K in benefits, but paid the hospital tax on \$289K. So, Taxpayer sought a refund based on the claimed excess payment, amounting to \$3,285.

Their claim was rejected by the Service, and litigation ensued. The Court of Federal Claims granted summary judgment for the Government, and this appeal ensued. The Taxpayer challenged the validity of the underlying regulation, 37 C.F.R. § 3121(v)(2)–1(c)(2)(ii), which required taxation based on net present value without regard to the risk that the employer would be unable to pay. However, the Federal Circuit affirmed that the regulation was valid and the tax was properly withheld.

First, under *Chevron*, the statute left the term “amount deferred” undefined. Taxpayers pointed to the legislative history to suggest that this term must include the “fair market value”, which should take into account the potential bankruptcy of the employer. However, the Federal Circuit ruled that Congress did not unambiguously require this outcome, and that the Treasury approach was reasonable. While it might have been reasonable to take into account bankruptcy risks, the question here, according to the court, was whether it was unreasonable not to have done so. The court was also unwilling to invoke other circuit precedents that chose to look at a “willing buyer, willing seller” approach to fair market value, as the statute never references fair market value.

Second, the court rejected a claim that the Treasury’s rule was arbitrary and capricious. Under the Supreme Court’s analysis in *State Farm*, “Treasury’s rule is arbitrary and capricious if it ‘entirely failed to consider an important aspect of the problem, offered an explanation for its decision that runs counter to the evidence before the agency, or is so implausible that it could not be ascribed to a difference in view or the product of agency expertise.’” Here, the court found that the rationale could reasonably be discerned from the notice of proposed rulemaking based on the desire to provide workable, simple, flexible rules.

Comment: As someone attributed to Yogi Berra, “Making predictions is hard, especially about the future.” As the court pointed out, “It may seem unfair in a specific instance such as this, but in balancing the desire for simplicity against the ideal of ultimate comprehensiveness, the agency must be allowed a reasonable degree of discretion.” Is “ultimate comprehensiveness” really an ideal we should embrace? Query whether this analysis will influence the content of other NOPR to reinforce Treasury positions.

2. IRS failed to prove delivery of Letter 1153 in trust fund case, *Lee v. Commissioner*, 144 T.C. No. 3 (2015)

Trust fund recovery penalties require prior notice to petitioner under IRC § 6672(b). The Service uses Letter 1153 to provide the required notice, and the Code requires that an Appeals office must verify that Letter 1153 was issued. See IRC § 6330(c)(1). Issuance of a Letter 1153 thus differs from a notice of deficiency. Case law holds that a taxpayer may not contest the receipt of a notice of deficiency in a collection due process case if the taxpayer failed to raise that issue at the administrative hearing. The rationale for this rule is that consideration would frustrate the appeal process. However, in the case of Letter 1153, the Appeals office must make this review regardless of whether the taxpayer raises the issue. Accordingly, a taxpayer is allowed to raise the nonreceipt of Letter 1153 at trial, even if not raised in the hearing below, as this has no adverse impact on the appeal process.

Here, the Service did not produce Letter 1153, and it also did not produce testimony by a Service employee establishing delivery of the letter. Taxpayer contested receiving it. The Tax Court thus refused the IRS motion for summary judgment, remanding this issue to trial.

Comment: This failure to observe the requirements in section 6330(c)(1) may provide a defense for the taxpayer, albeit one based on a “foot fault” of the Service. But proving this in the hand delivery context may be tricky.

3. Vice president and minority shareholder held responsible person who willfully failed to pay over taxes, *Waterhouse v. United States*, 122 Fed. Cl. 276 (2015)

Taxpayer was a vice president and 40 percent shareholder of a corporation that became insolvent and owed substantial trust fund taxes. The Service assessed trust fund tax penalties against Taxpayer, which taxpayer paid and then filed a refund claim. The Court of Federal Claims rejected Taxpayer’s claim, finding that he was a responsible person who willfully failed to pay over taxes. Here, taxpayer had check writing authority, which he exercised when a fellow shareholder was out of the office. However, he regularly signed paychecks and could open and close bank accounts. He was primarily responsible for production functions, but those responsibilities included ordering materials. He thus had some knowledge of financial operations. He even requested that the company defer his own salary payments in order to make loans to the company, reflecting some knowledge of the corporate finances. And he was aware since 2003 of the company’s delinquency in trust fund taxes. When the IRS met with the firm in 2004, the company worked on getting delinquent amounts paid. Taxpayer was involved in meetings with IRS and signed Form 4180 attesting to the past unpaid liabilities. The company continued operating and vendors were paid, although the IRS was ultimately not paid.

Comment: These cases are fact intensive, but this one may merit some attention if your client is involved in a failing company. Just because another taxpayer might also be viewed as a responsible person, and may in fact be viewed as more responsible, does not prevent the IRS from seeking to recover the trust fund penalty from another shareholder/employee.

**4. FICA Wage base stays at \$118,500,
<http://www.ssa.gov/news/press/factsheets/colafacts2016.html>**

The SSA has announced that the wage base will stay the same in 2016 at \$118,500.

Comment: The good news, FICA taxes won't go up; the bad news, there was no wage growth in the measuring index. Hopefully your personal situation is better than the index! For those considering retirement, I recommend visiting the CFPB website, which has a nifty benefit calculation tool that illustrates the impact of accelerating or delaying retirement. See <http://www.consumerfinance.gov/retirement/before-you-claim/>

X. Legislation

A. Trade Preferences Extension Act of 2015, Pub. L. No. 114-27, 129 Stat. 362 (June 29, 2015).

Comment: This trade bill also includes some tax related provisions. See §§ 803-07, including provisions affecting the time for payment of corporate estimated taxes and some significant penalties for failure to file information returns.

B. Surface Transportation and Veterans Health Care Choice Improvement Act of 2015, Pub. L. No. 114-41, 129 Stat. 443 (July 31, 2015)

Title II – “Revenue Provisions” – include several significant tax rules, including:

§ 2003: Additional information return requirements for mortgage lenders effective after December 31, 2016.

§ 2004: Amends IRC § 1014 to require consistent basis reporting between estate tax returns and income tax returns; amends IRC § 6035 to require information reporting by the executor with respect of the value reported on the return; amends IRC § 6724(d) to add penalties for failure to file information returns. Note that section 2004(d) states that these amendments are effective for estate tax returns filed after the date of enactment, but the Service has stated that it will delay implementation pending further guidance.

§ 2005: Statutorily overrules *Home Concrete* (SCT 2012), which held that the extended six-year statute of limitations for a significant omission from gross income did not apply to an adjustment resulting from overstated basis. This provision is applicable to returns filed after the date of enactment, as well as to open returns on that date.

§ 2006: Changing various due dates for returns, including:

- a. FBAR (FinCEN Form 114) due April 15, not June 30, with extension permitted.
- b. Partnerships and S Corporations: due March 15, not April 15 (calendar year)
- c. C Corporations: due April 15, not March 15 (calendar year)
- d. Permitting the Service to modify regulations involving extensions for various returns (after December 31, 2015).

Comment: Applying the repeal of Home Concrete to open returns strikes me as potentially unfair. The accelerated due dates for passthroughs make a lot of sense given the logistics of return preparation for pass through entity owners, and delaying the corporate return until April 15 for calendar year firms will perhaps avoid some extensions. The effective dates for corporate returns may vary depending on the taxable year, but for most returns, this change begins for tax years beginning after December 31, 2015.

C. Bipartisan Budget Act of 2015, Pub. L. No. 114-74 (11/2/15).

Comment: Title XI of this bill would repeal TEFRA and impose a new regime for partnership audits and adjustments. The word on the street: this may have been pushed through before the statutory tinkering was finished. One area of concern: this new law requires the partnership to pay an “imputed underpayment” resulting from an audit, and it assesses penalties at the partnership level. This may create contingent liability issues as well as new complexities where partners and/or their interests change over time. If you cannot elect out of this, partners will want to evaluate their partnership agreements carefully in light of this legislation, not to mention keeping close tabs on former partners from open tax years.

D. Fixing America’s Surface Transportation Act (December 4, 2015).

Comment: This bill, signed by the President on December 4, contains two tax-related provisions: one requires the Service to hire private debt collection firms to address delinquent tax debt, and the other allows the State Department to revoke or refuse to issue passports to those owing more than \$50K in tax delinquencies.

E. ACA Repeal?

Comment: On December 4, the Senate passed HR 3762, which would repeal many features of the Affordable Care Act. The Senate vote used reconciliation procedures, allowing it to pass by a vote of 52-47. The House is likely to pass this version as well. However, President Obama is likely to veto. The struggles with the ACA and looming new taxes, including the so-called “Cadillac Tax” in 2018, will continue after the next election. (For my own analysis of the “Cadillac Tax”, see *Health Accounts/Arrangements, an Expanding Role under the Affordable Care Act?*, 47 *John Marshall L. Rev.* 991, 1029 ff. (2014), available at http://papers.ssrn.com/sol3/papers.cfm?abstract_id=2519268 .

F. Extenders? [Stay Tuned].

Comment: Last year we waited until December for the Tax Increase Prevention Act of 2014, Pub. L. No. 113-295, 128 Stat 4010 (Dec. 19, 2014). When will we get an extender’s bill this year? For a helpful listing of expired tax provisions as of the end of 2014, see Sally Schreiber, *Expired Tax Provisions: No Relief In Sight?*, available at <http://www.thetaxadviser.com/newsletters/2015/oct/expired-tax-provisions-no-relief.html> (October 15, 2015).